7 marks every paper

Ind AS 115 — Revenue from Contracts with Customers

Short notes from ICAI SM Chapter 9 + RTP / MTP / past papers. **Pattern:** every paper = one 5-mark Q5(a) + 1–2 MCQs. Asked: **contract modification** (Sep 2025, May 2026 MCQ, May 2023), **significant financing** (Jan 2026, Nov 2022), **bill-and-hold** (May 2026, May 2022), **loyalty points / material right** (Nov 2024, May 2024, Nov 2022), **licences** (May 2025), right of return + volume rebates (May 2022), uninstalled materials (May 2023), service concession (Nov 2022), scope MCQ (Jan 2026).

1 The five steps and scope 115.2–9

Step	Question to answer
1 Contract	Is there an enforceable contract meeting all 5 criteria? Combine? Modified?
2 Performance obligations	Which promises are **distinct**? (each distinct good/service or series = one PO)
3 Transaction price	Fixed + variable (constrained) − financing effect + non-cash FV − consideration payable to customer
4 Allocate	To POs on relative **stand-alone selling prices** (discount and variable amounts may go to specific POs)
5 Recognise	When (or as) **control** passes — over time (3 tests) or at a point in time

- → **Out of scope:** leases (116), insurance (117), financial instruments (109), and **non-monetary exchanges between entities in the same line of business** to facilitate sales (two oil companies swapping oil; Jan 2026 MCQ: same-industry bottle swap).
- → Barter between **different** businesses is in scope — measure non-cash consideration at FV (TYK 2: talk time for power — each records revenue ₹ 50,000 at the FV of what it receives).
- → Ind AS 115 vs AS 9/7: control-based, 5 steps, financing adjusted, contract costs capitalised, detailed disclosures.

2 Step 1 — the contract 115.9–21

All 5 criteria: (1) approved and parties committed · (2) each party's rights identifiable · (3) payment terms identifiable · (4) commercial substance · (5) collection of the consideration **probable** (ability and intention to pay; the amount may be after expected price concessions — TYK 5: price ₹ 2 m, expected 1.75 m → transaction price 1.75 m and the contract exists).

Criteria not met (TYK 4: P pays 5% non-refundable deposit, credit risk high): cash received = **liability** until (a) no obligations remain and substantially all consideration received and non-refundable, or (b) contract terminated and cash non-refundable. Keep reassessing.

- → **Contract term** = period of enforceable rights. Gym, 12 months but cancellable free after 3 → term **3 months** (Illus 2). 100 cameras but cancellable free after 10 → contract for **10 units** + option for 90 (Illus 3).
- → **Combine contracts** (same customer/related parties, about the same time) if: negotiated as one package with one commercial objective, OR price of one depends on the other, OR goods form a single PO (Illus 5: licence + customisation 3 days later → combine; Illus 6: two government entities, discount only if both buy → combine; Illus 4: planes + spare parts → separate).

Contract modification — the exam favourite 115.18-21

Situation	Treatment	ICAI figures
Adds **distinct** goods **and** price reflects their **SSP**	**Separate new contract**	Illus 7: 120 units at 1,000; after 60, +30 at 950 (SSP) → new contract at 950
Remaining goods distinct from those transferred, price not at SSP	**Prospective: terminate old + new contract; price = unrecognised old consideration + new**	Illus 8: maintenance cut 55,000 → 45,000 p.m. → remaining 6 months at 2,70,000
Remaining goods **not distinct** (part of one PO, e.g. construction)	**Cumulative catch-up: new price × new % complete − revenue to date**	Illus 9: 200 h × 150 + 50 h × 100 = 35,000 / 250 = 140 → 100 h × 140 − 15,000 = **(1,000)**. May 2026 MCQ: same logic → **(2,000)**

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PQ 8 (S Ltd / Corp — asked May 2023, Sep 2025, 4 MTPs): ₹ 20 lakh + 2.5 lakh bonus (constrained at inception); expected cost 11 lakh. Year 1: 65% done → revenue **13 lakh**, cost 7.15 lakh. Modification on 4 June: fixed price +1.5 lakh, cost +80,000, bonus now highly probable → price 24 lakh; % complete 7.15 / 11.80 = 60.60% → catch-up revenue **1,54,400** (60.60% × 24 lakh − 13 lakh). Same steps in Sep 2025 (₹ 1.2 cr + 35 lakh bonus) and May 2023 (₹ 30 lakh + 3.75 lakh → 2,31,600).

③ Step 2 — performance obligations 115.22-30

Distinct = both: (a) capable — customer can benefit on its own or with readily available resources; (b) separately identifiable in the contract. **Not** separately identifiable if: significant **integration** into a combined output, one **significantly modifies/customises** another, or they are **highly interdependent**.

Series of substantially the same goods/services with the same pattern of transfer = **one** PO (cable TV each month — Illus 24; hotel management each day — Illus 13; 2,000 customised engines transferred over time — RTP May 2026).

Facts (SM)	POs
Water purification plant / power plant — design, build, procure, integrate (Illus 10, 12)	1 (integration)
Design + construction of mall where design keeps changing (Illus 14)	1
Broadband + voice + modem buyable elsewhere (Illus 11; Nov 2024); modem + router + internet (Illus 17)	3
Licence + installation + updates + support (Illus 15)	4
Same but installation **significantly customises** the software (Illus 16)	3 (licence + customisation is one)
Anti-virus licence + updates critical to use (Illus 18)	1
Magazine print + online (Illus 19)	2
Implied promises: free support to reseller's end users (Illus 20); free 2-year maintenance advertised by carmaker (Illus 21)	Separate PO
Telecom registration / activation fee (Illus 28)	Not a PO — fee is an advance for future service

Customer options, loyalty points, material rights B39–B43

→ Option that gives a **material right** (a discount the customer would not get without the contract) = separate PO → allocate price on relative SSP; revenue when used or lapses.

→ SSP of an option = discount × expected purchase × likelihood of use, **excluding** any discount everyone gets anyway.

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Illus 23 (Nov 2022, May 2024 variants): 40% voucher, but 10% to all → incremental 30% × ₹ 500 average purchase × 80% = SSP **120**; allocate 1,000 × 1,000/1,120 = **890** product, **110** voucher. **PQ 9:** 1 point per ₹ 100, point worth ₹ 5, 100 points × 5 = 500 → points 10,000 × 500/10,500 = **476** deferred, 9,524 now. **Illus 22 (renewal option):** 7,500 + 6,000 + 6,000 with 50% attrition → 12,00,000 / 175 memberships = **6,857** revenue per member in year 1, **643** contract liability. **Loyalty points (PQ 5; Nov 2024):** allocate sales between goods and points on relative SSP (points × value × expected redemption); release points revenue = allocated amount × points redeemed ÷ total points expected to be redeemed; re-estimate each year, catch up.

Principal vs agent · consignment · upfront fees B34–B38, B77–B78

→ **Principal** = controls the good/service before transfer (indicators: primarily responsible, inventory risk, price discretion) → revenue **gross**. Agent → **net** commission. Illus 26: ticket reseller bound to buy tickets → principal. Illus 27: ad agency controls the service though no inventory risk/no price discretion → principal.

→ **Consignment:** no revenue on delivery to the consignee; revenue when the consignee sells or must pay (Illus 25).

→ **Non-refundable upfront fee** not tied to a transferred good → advance for future goods; recognise over the period (include renewals if it gives a material right).

Q5(a) material

④ Step 3 — transaction price 115.47–72

Variable consideration and the constraint

→ Discounts, rebates, refunds, credits, price concessions, incentives, bonuses, penalties → estimate by **expected value** (many contracts / range of outcomes) or **most likely amount** (two outcomes), whichever predicts better; estimate each element separately.

→ **Constraint:** include only to the extent it is **highly probable** that a significant reversal will not occur. Re-assess every reporting date; changes go to revenue (catch-up).

→ Cash discount for early payment (RTP May 2022): if paid after year-end but before approval, it is evidence → adjust sales.

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Illus 30: ₹ 25 cr + early-completion bonus (expected value 2.125 cr) + quality bonus (most likely 2 cr) = **29.125 cr**. **PQ 3:** 1,30,000 (90%) or 1,10,000 → most likely **1,30,000**. **PQ 2 (price protection):** 5,000 × 70% + 4,500 × 20% + 4,000 × 10% = **4,800** per TV. **PQ 1:** 1,000 − expected reimbursement 50 = **950**.

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Volume rebates: Illus 31 (HT Ltd) — Q1: 10 units × 1,000 = **10,000** (100 units not expected); Q2: estimate changes → 50 × 900 − 10 × 100 = **44,000**. PQ 10 (chargers, same logic): 53,050. TYK 6: expected 2.8 m containers → price ₹ 90; Q1 7 lakh containers → revenue **63 m**, refund liability **7 m**. May 2022 PYQ (nut bolts): liability 24,000 × (200 − 190) = **2,40,000**.

Sale with right of return B20–B27

→ Revenue only for goods **not** expected to be returned; **refund liability** for the rest; **asset** (right to recover goods) at former carrying amount less recovery costs and value loss; reduce cost of sales.

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Illus 34: 1,000 × ₹ 50, 3% expected back, cost ₹ 30 → revenue **48,500**; refund liability **1,500**; asset **900**; cost of sales 29,100. (MTP Nov 2026: 10,000 moulds, same steps; May 2022 PYQ car locks.)

Warranties B28–B33

Type	Test	Accounting
Assurance-type	Only promises the product works as agreed	Ind AS 37 provision (expense)
Service-type	Extra service (sold separately, longer than normal, beyond specification)	Separate PO → allocate price → contract liability → revenue over the coverage

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Illus 35: computers 36,000 incl. extended cover → revenue 32,000; contract liability (service warranty) **4,000**; assurance warranty provision 2,000. **Illus 36:** 100 batteries × 2,000 with 5-year guarantee (normal 1 year) → revenue 1,70,000, contract liability **30,000** (years 2–5), assurance provision 10,000. Sep 2025 MCQ: free service after the 1-year warranty = separate PO, allocate on relative SSP.

Q5(a) material

Significant financing component 115.60–65

When: payment timing gives a significant financing benefit (gap between cash price and promised amount; long interval; interest rates). **Not** significant if: advance paid and timing at customer's discretion; consideration variable on an uncontrollable event (sales royalty — Illus 44); difference is for another reason (retention money protecting the customer — Illus 41; advance from low-credit customers — Illus 43). **Practical expedient:** gap ≤ 1 year → ignore (Illus 47).

How: transaction price = PV at the rate for a **separate financing transaction** with that customer (credit-adjusted), not the contract rate if that is lower. Payment in arrears → revenue at PV, interest income (Ind AS 109). Advance received → contract liability grows with **interest expense**; revenue = liability at transfer.

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Illus 38: ₹ 1,21,000 after 2 years; cash price 1,00,000 → revenue 1,00,000, interest 21,000 over 2 years. **Illus 39 Case B:** 60 × 2,12,470 at 14% → TP **91,31,346**. **Illus 40:** advance 4,000, 6% for 2 years → interest expense **494**; revenue 4,494. **Jan 2026 Q5(a):** 5 × 2,50,438 at 8% contract, 10% market → TP = 2,50,438 × 3.79 = **9,49,160**. **Mercury / Mohan (MTPs, Nov 2022):** instalments discounted → sale at PV (Mercury 9,50,000), finance income over 2 years.

Non-cash consideration · consideration payable to a customer

- Non-cash → FV at **contract inception** (later changes due to its form are not revenue). If FV not reliable → SSP of goods given. Illus 50: 1,000 + ad slots FV 600 = **1,600** (else 1,500). Illus 51: customer-provided tooling FV 2 cr that the supplier controls → TP **27 cr**. Illus 49: shares bonus valued at inception ₹ 100 → 360 cr if earned.
- Payment to customer (slotting fees, coupons, rebates, credits) → **reduce revenue** unless for a distinct good/service at FV. Recognise the reduction at the later of revenue and promise to pay. Illus 52: 1.5 cr on 15 cr commitment = 10% → first month 1.25 − 0.125 = **1.125 cr**. Illus 53: port-in credit → TP 19,200 − 2,000 = **17,200**. TYK 7: rebate coupon → 50 − 25% × 10 = **47.50**. RTP Jan 2026: upfront ₹ 50,000 → reduce revenue in proportion to sales (Q2: 1,22,500).

5 Step 4 — allocate the price 115.73–90

- SSP: observable price → else adjusted market assessment / expected cost plus margin / **residual** (only if price highly variable or uncertain). Illus 54: 10,000 on SSPs 5,000 / 2,500 / 7,500 → 3,300 / 1,700 / 5,000.
- **Discount** goes proportionately unless all 3: each item sold separately; a bundle of some is regularly sold at a discount; that discount ≈ the contract discount → put it on that bundle (Illus 55A; PQ 7). Residual only if result is within the observable range (Illus 55B/C).
- **Variable consideration** goes to one PO if it relates specifically to it and that is consistent with the objective (Illus 56: royalty on Licence B only).
- **Changes in TP** after inception: allocate on the inception SSP basis; satisfied POs → revenue now (Illus 57: bonus 20 lakh to implementation → 60% × 1.2 cr = **72 lakh** to date). Discretionary retention credit → change in price; recognise over remaining term (Illus 58).

Q5(a) material

⑥ Step 5 — when to recognise 115.31–45, B

Over time if ANY one	SM illustration
(a) customer receives and consumes the benefit as you perform	Payroll processing (Illus 59); sea freight — another carrier would not redo it (Illus 60)
(b) your work creates/enhances an asset the customer controls	Building on customer's land
(c) no alternative use **and** enforceable right to payment for work to date (cost + reasonable margin)	Audit opinion (Illus 61); satellite (Illus 62). Illus 63: no right to payment if customer stops → **point in time**

→ **Point in time** indicators: present right to payment, legal title, physical possession, risks and rewards, customer acceptance.

→ **Measuring progress:** output methods (milestones, units) or input methods (cost incurred). Exclude costs that don't show progress (wasted materials). Health club → straight line (Illus 64).

ICAI ·

Uninstalled materials (Illus 65; TYK 3; May 2023): goods not distinct, controlled by customer before installation, significant, procured not made → recognise revenue = **cost** for them (no margin) and exclude from % complete. Illus 65: other costs 5 / 25 lakh = 20% × (50 − 15) = 7 lakh + elevators 15 lakh = **22 lakh**. TYK 3: 20% × 40 lakh + 10 lakh = **18 lakh** (profit 2 lakh). May 2023: **17.60 lakh**.

Repurchase agreements · bill-and-hold · licences

Arrangement	Treatment
Forward or **call** (seller must/can buy back)	Customer has no control → repurchase price < original = **lease**; ≥ original = **financing** (liability; difference = interest). Illus 66: sold 10 lakh, call at 11 lakh → liability 10 lakh, finance cost 1 lakh.
Put (customer can sell back)	Significant economic incentive to exercise (repurchase price well above market)? Yes → lease (price < original) or financing; No → sale with right of return. Illus 67: put at 9 lakh, market 7.5 lakh → incentive → lease; if lapses, revenue at 9 lakh.
Bill-and-hold (Illus 68; May 2022; May 2026)	Revenue before delivery only if all 4: substantive reason (customer asked), goods identified separately, ready for transfer, can't be used/sent elsewhere. Spare parts held → revenue when criteria met; **custodial service** = separate PO, straight line over the holding period. Machine delivered → revenue then.
Licence — **right to access**	Licensor's ongoing activities significantly affect the IP, customer exposed to them, not a separate good → **over time** (franchise with brand upkeep — PQ 4, May 2025; team name and logo — Illus 72)
Licence — **right to use**	IP static (functional) → **point in time** (1975 recording — Illus 69; software with optional updates — Illus 70; completed film — Illus 71)
Sales / usage royalty on a licence	Recognise only when the sale/usage occurs (exception to the constraint)

7 Contract costs 115.91–104

Cost	Capitalise when	Expense
To **obtain** (sales commission)	Incremental (only because the contract was won) and expected to be recovered	Bid costs, legal costs incurred win or lose (unless rechargeable); practical expedient: amortisation period ≤ 1 year
To **fulfil**	Not covered by another Ind AS (16, 38, 2) + relate directly to a contract + create resources for future performance + recoverable	General admin, wasted materials, costs of past performance

→ Amortise on the pattern of transfer, including **expected renewals** (Illus 74: 5 years + 2 expected renewals → **7 years**). Impairment: carrying amount > remaining consideration − costs to provide.

→ Illus 73 (IT outsourcing ₹ 4 lakh): hardware → Ind AS 16; software → Ind AS 38; design and migration/testing → Ind AS 115 asset, amortised over 7 years.

8 Presentation · foreign currency advance

→ **Contract asset** = right to consideration conditional on something other than time (performance done, not yet billable). **Receivable** = unconditional right (only time). **Contract liability** = cash received/due before performance.

→ Advance in foreign currency (RTP Sep 2025; MTP Nov 2026): advance is non-monetary → revenue at the rate on the date of the advance for that portion (Ind AS 21 Appendix B); rest at transaction-date rates.

→ Disclose: disaggregated revenue, contract balances, remaining POs, judgements.

9 Service concession arrangements (Appendix D) Illus 75; Nov 2022 Q2(b) 10 marks

Model	When	Accounting
Financial asset	Unconditional right to receive cash from the **grantor** (annuity, guaranteed amounts)	Receivable at FV (Ind AS 109); construction revenue; borrowing costs expensed
Intangible asset	Right to charge **users** (tolls) — payment depends on usage	Intangible (Ind AS 38) for construction service; amortise over concession; borrowing costs capitalised during construction

→ Operator does not recognise the infrastructure as PPE. Construction and operation are separate POs. Obligation to restore/resurface → Ind AS 37 provision. Both models possible in one contract (split).

10 Exam checklist

Modification: distinct + SSP → new contract; distinct, not SSP → prospective; not distinct → cumulative catch-up (new price × new % − revenue to date).
Variable consideration: expected value vs most likely; constrain; volume rebate → refund liability for the price difference.
Financing: > 1 year and significant → discount at the separate-financing rate; arrears → interest income; advance → interest expense on contract liability.
Material right / points: SSP = incremental discount × purchase × likelihood → allocate → defer → release on use.
Right of return: revenue on expected-to-keep; refund liability; asset at cost.
Bill-and-hold: 4 criteria + separate custodial PO over time.
Licence: ongoing activities that change the IP → access (over time); static IP → use (point in time).
Uninstalled materials: revenue = cost, excluded from % complete.
Always write: **identify the PO** → **transaction price** → **allocation** → **timing**, with the paragraph reference.

Ind AS 115 Revenue from Contracts with Customers — practice sheet

How to use: each topic starts with ICAI's small illustrations and questions (cover the solution, solve, check). Questions that repeat an earlier one are **not printed again** — the box under the original lists each repeat and what changes. Each topic ends with **"Adjustments in this topic — what to do"**: the steps for every adjustment, ICAI's figures, the notes section to re-read, and the question numbers to practise. Every question — illustration, short question or full-scale exam question — sits in its own topic; full-scale ones show the adjustments they test. The last question is the **master question** — do it timed, without looking, to see if you are ready.

Every question header shows its concept and the **notes section and page** (pages = this PDF's notes part, which comes first). SM illustrations, SM TYK and ICAI Practice Questions are ICAI's printed pages; RTP / MTP / past papers are ICAI's text and answers; solutions marked app-written are mine.

Index

No.	Topic	Concept	Source
Q1	A	Scope: what is inside and what is excluded	SM Ch 9 · Test Your Knowledge Q1
Q2	B	Step 1: the five criteria for a contract, and consideration received before they are met	SM Ch 9 · Illustration 1
Q3	B	Step 1: the five criteria for a contract, and consideration received before they are met	SM Ch 9 · Test Your Knowledge Q4
Q4	B	Contract term and termination rights	SM Ch 9 · Illustration 2
Q5	B	Contract term and termination rights	SM Ch 9 · Illustration 3
Q6	B	Combining contracts	SM Ch 9 · Illustration 4
Q7	B	Combining contracts	SM Ch 9 · Illustration 5
Q8	B	Combining contracts	SM Ch 9 · Illustration 6
Q9	B	Contract modifications	SM Ch 9 · Illustration 7
Q10	B	Contract modifications	SM Ch 9 · Illustration 8
Q11	B	Contract modifications	SM Ch 9 · Illustration 9
Q12	B	Contract modifications	ICAI Practice Questions · Ch 9 Q8 (+4 repeats)
Q13	B	Contract modifications	PYQ May 2023 · Q2(b) · 6 marks
Q14	B	Contract modifications	PYQ Sep 2025 · Q5(a) · 5 marks
Q15	C	Step 2: promises and distinct goods or services	SM Ch 9 · Illustration 10
Q16	C	Step 2: promises and distinct goods or services	SM Ch 9 · Illustration 11
Q17	C	Step 2: promises and distinct goods or services	SM Ch 9 · Illustration 12
Q18	C	Step 2: promises and distinct goods or services	SM Ch 9 · Illustration 14
Q19	C	Step 2: promises and distinct goods or services	SM Ch 9 · Illustration 15
Q20	C	Step 2: promises and distinct goods or services	SM Ch 9 · Illustration 16 ; Significant customisation
Q21	C	Step 2: promises and distinct goods or services	SM Ch 9 · Illustration 17
Q22	C	Step 2: promises and distinct goods or services	SM Ch 9 · Illustration 18

No.	Topic	Concept	Source
Q23	C	Step 2: promises and distinct goods or services	SM Ch 9 · Illustration 19
Q24	C	Step 2: promises and distinct goods or services	SM Ch 9 · Illustration 20-Implied promise to reseller's customers
Q25	C	Step 2: promises and distinct goods or services	SM Ch 9 · Illustration 21-Implied performance obligation
Q26	C	Step 2: promises and distinct goods or services	ICAI Practice Questions · Ch 9 Q6 (+1 repeat)
Q27	C	Step 2: promises and distinct goods or services	PYQ Nov 2024 · Q6(a) · 5 marks (+1 repeat)
Q28	C	Series of distinct goods or services and long-term arrangements	SM Ch 9 · Illustration 13
Q29	C	Series of distinct goods or services and long-term arrangements	SM Ch 9 · Illustration 24
Q30	C	Series of distinct goods or services and long-term arrangements	RTP May 2026 · Q12
Q31	C	Customer options: material rights, loyalty points and renewal options	SM Ch 9 · Illustration 22
Q32	C	Customer options: material rights, loyalty points and renewal options	SM Ch 9 · Illustration 23
Q33	C	Customer options: material rights, loyalty points and renewal options	ICAI Practice Questions · Ch 9 Q5
Q34	C	Customer options: material rights, loyalty points and renewal options	ICAI Practice Questions · Ch 9 Q9 (+1 repeat)
Q35	C	Customer options: material rights, loyalty points and renewal options	PYQ Nov 2022 · Q2(c) · 4 marks
Q36	C	Customer options: material rights, loyalty points and renewal options	PYQ May 2024 · Q5(a) · 5 marks
Q37	C	Customer options: material rights, loyalty points and renewal options	PYQ Nov 2024 · Q5(a) · 5 marks (+1 repeat)
Q38	C	Consignment arrangements	SM Ch 9 · Illustration 25
Q39	C	Principal versus agent	SM Ch 9 · Illustration 26
Q40	C	Principal versus agent	SM Ch 9 · Illustration 27
Q41	C	Non-refundable upfront fees	SM Ch 9 · Illustration 28
Q42	D	Variable consideration and how to estimate it	SM Ch 9 · Illustration 29 : Estimating variable consideration
Q43	D	Variable consideration and how to estimate it	SM Ch 9 · Illustration 30 : Estimating variable consideration
Q44	D	Variable consideration and how to estimate it	SM Ch 9 · Test Your Knowledge Q5

No.	Topic	Concept	Source
Q45	D	Variable consideration and how to estimate it	SM Ch 9 · Test Your Knowledge Q6 (+2 repeats)
Q46	D	Variable consideration and how to estimate it	ICAI Practice Questions · Ch 9 Q1
Q47	D	Variable consideration and how to estimate it	ICAI Practice Questions · Ch 9 Q2
Q48	D	Variable consideration and how to estimate it	ICAI Practice Questions · Ch 9 Q3
Q49	D	Variable consideration and how to estimate it	ICAI Practice Questions · Ch 9 Q10 (+1 repeat)
Q50	D	Variable consideration and how to estimate it	RTP May 2022 · Q19
Q51	D	Constraint on variable consideration and reassessment	SM Ch 9 · Illustration 31 : Volume discount incentive
Q52	D	Constraint on variable consideration and reassessment	SM Ch 9 · Illustration 32 : Measurement of variable consideration
Q53	D	Constraint on variable consideration and reassessment	SM Ch 9 · Illustration 33 : Management fees subject to the constraint
Q54	D	Refund liabilities and sale with a right of return	SM Ch 9 · Illustration 34 : Right of return
Q55	D	Refund liabilities and sale with a right of return	MTP Nov 2026 S-II · Q5(a)
Q56	D	Refund liabilities and sale with a right of return	PYQ May 2022 · Q2(c) · 8 marks
Q57	D	Warranties: assurance-type vs service-type	SM Ch 9 · Illustration 35 : Warranty
Q58	D	Warranties: assurance-type vs service-type	SM Ch 9 · Illustration 36 : Warranty
Q59	D	Significant financing component	SM Ch 9 · Illustration 37 : Financing component: significant or insignificant?
Q60	D	Significant financing component	SM Ch 9 · Illustration 38 : Accounting for significant financing component
Q61	D	Significant financing component	SM Ch 9 · Illustration 39 : Determining the discount rate
Q62	D	Significant financing component	SM Ch 9 · Illustration 40 : Advance payment and assessment of discount rate (+1 repeat)
Q63	D	Significant financing component	SM Ch 9 · Illustration 41 : Withheld payments on a long-term contract
Q64	D	Significant financing component	SM Ch 9 · Illustration 42 : Advance payment
Q65	D	Significant financing component	SM Ch 9 · Illustration 43 : Advance payment
Q66	D	Significant financing component	SM Ch 9 · Illustration 44 : Sales based royalty

No.	Topic	Concept	Source
Q67	D	Significant financing component	SM Ch 9 · Illustration 45 : Payment in arrears
Q68	D	Significant financing component	SM Ch 9 · Illustration 46 : Payment in arrears
Q69	D	Significant financing component	SM Ch 9 · Illustration 47 : Applying practical expedient
Q70	D	Significant financing component	PYQ Nov 2022 · Q2(a) · 6 marks (+2 repeats)
Q71	D	Significant financing component	PYQ Jan 2026 · Q5(a) · 5 marks
Q72	D	Non-cash consideration and customer-provided goods	SM Ch 9 · Illustration 48 : Entitlement to non-cash consideration
Q73	D	Non-cash consideration and customer-provided goods	SM Ch 9 · Illustration 49 : Fair value of non-cash consideration varies for reasons other than
Q74	D	Non-cash consideration and customer-provided goods	SM Ch 9 · Illustration 50 : Non-cash consideration - Free advertising
Q75	D	Non-cash consideration and customer-provided goods	SM Ch 9 · Illustration 51 : Customer-provided goods or services
Q76	D	Non-cash consideration and customer-provided goods	SM Ch 9 · Test Your Knowledge Q2 (+1 repeat)
Q77	D	Non-cash consideration and customer-provided goods	RTP May 2022 · Q1 (+1 repeat)
Q78	D	Consideration payable to a customer	SM Ch 9 · Illustration 52 : Consideration payable to a customer
Q79	D	Consideration payable to a customer	SM Ch 9 · Illustration 53 : Credits to a new customer
Q80	D	Consideration payable to a customer	SM Ch 9 · Test Your Knowledge Q7
Q81	D	Consideration payable to a customer	RTP Jan 2026 · Q14 (+2 repeats)
Q82	E	Step 4: allocate on relative stand-alone selling prices	SM Ch 9 · Illustration 54 : Allocation methodology
Q83	E	Allocating a discount	SM Ch 9 · Illustration 55 : Allocating a discount
Q84	E	Allocating a discount	ICAI Practice Questions · Ch 9 Q7
Q85	E	Allocating variable consideration	SM Ch 9 · Illustration 56 : Allocation of variable consideration (+1 repeat)
Q86	E	Changes in the transaction price	SM Ch 9 · Illustration 57 : Allocating a change in transaction price
Q87	E	Changes in the transaction price	SM Ch 9 · Illustration 58 : Discretionary credit
Q88	F	Performance obligations satisfied over time	SM Ch 9 · Illustration 59

No.	Topic	Concept	Source
Q89	F	Performance obligations satisfied over time	SM Ch 9 · Illustration 60
Q90	F	Performance obligations satisfied over time	SM Ch 9 · Illustration 61
Q91	F	Performance obligations satisfied over time	SM Ch 9 · Illustration 62
Q92	F	Performance obligations satisfied over time	SM Ch 9 · Illustration 63
Q93	F	Performance obligations satisfied over time	RTP Sep 2025 · Q17 (+1 repeat)
Q94	F	Measuring progress: output and input methods	SM Ch 9 · Illustration 64 : Measuring progress on straight line basis
Q95	F	Measuring progress: output and input methods	SM Ch 9 · Illustration 65 : Uninstalled materials
Q96	F	Measuring progress: output and input methods	SM Ch 9 · Test Your Knowledge Q3 (+2 repeats)
Q97	F	Measuring progress: output and input methods	PYQ May 2023 · Q2(c) · 6 marks
Q98	F	Performance obligations satisfied at a point in time	RTP May 2024 · Q12 (+1 repeat)
Q99	F	Performance obligations satisfied at a point in time	RTP Nov 2026 · Q11
Q100	F	Performance obligations satisfied at a point in time	PYQ Jan 2026 · Q6(a) Issue 1 · 5 marks
Q101	F	Repurchase agreements: forward, call and put options	SM Ch 9 · Illustration 66
Q102	F	Repurchase agreements: forward, call and put options	SM Ch 9 · Illustration 67
Q103	F	Bill-and-hold arrangements	SM Ch 9 · Illustration 68 (+2 repeats)
Q104	F	Bill-and-hold arrangements	PYQ May 2022 · Q2(b) · 6 marks (+1 repeat)
Q105	F	Licences of intellectual property: right to access vs right to use	SM Ch 9 · Illustration 69
Q106	F	Licences of intellectual property: right to access vs right to use	SM Ch 9 · Illustration 70 : Assessing the nature of a software licence with unspecified upgrades
Q107	F	Licences of intellectual property: right to access vs right to use	SM Ch 9 · Illustration 71 : Assessing the nature of a film licence and the effect of marketing
Q108	F	Licences of intellectual property: right to access vs right to use	SM Ch 9 · Illustration 72 : Assessing the nature of a team name and logo (+1 repeat)
Q109	F	Licences of intellectual property: right to access vs right to use	ICAI Practice Questions · Ch 9 Q4
Q110	F	Licences of intellectual property: right to access vs right to use	PYQ May 2025 · Q5(a) · 5 marks

No.	Topic	Concept	Source
Q111	G	Costs to fulfil a contract	SM Ch 9 · Illustration 73
Q112	G	Amortisation and impairment of contract cost assets	SM Ch 9 · Illustration 74 : Amortisation
Q113	S	Financial asset model vs intangible asset model	SM Ch 9 · Illustration 75
Q114	S	Financial asset model vs intangible asset model	PYQ Nov 2022 · Q2(b) · 10 marks
Q115	MASTER	Significant financing component	MTP Nov 2022 S-1 · Q3(a) (+1 repeat)

Ⓐ Scope, core principle and transition

Q1 · Scope: what is inside and what is excluded

SM Ch 9 · Test Your Knowledge Q1 · Theory · **Notes §1 scope (p 1)**

1. Q TV released an advertisement in Deshabandhu, a vernacular daily. Instead of paying for the same, Q TV allowed Deshabandhu a free advertisement spot, which was duly utilised by Deshabandu. How revenue for these non-monetary transactions in the area of advertising will be recognized and measured?

Solution — ICAI

1. Paragraph 5(d) of Ind AS 115 excludes non-monetary exchanges between entities in the same line of business to facilitate sales to customers or potential customers. For example, this Standard would not apply to a contract between two oil companies that agree to an exchange of oil to fulfil demand from their customers in different specified locations on a timely basis.

In industries with homogenous products, it is common for entities in the same line of business to exchange products in order to sell them to customers or potential customers other than parties to exchange. The current scenario, on the contrary, will be covered under Ind AS 115 since the same is exchange of dissimilar goods or services because both of the entities deal in different mode of media, i.e., one is print media and another is electronic media and both parties are acting as customers and suppliers for each other.

Further, in the current scenario, it seems it is for consumption by the said parties and hence it does not fall under paragraph 5(d). It may also be noted that, even if it was to facilitate sales to customers or potential customers, it would not be scoped out since the parties are not in the same line of business.

As per paragraph 47 of Ind AS 115, "An entity shall consider the terms of the contract and its customary business practices to determine the transaction price. The transaction price is the amount of consideration to which an entity expects to be entitled in exchange for transferring promised goods or services to a customer, excluding amounts collected on behalf of third parties (for example, some sales taxes). The consideration promised in a contract with a customer may include fixed amounts, variable amounts, or both".

Paragraph 66 of Ind AS 115 provides that to determine the transaction price for contracts in which a customer promises consideration in a form other than cash, an entity shall measure the non-cash consideration (or promise of non-cash consideration) at fair value.

In accordance with the above, Q TV and Deshabandhu should measure the revenue promised in the form of non-cash consideration as per the above referred principles of Ind AS 115.

Ⓐ Adjustments in this topic — what to do

In scope or not?

Notes §1 (p 1) · practise: Q1, Q76

When: *Barter, swaps, leases, financial instruments.*

1. *Exclude leases, insurance, financial instruments, and non-monetary exchanges between entities in the* ***same line of business*** *to facilitate sales.*
2. *Barter between different businesses → in scope: revenue = FV of what is received (else SSP of what is given).*

ICAI figures: *TYK 2: talk time for power → each recognises ₹ 50,000. Jan 2026 MCQ: same-industry bottle swap → outside Ind AS 115.*

Ⓑ Step 1 · Identify the contract

Q2 · Step 1: the five criteria for a contract, and consideration received before they are met

SM Ch 9 · Illustration 1 · Theory · Notes §2 (p 1)

Illustration 1

New Way Ltd. decides to enter a new market that is currently experiencing economic difficulty and expects that in future the economy will improve. New Way Ltd. enters into an arrangement with a customer in the new region for networking products for promised consideration of ₹ 1,250,000. At contract inception, New Way Ltd. expects that it may not be able to collect the full amount from the customer.

Determine how New Way Ltd. will recognize this transaction?

Solution — ICAI

Solution

Assuming the contract meets the other criteria covered within the scope of the model in Ind AS 115, New Way Ltd. need to assess whether collection is probable.

In making this assessment, New Way Ltd. considers whether the customer has the ability and intent to pay the estimated transaction price, which may be an amount less than the contract price.

Q3 · Step 1: the five criteria for a contract, and consideration received before they are met

SM Ch 9 · Test Your Knowledge Q4 · Theory · Notes §2 (p 1)

4. An entity G Ltd. enters into a contract with a customer P Ltd. for the sale of a machinery for ₹ 20,00,000. P Ltd. intends to use the said machinery to start a food processing unit. The food processing industry is highly competitive and P Ltd. has very little experience in the said industry.

   P Ltd. pays a non-refundable deposit of ₹ 1,00,000 at inception of the contract and enters into a long-term financing agreement with G Ltd. for the remaining 95 per cent of the agreed consideration which it intends to pay primarily from income derived from its food processing unit as it lacks any other major source of income. The financing arrangement is provided on a non-recourse basis, which means that if P Ltd. defaults then G Ltd. can repossess the machinery but cannot seek further compensation from P Ltd., even if the full value of the amount owed is not recovered from the machinery. The cost of the machinery for G Ltd. is ₹ 12,00,000. P Ltd. obtains control of the machinery at contract inception.

   When should G Ltd. recognize revenue from sale of machinery to P Ltd. in accordance with Ind AS 115?

Solution — ICAI

4. As per paragraph 9 of Ind AS 115, "An entity shall account for a contract with a customer that is within the scope of this Standard only when all of the following criteria are met:

(a) the parties to the contract have approved the contract (in writing, orally or in accordance with other customary business practices) and are committed to perform their respective obligations;

(b) the entity can identify each party's rights regarding the goods or services to be transferred;

(c) the entity can identify the payment terms for the goods or services to be transferred;

(d) the contract has commercial substance (ie the risk, timing or amount of the entity's future cash flows is expected to change as a result of the contract); and

(e) it is probable that the entity will collect the consideration to which it will be entitled in exchange for the goods or services that will be transferred to the customer. In evaluating whether collectability of an amount of consideration is probable, an entity shall consider only the customer's ability and intention to pay that amount of consideration when it is due. The amount of consideration to which the entity will be entitled may be less than the price stated in the contract if the consideration is variable because the entity may offer the customer a price concession".

Paragraph 9(e) above, requires that for revenue to be recognized, it should be probable that the entity will collect the consideration to which it will be entitled in exchange for the goods or services that will be transferred to the customer. In the given case, it is not probable that G Ltd. will collect the consideration to which it is entitled in exchange for the transfer of the machinery. P Ltd.'s ability to pay may be uncertain due to the following reasons:

(a) P Ltd. intends to pay the remaining consideration (which has a significant balance) primarily from income derived from its food processing unit (which is a business involving significant risk because of high competition in the said industry and P Ltd.'s little experience);

(b) P Ltd. lacks sources of other income or assets that could be used to repay the balance consideration; and

(c) P Ltd.'s liability is limited because the financing arrangement is provided on a non-recourse basis.

In accordance with the above, the criteria in paragraph 9 of Ind AS 115 are not met.

Further, para 15 states that when a contract with a customer does not meet the criteria in paragraph 9 and an entity receives consideration from the customer, the entity shall recognize the consideration received as revenue only when either of the following events has occurred:

(a) the entity has no remaining obligations to transfer goods or services to the customer and all, or substantially all, of the consideration promised by the customer has been received by the entity and is non-refundable; or

(b) the contract has been terminated and the consideration received from the customer is non-refundable.

Para 16 states that an entity shall recognize the consideration received from a customer as a liability until one of the events in paragraph 15 occurs or until the criteria in paragraph 9 are subsequently met. Depending on the facts and circumstances relating to the contract, the liability recognized represents the entity's obligation to either transfer goods or services in the future or refund the consideration received. In either case, the liability shall be measured at the amount of consideration received from the customer.

In accordance with the above, in the given case G Ltd. should account for the non-refundable deposit of ₹ 1,00,000 payment as a deposit liability as none of the events described in paragraph 15 have occurred—that is, neither the entity has received substantially all of the consideration, nor it has terminated the contract. Consequently, in accordance with paragraph 16, G Ltd. will continue to account for the initial deposit as well as any future payments of principal and interest as a deposit liability until the criteria in paragraph 9 are met (i.e. the entity is able to conclude that it is probable that the entity will collect the consideration) or one of the events in paragraph 15 has occurred. Further, G Ltd. will continue to assess the contract in accordance with paragraph 14 to determine whether the criteria in paragraph 9 are subsequently met or whether the events in paragraph 15 of Ind AS 115 have occurred.

Q4 · Contract term and termination rights

SM Ch 9 · Illustration 2 · Theory · Notes §2 (p 1)

Illustration 2

A gymnasium enters into a contract with a new member to provide access to its gym for a 12-month period at ₹ 4,500 per month. The member can cancel his or her membership without penalty after three months. Specify the contract term.

Solution — ICAI

Solution

The enforceable rights and obligations of this contract are for three months, and therefore the contract term is three months.

Q5 · Contract term and termination rights

SM Ch 9 · Illustration 3 · Theory · Notes §2 (p 1)

Illustration 3

Contractor P enters into a manufacturing contract to produce 100 specialised CCTV cameras for Customer Q for a fixed price of ₹ 1,000 per sensor. Customer Q can cancel the contract without a penalty after receiving 10 CCTV cameras. Specify the contract units.

Solution — ICAI

Solution

P determines that because there is no substantive compensation amount payable by Q on termination of the contract – i.e. no termination penalty in the contract – it is akin to a contract to produce 10 CCTV cameras that gives Customer Q an option to purchase additional 90 CCTV cameras. Hence, contract is for 10 units.

Q6 · Combining contracts

SM Ch 9 · Illustration 4 · Theory · Notes §2 (p 1)

Illustration 4

Manufacturer of airplanes for the air force negotiates a contract to design and manufacture new fighter planes for a Kashmir air base. At the same meeting, the manufacturer enters into a separate contract to supply parts for existing planes at other bases.

Would these contracts be combined?

Solution — ICAI

Solution

Contracts were negotiated at the same time, but they appear to have separate commercial objectives. Manufacturing and supply contracts are not dependent on one another, and the planes and the parts are not a single performance obligation. Therefore, contracts for supply of fighter planes and supply of parts shall not be combined and instead, they shall be accounted separately.

Q7 · Combining contracts

SM Ch 9 · Illustration 5 · Theory · Notes §2 (p 1)

Illustration 5

Software Company S enters into a contract to license its customer relationship management software to Customer B. Three days later, in a separate contract, S agrees to provide consulting services to significantly customise the licensed software to function in B's IT environment. B is unable to use the software until the customisation services are complete.

Would these contracts be combined?

Solution — ICAI

Solution

S determines that the two contracts should be combined because they were entered into at nearly the same time with the same customer, and the goods or services in the contracts are a single performance obligation.

Q8 · Combining contracts

SM Ch 9 · Illustration 6 · Theory · Notes §2 (p 1)

Illustration 6

Manufacturer M enters into a contract to manufacture and sell a cyber security system to Government-related Entity P. One week later, in a separate contract, M enters into a contract to sell the same system to Government-related Entity Q. Both entities are controlled by the same government. During the negotiations, M agrees to sell the systems at a deep discount if both P and Q purchases the security system.

Should these contracts be combined or separately accounted?

Solution — ICAI

Solution

M concludes that the said two contracts should be combined because, among other things, P is a related party of Q, the contracts were entered into at nearly the same time and the contracts were negotiated as a single commercial package, which is clearly evident from the fact that discount is being offered if both the parties purchase the security system, thereby also making the consideration in one contract dependent on the other contract.

Q9 · Contract modifications

SM Ch 9 · Illustration 7 · Theory · Notes §2 modification (p 2)

Illustration 7

An entity promises to sell 120 products to a customer for ₹ 120,000 (₹ 1,000 per product). The products are transferred to the customer over a six-month period. The entity transfers control of each product at a point in time. After the entity has transferred control of 60 products to the customer, the contract is modified to require the delivery of an additional 30 products (a total of 150 identical products) to the customer at a price of ₹ 950 per product which is the standalone selling price for such additional products at the time of placing this additional order. The additional 30 products were not included in the initial contract.

It is assumed that additional products are contracted for a price that reflects the stand-alone selling price.

Determine the accounting for the modified contract?

Solution — ICAI

Solution

When the contract is modified, the price of the contract modification for the additional 30 products is an additional ₹ 28,500 or ₹ 950 per product. The pricing for the additional products reflects the stand-alone selling price of the products at the time of the contract modification and the additional products are distinct from the original products.

Accordingly, the contract modification for the additional 30 products is, in effect, a new and separate contract for future products that does not affect the accounting for the existing contract and ₹ 950 per product for the 30 products in the new contract.

Q10 · Contract modifications

SM Ch 9 · Illustration 8 · Theory · Notes §2 modification (p 2)

Illustration 8

On 1st April, 20X1, KLC Ltd. enters into a contract with Mr. K to provide

- *A machine for ₹ 2.5 million*
- *One year of maintenance services for ₹ 55,000 per month*

On 1st October, 20X1, KLC Ltd. and Mr. K agree to modify the contract to reduce the amount of services from ₹ 55,000 per month to ₹ 45,000 per month.

Determine the effect of change in the contract?

Solution — ICAI

Solution

The next six months of services are distinct from the services provided in the first six months before modification in contract,

Therefore, KLC Ltd. will account for the contract modification as if it were a termination of the existing contract and the creation of a new contract.

The consideration allocated to remaining performance obligation is ₹ 270,000, which is the sum of

- The consideration promised by the customer (including amounts already received from the customer) that was included in the estimate of the transaction price and had not yet been recognized as revenue. This amount is zero.
- The consideration promised as part of the contract modification i.e. ₹ 270,000.

Q11 · Contract modifications

SM Ch 9 · Illustration 9 · Numerical · Notes §2 modification (p 2)

Illustration 9

Growth Ltd. enters into an arrangement with a customer for infrastructure outsourcing deal.

Based on its experience, Growth Ltd. determines that customising the infrastructure will take approximately 200 hours in total to complete the project and charges ₹ 150 per hour.

After incurring 100 hours of time, Growth Ltd. and the customer agree to change an aspect of the project and increase the estimate of labour hours by 50 hours at the rate of ₹ 100 per hour.

Determine how contract modification will be accounted for as per Ind AS 115?

Solution — ICAI

Solution

Considering that the remaining goods or services are not distinct, the modification will be accounted for on a cumulative catch up basis, as given below:

Particulars	Hours	Rate (₹)	Amount (₹)
Initial contract amount	200	150	30,000
Modification in contract	50	100	5,000
Contract amount after modification	250	140*	35,000
Revenue to be recognized	100	140	14,000
Revenue already booked	100	150	15,000
Adjustment in revenue			(1,000)

*35,000 / 250 = 140

Q12 · Contract modifications

ICAI Practice Questions · Ch 9 Q8 · Numerical · **Notes §2 modification (p 2)**

8. On 1st April, 20X1, S Limited enters into a contract with Corp Limited to construct heavy-duty equipment for a promised consideration of ₹ 20,00,000 with a bonus of ₹ 2,50,000 if the equipment is completed within 24 months. At the inception of the contract, S Limited correctly accounts for the promised bundle of goods and services as a single performance obligation in accordance with Ind AS 115. At the inception of the contract, the Company expects the costs to be ₹ 11,00,000 and concludes that it is highly probable that a significant reversal in the amount of cumulative revenue recognised will occur. Completion of the heavy-duty equipment is highly susceptible to factors outside of the Company's influence, mainly due to difficulties with the supply of components.

At 31st March, 20X2, S Limited has satisfied 65% of its performance obligation on the basis of costs incurred to date and concludes that the variable consideration is still constrained in accordance with Ind AS 115. However, on 4 June 20X2, the contract is modified with the result that the fixed consideration and expected costs increase by ₹ 1,50,000 and ₹ 80,000 respectively. The time allowable for achieving the bonus is extended by six months with the result that S Limited concludes that it is highly probable that the bonus will be achieved and that the contract remains a single performance obligation.

S Limited wants your opinion on the accounting treatment of contract with Corp Limited in light of Ind AS 115, for the year 20X1-20X2 and 20X2-20X3.

Solution — ICAI

8. **For the year 20X1-20X2**

S Limited accounts for the promised bundle of goods and services as a single performance obligation satisfied over time in accordance with Ind AS 115. At the inception of the contract, S Limited expects the following:

Transaction price	– ₹ 20,00,000
Expected costs	– ₹ 11,00,000
Expected profit (45%)	– ₹ 9,00,000

At contract inception, S Limited excludes the ₹ 2,50,000 bonus from the transaction price because it cannot be concluded that it is highly probable that a significant reversal in the amount of cumulative revenue recognised will not occur. Completion of the heavy-duty equipment is highly susceptible to factors outside the entity's influence.

By the end of the first year, the entity has satisfied 65% of its performance obligation on the basis of costs incurred to date. Costs incurred to date are therefore ₹ 7,15,000 and S Limited reassesses the variable consideration and concludes that the amount is still constrained. Therefore at 31st March, 20X2, the following would be recognised:

Revenue	(A)	– ₹ 13,00,000	(₹ 20,00,000 x 65%)
Costs	(B)	– ₹ 7,15,000	(₹ 11,00,000 x 65%)
Gross profit	(C) i.e.(A-B)	– ₹ 5,85,000	

For the year 20X2-20X3

On 4th June, 20X2, the contract is modified. As a result, the fixed consideration and expected costs increase by ₹ 1,50,000 and ₹ 80,000, respectively.

The total potential consideration after the modification is ₹ 24,00,000 which is ₹ 21,50,000 fixed consideration + ₹ 2,50,000 completion bonus. In addition, the allowable time for achieving the bonus is extended by six months with the result that S Limited concludes that it is highly probable that including the bonus in the transaction price will not result in a significant reversal in the amount of cumulative revenue recognised in accordance with Ind AS 115. Therefore, the bonus of ₹ 2,50,000 can be included in the transaction price.

S Limited also concludes that the contract remains a single performance obligation. Thus, S Limited accounts for the contract modification as if it were part of the original contract. Therefore, S Limited updates its estimates of costs and revenue as follows:

S Limited has satisfied 60.60% of its performance obligation (₹ 7,15,000 actual costs incurred compared to ₹ 11,80,000 total expected costs). The entity recognises additional revenue of ₹ 1,54,400 [(60.60% of ₹ 24,00,000) – ₹ 13,00,000 revenue recognised to date] at the date of modification i.e. on 4th June, 20X2 as a cumulative catch-up adjustment.

Same type — not repeated here. *What changes in each:*

- → ***RTP May 2022 · Q4*** *— Same question as this SM item (ICAI reused it word for word or nearly so) — same answer.*
- → ***MTP May 2026 S-I · Q5(a) Or*** *— Same question as this SM item (ICAI reused it word for word or nearly so) — same answer.*
- → ***MTP May 2023 S-II · Q5(b)*** *— Same question as this SM item (ICAI reused it word for word or nearly so) — same answer.*
- → ***MTP Nov 2022 S-II · Q4(a)*** *— Same question as this SM item (ICAI reused it word for word or nearly so) — same answer.*

Q13 · Contract modifications

PYQ May 2023 · Q2(b) · 6 marks · Numerical · **Notes §2 modification (p 2)**

On 1st April, 2021, Z Limited enters into a contract to construct a manufacturing facility for Mint Limited at a fixed consideration of ₹ 30.00 lakhs. Z Limited can earn an incentive of ₹ 3.75 lakhs if the construction is completed within 24 months. Z Limited expects the costs to be ₹ 16.50 lakhs. At the inception of the contract, Z Limited determines that the contract contains single performance obligation satisfied over time. Z Limited also concludes that it is highly probable that a significant reversal in the amount of cumulative revenue recognized will occur as the completion of the manufacturing facility is highly susceptible to factors outside of the Company's influence, due to exceptionally high rainfall in the region.

At 31st March, 2022, Z Limited has satisfied 65% of its performance obligation on the basis of costs incurred to date and concludes that the variable consideration is still constrained due to uncertain weather conditions.

However, on 15th April, 2022, the contract is modified. The fixed consideration is enhanced by ₹ 2.25 lakhs and the expected costs increases by ₹ 1.20 lakhs. The contract period is also extended by 6 months. Z Limited now concludes that it is highly probable that the incentive award will be achieved. The contract remains a single performance obligation.

Compute, as per applicable Ind AS: (i) For financial year 2022-2023, revenue from the contract, contract costs & resultant profit, (ii) Additional revenue (catch up adjustment) as on the date of modification of the contract i.e. 15th April, 2022. (6 Marks)

PS (printed by ICAI): Read financial year '2022-2023' as '2021-2022'.

Solution — ICAI

Year 1 i.e. financial year 2021-2022

In the given case, at contract inception, Z Ltd. will exclude the performance bonus of ₹ 3,75,000 from the transaction price because it is concluded that there is high probability that a significant reversal in the amount of cumulative revenue recognised will occur as the completion of the manufacturing facility is highly susceptible to factors outside the entity's influence i.e. exceptionally high rainfall in the region.

Therefore, at the inception of the contract, for Z Ltd:

	₹
Transaction Price	30,00,000
Expected costs	(16,50,000)
Expected profit (45%)	13,50,000

As at the year end, 31st March, 2022, Z Ltd. reassessed the variable consideration (i.e. performance bonus) and has concluded that the amount is still uncertain in accordance with paragraphs 56–58 of Ind AS 115. Therefore, the cumulative revenue and costs recognised for the year ended March, 2022 will be as follows:

	₹
Revenue from the contract (65%)	19,50,000
Contract costs	(10,72,500)
Resultant profit	8,77,500

Year 2 i.e. financial year 2022-2023

On 15th April, 2022, Z Ltd. and Mint Ltd. agreed to modified the contract. As a result, the fixed consideration and expected costs increased by ₹ 2,25,000 and ₹ 1,20,000 respectively.

At the date of the modification, since Z Ltd. concluded that it is highly probable that incentive amount will be achieved, it has to include incentive amount of ₹ 3,75,000 in the transaction price. Therefore, the total potential consideration after the modification is ₹ 36,00,000 (₹ 32,25,000 fixed consideration + ₹ 3,75,000 performance bonus) and total estimated cost is ₹ 17,70,000 (₹ 16,50,000 + ₹ 1,20,000).

Further, since the modified contract remains a single performance obligation, Z Ltd. will account for the contract modification, as if it were part of the original contract in accordance with paragraph 21(b) of Ind AS 115.

Z Ltd. will update its measure of progress and estimates at the date of the modification as a cumulative catch-up adjustment as follows:

Calculation of cumulative catch-up adjustment:		₹
Total potential consideration after the modification	A	36,00,000
Actual costs incurred	B	10,72,500
Total expected costs to complete	C	17,70,000
Percent completion of performance obligation (rounded off)	D = B/C	60.6%
Revenue recognised till date	E	19,50,000
Additional revenue to recognised	F = (A x D) - E	2,31,600

Study-material link: variant of SM PQ 8 (S Limited / Corp Limited; same structure with ₹20 lakh + ₹2.5 lakh bonus, 65%, modification +₹1.5 lakh / +₹0.8 lakh).

Q14 · Contract modifications

PYQ Sep 2025 · Q5(a) · 5 marks · Numerical · Notes §2 modification (p 2)

On 1st April, 2023, Shivank Limited entered into a contract with Amey Limited to build an asset for consideration of ₹ 1,20,00,000 with a bonus of ₹ 35,00,000 if the asset is completed within 30 months. At the inception of the contract, Shivank Limited correctly accounted for the promised bundle of goods and services as a single performance obligation in accordance with Ind AS 115 and expected the costs to be ₹ 71,00,000. At the same time, it was concluded that it is highly probable that a significant reversal in the amount of cumulative revenue recognised will occur. Completion of the asset was highly susceptible to factors outside of the Company's influence, mainly due to difficulties with the supply of components.

At 31st March, 2024, Shivank Limited had satisfied 60% of its performance obligation on the basis of costs incurred to date and concluded that the variable consideration was still constrained in accordance with Ind AS 115. However, on 30th April, 2024, the contract was modified with the result that the fixed consideration and expected costs increased by ₹ 15,50,000 and ₹ 7,60,000 respectively. The time allowable for achieving the bonus was extended by four months with the result that Shivank Limited concluded that it is highly probable that the bonus will be achieved and that the contract remained a single performance obligation.

You are required to give your opinion on the accounting treatment of contract for the years 2023-2024 and 2024-2025 with reference to the provisions of Ind AS 115. (5 Marks)

Solution — ICAI

For the year 2023-2024

Shivank Limited accounts for the promised bundle of goods and services as a single performance obligation satisfied over time in accordance with Ind AS 115. At the inception of the contract, Shivank Limited expects the following:

Transaction price	₹ 1,20,00,000
Expected costs	(₹ 71,00,000)
Expected profit (40.83%)	₹ 49,00,000

At contract inception, Shivank Limited excludes ₹ 35,00,000 bonus from the transaction price because it has been concluded that it is highly probable that a significant reversal in the amount of cumulative revenue recognised will occur. Completion of the construction of asset is highly susceptible to factors outside the entity's influence.

By the end of the first year, the entity has satisfied 60% of its performance obligation on the basis of costs incurred to date. Costs incurred to date are therefore ₹ 42,60,000 and Shivank Limited reassesses the variable consideration and concludes that the amount is still constrained. Therefore at 31st March 2024, the following would be recognised:

Revenue	(A)	₹ 72,00,000 (₹ 1,20,00,000 x 60%)
Costs	(B)	(₹ 42,60,000) (₹ 71,00,000 x 60%)
Gross profit	(C) i.e. (A-B)	₹ 29,40,000

For the year 2024-2025

On 30th April 2024, the contract was modified. As a result, the fixed consideration and expected costs increase by ₹ 15,50,000 and ₹ 7,60,000, respectively.

The total potential consideration after the modification is ₹ 1,70,50,000 [which is ₹ 1,35,50,000 (i.e. 1,20,00,000 + 15,50,000) fixed consideration + ₹ 35,00,000 completion bonus]. In addition, the allowable time for achieving the bonus is extended by four months with the result that Shivank Limited concludes that it is highly probable that including the bonus in the transaction price will not result in a significant reversal in the amount of cumulative revenue recognised in accordance with Ind AS 115. Therefore, the bonus of ₹ 35,00,000 can be included in the transaction price.

Shivank Limited also concludes that the contract remains a single performance obligation. Thus, Shivank Limited accounts for the contract modification as if it were part of the original contract. Therefore, Shivank Limited updates its estimates of costs and revenue as follows:

Shivank Limited has satisfied 54.20% of its performance obligation (₹ 42,60,000 actual costs incurred compared to ₹ 78,60,000 total expected costs). The entity recognises additional revenue of ₹ 20,41,100 [(54.20% of ₹ 1,70,50,000) – ₹ 72,00,000 revenue recognised to date] at the date of modification i.e. on 30th April 2024 as a cumulative catch-up adjustment.

Study-material link: variant of SM PQ 8 (same wording; figures changed). Also a near-twin of PYQ May 2023 Q2(b).

Ⓑ Adjustments in this topic — what to do

Does a contract exist? Term and combination

Notes §2 (p 1) · practise: Q2, Q3, Q4, Q5, Q8

When: *Doubtful customer, cancellable contracts, related contracts.*

1. *Five criteria incl. **probable collection** of the amount expected after price concessions.*
2. *Not met → cash received is a liability until obligations end or contract terminates.*
3. *Term = enforceable period; free cancellation shortens it.*
4. *Combine if one package, price-linked, or a single PO.*

ICAI figures: *Illus 2: gym cancellable after 3 months → term 3 months. TYK 4: 5% deposit, high credit risk → liability until criteria met.*

Contract modification

Notes §2 modification (p 2) · practise: Q9, Q10, Q11, Q12, Q13, Q14

When: *Scope or price changes after inception.*

1. *Distinct goods added at SSP → separate contract.*
2. *Remaining goods distinct (price not SSP) → prospective: unrecognised consideration + new consideration over remaining goods.*
3. *Remaining goods not distinct → cumulative catch-up: new price × new % complete − revenue to date.*
4. *Re-assess constrained variable consideration at the modification date.*

ICAI figures: *Illus 9: (1,000). PQ 8: 1,54,400. May 2023: 2,31,600. May 2026 MCQ: (2,000).*

© Step 2 · Identify the performance obligations

Q15 · Step 2: promises and distinct goods or services

SM Ch 9 · Illustration 10 · Theory · Notes §3 (p 2)

Illustration 10

A construction services company enters into a contract with a customer to build a water purification plant. The company is responsible for all aspects of the plant including overall project management, engineering and design services, site preparation, physical construction of the plant, procurement of pumps and equipment for measuring and testing flow volumes and water quality, and the integration of all components.

Determine whether the company has a single or multiple performance obligations under the contract?

Solution — ICAI

Solution

Determining whether a goods or service represents a performance obligation on its own or is required to be aggregated with other goods or services can have a significant impact on the timing of revenue recognition. In order to determine how many performance obligations are present in the contract, the company applies the guidance above. While the customer may be able to benefit from each promised goods or service on its own (or together with other readily available resources), they do not appear to be separately identifiable within the context of the contract. That is, the promised goods and services are subject to significant integration, and as a result will be treated as a single performance obligation.

This is consistent with a view that the customer is primarily interested in acquiring a single asset (a water purification plant) rather than a collection of related components and services.

Q16 · Step 2: promises and distinct goods or services

SM Ch 9 · Illustration 11 · Theory · Notes §3 (p 2)

Illustration 11

An entity provides broadband services to its customers along with voice call service.

Customer buys modem from the entity. However, customer can also get the connection from the entity and modem from any other vendor. The installation activity requires limited effort and the cost involved is almost insignificant. It has various plans where it provides either broadband services or voice call services or both.

Are the performance obligations under the contract distinct?

Solution — ICAI

Solution

Entity promises to customer to provide

- Broadband Service
- Voice Call services
- Modem

Entity's promise to provide goods and services is distinct if

- customer can benefit from the goods or service either on its own or together with other resources that are readily available to the customer, and
- entity's promise to transfer the goods or service to the customer is separately identifiable from other promises in the contract

For broadband and voice call services -

- Broadband and voice services are separately identifiable from other promises as company has various plans to provide the two services separately. These two services are not dependant or interrelated. Also the customer can benefit on its own from the services received.

For sale of modem -

- Customer can either buy product from entity or third party. No significant customisation or modification is required for selling product.

Based on the evaluation we can say that there are three separate performance obligation: -

- Broadband Service
- Voice Call services
- Modem

Q17 · Step 2: promises and distinct goods or services

SM Ch 9 · Illustration 12 · Theory · Notes §3 (p 2)

Illustration 12

An entity enters into a contract to build a power plant for a customer. The entity will be responsible for the overall management of the project including services to be provided like engineering, site clearance, foundation, procurement, construction of the structure, piping and wiring, installation of equipment and finishing.

Determine how many performance obligations does the entity have?

Solution — ICAI

Solution

Based on the discussion above it needs to be determined that the promised goods and services are capable of being distinct as per the principles of Ind AS 115. That is, whether the customer can benefit from the goods and services either on their own or together with other readily available resources. This is evidenced by the fact that the entity, or competitors of the entity, regularly sells many of these goods and services separately to other customers. In addition, the customer could generate economic benefit from the individual goods and services by using, consuming, selling or holding those goods or services.

However, the goods and services are not distinct within the context of the contract. That is, the entity's promise to transfer individual goods and services in the contract are not separately identifiable from other promises in the contract. This is evidenced by the fact that the entity provides a significant service of putting together the various inputs or goods and services into the power plant or the output for which the customer has contracted.

Since both the criteria have not met, the goods and services are not distinct. The entity accounts for all of the goods and services in the contract as a single performance obligation.

Q18 · Step 2: promises and distinct goods or services

SM Ch 9 · Illustration 14 · Theory · Notes §3 (p 2)

Illustration 14

Entity A, a specialty construction firm, enters into a contract with Entity B to design and construct a multi-level shopping centre with a customer car parking facility located in sub-levels underneath the shopping centre. Entity B solicited bids from multiple firms on both phases of the project — design and construction.

The design and construction of the shopping centre and parking facility involves multiple goods and services from architectural consultation and engineering through procurement and installation of all the materials. Several of these goods and services could be considered separate performance obligations because Entity A frequently sells the services, such as architectural consulting and engineering services, as well as standalone construction services based on third party design, separately. Entity A may require to continually alter the design of the shopping centre and parking facility during construction as well as continually assess the propriety of the materials initially selected for the project.

Determine how many performance obligations does the entity A have?

Solution — ICAI

Solution

Entity A analyses that it will be required to continually alter the design of the shopping centre and parking facility during construction as well as continually assess the propriety of the materials initially selected for the project. Therefore, the design and construction phases are highly dependent on one another (i.e., the two phases are highly interrelated). Entity A also determines that significant customisation and modification of the design and construction services is required in order to fulfil the performance obligation under the contract. As such, Entity A concludes that the design and construction services will be bundled and accounted for as one performance obligation.

Q19 · Step 2: promises and distinct goods or services

SM Ch 9 · Illustration 15 · Theory · Notes §3 (p 2)

Illustration 15

An entity, a software developer, enters into a contract with a customer to transfer a software license, perform an installation service and provide unspecified software updates and technical support (online and telephone) for a two-year period. The entity sells the license, installation service and technical support separately. The installation service includes changing the web screen for each type of user (for example, marketing, inventory management and information technology). The installation service is routinely performed by other entities and does not significantly modify the software. The software remains functional without the updates and the technical support.

Determine how many performance obligations does the entity have?

Solution — ICAI

Solution

The entity assesses the goods and services promised to the customer to determine which goods and services are distinct. The entity observes that the software is delivered before the other goods and services and remains functional without the updates and the technical support. Thus, the entity concludes that the customer can benefit from each of the goods and services either on their own or together with the other goods and services that are readily available.

The entity also considers the factors of Ind AS 115 and determines that the promise to transfer each goods and service to the customer is separately identifiable from each of the other promises. In particular, the entity observes that the installation service does not significantly modify or customise the software itself and, as such, the software and the installation service are separate outputs promised by the entity instead of inputs used to produce a combined output.

On the basis of this assessment, the entity identifies four performance obligations in the contract for the following goods or services:

- The software license
- An installation service
- Software updates
- Technical support

Q20 · Step 2: promises and distinct goods or services

SM Ch 9 · Illustration 16 : Significant customisation · Theory · Notes §3 (p 2)

Illustration 16 : Significant customisation

The promised goods and services are the same as in the above Illustration, except that the contract specifies that, as part of the installation service, the software is to be substantially customised to add significant new functionality to enable the software to interface with other customised software applications used by the customer. The customised installation service can be provided by other entities.

Determine how many performance obligations does the entity have?

Solution — ICAI

Solution

The entity assesses the goods and services promised to the customer to determine which goods and services are distinct. The entity observes that the terms of the contract result in a promise to provide a significant service of integrating the licensed software into the existing software system by performing a customised installation service as specified in the contract. In other words, the entity is using the license and the customised installation service as inputs to produce the combined output (i.e. a functional and integrated software system) specified in the contract. In addition, the software is significantly modified and customised by the service. Although the customised installation service can be provided by other entities, the entity determines that within the context of the contract, the promise to transfer the license is not separately identifiable from the customised installation service and, therefore, the criterion on the basis of the factors is not met. Thus, the software license and the customised installation service are not distinct.

The entity concludes that the software updates and technical support are distinct from the other promises in the contract. This is because the customer can benefit from the updates and technical support either on their own or together with the other goods and services that are readily available and because the promise to transfer the software updates and the technical support to the customer are separately identifiable from each of the other promises.

On the basis of this assessment, the entity identifies three performance obligations in the contract for the following goods or services:

a) customised installation service (that includes the software license);

b) software updates; and

c) technical support.

Q21 · Step 2: promises and distinct goods or services

SM Ch 9 · Illustration 17 · Theory · Notes §3 (p 2)

Illustration 17

Telco T Ltd. enters into a two-year contract for internet services with Customer C. C also buys a modem and a router from T Ltd. and obtains title to the equipment. T Ltd. does not require customers to purchase its modems and routers and will provide internet services to customers using other equipment that is compatible with T Ltd.'s network. There is a secondary market in which modems and routers can be bought or sold for amounts greater than scrap value.

Determine how many performance obligations does the entity T Ltd. have?

Solution — ICAI

Solution

T Ltd. concludes that the modem and router are each distinct and that the arrangement includes three performance obligations (the modem, the router and the internet services) based on the following evaluation:

Criterion 1: Capable of being distinct

- C can benefit from the modem and router on their own because they can be resold for more than scrap value.
- C can benefit from the internet services in conjunction with readily available resources – i.e. either the modem and router are already delivered at the time of contract set- up, they could be bought from alternative retail vendors or the internet service could be used with different equipment.

Criterion 2: Distinct within the context of the contract

- T Ltd. does not provide a significant integration service.
- The modem, router and internet services do not modify or customise one another.
- C could benefit from the internet services using routers and modems that are not sold by T Ltd. Therefore, the modem, router and internet services are not highly dependent on or highly inter-related with each other.

Q22 · Step 2: promises and distinct goods or services

SM Ch 9 · Illustration 18 · Theory · Notes §3 (p 2)

Illustration 18

V Ltd. grants Customer C a three-year licence for anti-virus software. Under the contract, V Ltd. promises to provide C with when-and-if-available updates to that software during the licence period. The updates are critical to the continued use of the anti-virus software.

Determine how many performance obligations does the entity have?

Solution — ICAI

Solution

V Ltd. concludes that the licence and the updates are not distinct because the updates are critical to the continued use of the anti-virus during the licence period. C can benefit from the updates together with the licence transferred when the contract is signed.

Therefore, V Ltd. concludes that the licence and the updates are not separately identifiable because the software and the service are inputs into a combined item in the contract – i.e. the nature of V Ltd.'s promise is to provide continuous anti-virus protection for the term of the contract. Therefore, V Ltd. accounts for the licence and the updates as a single performance obligation.

Q23 · Step 2: promises and distinct goods or services

SM Ch 9 · Illustration 19 · Theory · Notes §3 (p 2)

Illustration 19

Media Company P Ltd. offers magazine subscriptions to customers. When customers subscribe, they receive a printed copy of the magazine each month and access to the magazine's online content.

Determine how many performance obligations does the entity have?

Solution — ICAI

Solution

P evaluates whether the promises to provide printed copies and online access are separate performance obligations. P determines that the arrangement includes two performance obligations for the following reasons:

- The printed copies and online access are both capable of being distinct because the customer could use them on their own.

- The printed copies and online access are distinct within the context of the contract because they are different formats, so they do not significantly customise or modify each other, nor is there any transformative relationship into a single output.

Q24 · Step 2: promises and distinct goods or services

SM Ch 9 · Illustration 20-Implied promise to reseller's customers · Theory · Notes §3 (p 2)

Illustration 20-Implied promise to reseller's customers

Software Company K Ltd. enters into a contract with reseller D, which then sells software products to end users. K Ltd. has a customary business practice of providing free telephone support to end users without involving the reseller, and both reseller and the customer expect K Ltd. to continue to provide this support.

Determine how many performance obligations does the entity K Ltd. have?

Solution — ICAI

Solution

In evaluating whether the telephone support is a separate performance obligation, K Ltd. notes that the promise to provide telephone support free of charge to end users is considered a service that meets the definition of a performance obligation when control of the software product transfers to D. As a result, K Ltd. accounts for the telephone support as a separate performance obligation in the transaction with D.

Q25 · Step 2: promises and distinct goods or services

SM Ch 9 · Illustration 21-Implied performance obligation · Theory · **Notes §3 (p 2)**

Illustration 21-Implied performance obligation

Carmaker N Ltd. has a historical practice of offering free maintenance services – e.g. oil changes and tyre rotation – for two years to the end customers of dealers who buy its vehicles. However, the two years' free maintenance is not explicitly stated in the contract with its dealers, but it is typically stated in N's advertisements for the vehicles.

Determine how many performance obligations does the entity have?

Solution — ICAI

Solution

The maintenance is treated as a separate performance obligation in the sale of the vehicle to the dealer. Revenue from the sale of the vehicle is recognized when control of the vehicle is transferred to the dealer. Revenue from the maintenance services is recognized separately as and when the maintenance services are provided to the retail customer.

Q26 · Step 2: promises and distinct goods or services

ICAI Practice Questions · Ch 9 Q6 · Theory · **Notes §3 (p 2)**

6. A property sale contract includes the following:

   (a) Common areas

   (b) Construction services and building material

   (c) Property management services

   (d) Golf membership

   (e) Car park

   (f) Land entitlement

   Analyse whether the above items can be considered as separate performance obligations as per the requirements of Ind AS 115?

Solution — ICAI

6. Paragraph 22 of Ind AS 115 provides that at contract inception, an entity evaluates the promised goods or services to determine which goods or services (or bundle of goods or services) are distinct and therefore constitute a performance obligation.

A performance obligation is a promise in a contract to transfer to the customer either:

- a good or service (or a bundle of goods or services) that is distinct; and
- series of distinct goods or services that are substantially the same and that have the same pattern of transfer to the customer.

As per paragraph 27 of Ind AS 115, a good or service that is promised to a customer is distinct if both of the following criteria are met:

(a) the customer can benefit from the good or service either on its own or together with other resources that are readily available to the customer (i.e. the good or service is capable of being distinct); and

(b) the entity's promise to transfer the good or service to the customer is separately identifiable from other promises in the contract (i.e. the promise to transfer the good or service is distinct within the context of the contract).

Each performance obligation is required to be accounted for separately.

Based on the above guidance, the following table discusses whether the common goods and services in property sale contract should be considered as separate performance obligation or not:

Goods / Service	Whether a separate Performance obligation (PO) or not	Reason
Common areas	Unlikely to be separate PO	Common areas are unlikely to be a separate performance obligation because the interests received in common areas are typically undivided interests that are not separable from the property itself. However, if the common areas were sold separately by the developer, then they could be considered as a separate performance obligation provided that it is distinct in the context of the contract.

Construction services and building material	Unlikely to be separate PO	Construction services and building materials can meet the first criterion as they are items that can be used in conjunction with other readily available goods or services. However, the developer would be considered to be providing a significant integration service as it is bringing together all the separate elements to deliver a complete building.
Property management services and Golf membership	Likely to be separate PO	Property management services and golf membership are likely to be separate performance obligations as they may be used in isolation or with the property already acquired, i.e., management services can be used with the property. These types of services are not significantly customised, integrated with, or dependent on the property. This is because there is no change in their function with or without the property. Also, a property management service could be undertaken by a third party.
Car park and Land entitlement	Analysis required	Items such as car parks and land entitlements generally meet the first criterion – i.e., capable of being distinct – as the buyer benefits from them on their own. Whether the second criterion is met depends on the facts and circumstances. For example, if the land entitlement can be sold separately or pledged as security as a separate item, it may indicate that it is not highly dependent on, or integrated with, other rights received in the contract. In an apartment scenario, the customer can receive an undivided interest in the land on which the apartment block sits. This type of right is generally considered as highly inter-related with the apartment itself.*

*However, if title to the land is transferred to the buyer separately – for example in a single party development – then the separately identifiable criterion may be met.

PS: Other facts and circumstances of each contract should also be carefully examined to determine performance obligations.

Same type — not repeated here. What changes in each:

→ **RTP May 2024 · Q18** — Same question as this SM item (ICAI reused it word for word or nearly so) — same answer.

Q27 · Step 2: promises and distinct goods or services

PYQ Nov 2024 · Q6(a) · 5 marks · Theory · Notes §3 (p 2)

An entity provides broadband services to its customers along with voice call service. Customer buys modem from the entity. However, customer can also get the connection from the entity and modem from any other vendor. The installation activity requires Ltd. effort and the cost involved is almost insignificant. It has various plans where it provides either broadband services or voice call services or both.

Comment on how to identify whether the performance obligations under the contract are distinct by using an automated process? (5 Marks)

Solution — ICAI

To identify the performance obligations under the contract and determine if they are distinct, an automated process can be implemented using technology. The following steps can be taken:

a. Analyze the clauses in the contract related to the services provided (broadband services, voice call services, modem sales).

b. Each clause should be codified using appropriate parameters or tags to capture the relevant information.

c. Assign Boolean values (0 or 1) to each parameter or tag in the codified clauses.

d. Use "0" to represent "No" and "1" to represent "Yes" for each parameter.

e. Define the criteria for evaluating the performance obligations based on the parameters and their Boolean values.

f. Consider factors such as the type of service involved, benefits derived by the customer, and promises made in the contract regarding the transfer of goods or services.

g. Develop an automated algorithm or script that evaluates the Boolean values of the parameters according to the defined criteria.

h. Calculate scores or weights for each parameter based on their significance in determining performance obligations.

i. Utilize the scores or weights assigned to the parameters to determine if the performance obligations are distinct.

j. If the total score exceeds a certain threshold, consider it a separate performance obligation.

The automated process should flag and identify these distinct performance obligations based on the evaluation results.

Considering the above facts, the following conclusion arises:

There are three separate obligations

• Broadband Service

• Voice Call Services

• Modem

Study-material link: variant of SM Illustration 11 (facts verbatim; the PYQ asks for an automated/technology-based process instead of the plain "are the POs distinct?").

Same type — not repeated here. What changes in each:

→ **MTP May 2025 S-II · Q6(a)** — Identical (broadband, voice, modem — automated process; three POs).

Q28 · Series of distinct goods or services and long-term arrangements

SM Ch 9 · Illustration 13 · Theory · Notes §3 (p 2)

Illustration 13

Could the series requirement apply to hotel management services where day to day activities vary, involve employee management, procurement, accounting, etc?

Solution — ICAI

Solution

The series guidance requires each distinct goods or service to be "substantially the same." Management should evaluate this requirement based on the nature of its promise to customer. For example, a promise to provide hotel management services for a specified contract term may meet the series criteria. This is because the entity is providing the same service of "hotel management" each period, even though some on underlying activities may vary each day. The underlying activities for e.g. reservation services, property maintenance services are activities to fulfil the hotel management service rather than separate promises. The distinct service within the series is each time increment of performing the service.

Q29 · Series of distinct goods or services and long-term arrangements

SM Ch 9 · Illustration 24 · Theory · Notes §3 (p 2)

Illustration 24

A cable company provides television services for a fixed rate fee of ₹ 800 per month for a period of 3 years. Cable services is satisfied overtime because customer consumes and receives benefit from services as it is provided i.e. customer generally benefits each day that they have access to cable service.

Determine how many performance obligations does the cable company have?

Solution — ICAI

Solution

Cable company determines that each increment of its services e.g. day or month, is a distinct performance obligation because customer benefits from that period of services on its own. Additionally, each increment of service is separately identifiable from those preceding and following it i.e. one service period does not significantly affect, modify or customise another. Therefore, it can be concluded that its contract with customer is a single performance obligation to provide three years of cable service because each of the distinct increments of service is satisfied over time. Also, cable company uses the same measure of progress to recognize revenue on its cable television service regardless of the contract's time period.

Q30 · Series of distinct goods or services and long-term arrangements

RTP May 2026 · Q12 · Theory · Notes §3 (p 2)

X Ltd. agrees to produce 2,000 customized engines for use by Customer A in its products. X Ltd. concludes that the engines will transfer to Customer A over time because:

- they have no alternative use to X Ltd.; and

- Customer A is contractually obligated to pay X Ltd. for any finished or in-process engines, including a reasonable margin, if Customer A terminates the contract even when no fault of X Ltd.

X Ltd. already has the process in place to produce the engines and is given the design by Customer A, such that X Ltd. does not expect to incur any significant learning curve or design and development costs. X Ltd. uses a method of measuring progress toward complete satisfaction of its manufacturing contracts that takes into account work in progress and finished goods controlled by Customer A.

Require:

(i) State whether the 2000 engines are distinct in nature or not.

(ii) State whether 2000 engines is a single performance obligation or each engine is a separate performance obligation.

Solution — ICAI

(i) X Ltd. concludes that each of the 2,000 engines is distinct, because:

- Customer A can use each engine on its own; and

- each engine is separately identifiable from the others because one does not significantly affect, modify or customize another.

(ii) Despite the fact that each engine is distinct, X Ltd. concludes that the 2,000 units are a single performance obligation because:

- each engine will transfer to Customer A over time; and

- X Ltd. uses the same method to measure progress toward complete satisfaction of the obligation to transfer each engine to Customer A.

Consequently, the transaction price for all 2,000 engines is recognized over time using an appropriate measure of progress. This outcome may be different from the outcome of allocating a fixed amount to each engine if each one was a performance obligation.

Q31 · Customer options: material rights, loyalty points and renewal options

SM Ch 9 · Illustration 22 · Numerical · **Notes §3 options (p 3)**

Illustration 22

Entity sells gym memberships for ₹ 7,500 per year to 100 customers, with an option to renew at a discount in 2nd and 3rd years at ₹ 6,000 per year. Entity estimates an annual attrition rate of 50% each year.

Determine the amount of revenue to be recognized in the first year and the amount of contract liability against the option given to the customer for renewing the membership at discount.

Solution — ICAI

Solution

Allocated price per unit (year) is calculated as follows:

Total estimated memberships is 175 members (Year 1 = 100; Year 2 = 50; Year 3 = 25) = 175

Total consideration is ₹ 12,00,000 {(100 x 7,500) + (50 x 6,000) + (25 x 6,000)}

Allocated price per membership is ₹ 6,857 approx. (12,00,000 / 175)

Based on above, it is to be noted that although entity has collected ₹ 7,500 but revenue can be recognized at ₹ 6,857 approx. per membership and remaining ₹ 643 should be recorded as contract liability against option given to customer for renewing their membership at discount.

Q32 · Customer options: material rights, loyalty points and renewal options

SM Ch 9 · Illustration 23 · Numerical · Notes §3 options (p 3)

Illustration 23

An entity enters into a contract for the sale of Product A for ₹ 1,000. As part of the contract, the entity gives the customer a 40% discount voucher for any future purchases up to ₹ 1,000 in the next 30 days. The entity intends to offer a 10% discount on all sales during the next 30 days as part of a seasonal promotion. The 10% discount cannot be used in addition to the 40% discount voucher.

The entity believes there is 80% likelihood that a customer will redeem the voucher and, on an average, a customer will purchase ₹ 500 of additional products.

Determine how many performance obligations does the entity have and their stand-alone selling price and allocated transaction price.

Solution — ICAI

Solution

Since all customers will receive a 10% discount on purchases during the next 30 days, the only additional discount that provides the customer with a material right is the incremental discount of 30% on the products purchased. The entity accounts for the promise to provide the incremental discount as a separate performance obligation in the contract for the sale of Product A.

The entity believes there is 80% likelihood that a customer will redeem the voucher and, on an average, a customer will purchase ₹ 500 worth of additional products. Consequently, the entity's estimated stand-alone selling price of the discount voucher is ₹ 120 (₹ 500 average purchase price of additional products x 30% incremental discount x 80% likelihood of exercising the option). The stand-alone selling prices of Product A and the discount voucher and the resulting allocation of the ₹ 1,000 transaction price are as follows:

Performance obligations	Stand-alone selling price
Product A	₹ 1000
Discount voucher	₹ 120
Total	₹ 1120

Performance obligations		Allocated transaction price (to nearest ₹10)
Product A	(₹ 1000 ÷ ₹ 1120 × ₹ 1000)	₹ 890
Discount voucher	(₹ 120 ÷ ₹ 1120 × ₹ 1000)	₹ 110
Total		₹ 1000

The entity allocates ₹ 890 to Product A and recognizes revenue for Product A when control transfers. The entity allocates ₹ 110 to the discount voucher and recognizes revenue for the voucher when the customer redeems it for goods or services or when it expires.

Q33 · Customer options: material rights, loyalty points and renewal options

ICAI Practice Questions · Ch 9 Q5 · Numerical · **Notes §3 options (p 3)**

5. KK Ltd. runs a departmental store which awards 10 points for every purchase of ₹ 500 which can be discounted by the customers for further shopping with the same merchant. Unutilised points will lapse on expiry of two years from the date of credit. Value of each point is ₹ 0.50. During the accounting period 20X1-20X2, the entity awarded 1,00,00,000 points to various customers of which 18,00,000 points remained undiscounted. The management expects only 80% of the total award points during the year will be discounted of which normally 60% - 70% are redeemed during the next year.

   The Company has approached your firm with the following queries and has asked you to suggest the accounting treatment (Journal Entries) under the applicable Ind AS for these award points:

   (a) How should the recognition be done for the sale of goods worth ₹ 10,00,000 on a particular day?

   (b) How should the redemption transaction be recorded in the year 20X1-20X2? The Company has requested you to present the sale of goods and redemption as independent transaction. Total sales of the entity is ₹ 5,000 lakhs.

   (c) How much of the deferred revenue should be recognised at the year-end (20X1-20X2) because of the estimation that only 80% of the outstanding points will be redeemed?

   (d) In the next year 20X2-20X3, 60% of the expected outstanding points were discounted Balance 40% of the outstanding points of 20X1-20X2 still remained outstanding. How much of the deferred revenue should the merchant recognize in the year 20X2-20X3 and what will be the amount of balance deferred revenue?

   (e) How much revenue will the merchant recognized in the year 20X3-20X4, if 3,00,000 points are redeemed in the year 20X3-20X4?

Solution — ICAI

5. (a) Points earned on ₹ 10,00,000 @ 10 points on every ₹ 500 = [(10,00,000/500) x 10] = 20,000 points.

It is expected that 80% of the award points will only be redeemed. Hence, considering the likelihood of the variable consideration,

Value of points = 20,000 points x ₹ 0.5 each point x 80% = ₹ 8,000

Revenue recognized for sale of goods	₹ 9,92,063	[10,00,000 x (10,00,000/10,08,000)]
Revenue for points deferred	₹ 7,937	[10,00,000 x (8,000/10,08,000)]

Journal Entry

		₹	₹
Bank A/c	Dr.	10,00,000	
To Sales A/c			9,92,063
To Liability under Customer Loyalty programme			7,937

(b) Points earned on ₹ 50,00,00,000 @ 10 points on every ₹ 500 = [(50,00,00,000/500) x 10] = 1,00,00,000 points.

Value of points considering future likelihood = 1,00,00,000 points x ₹ 0.5 each point x 80% = ₹ 40,00,000

Revenue recognized for sale of goods = ₹ 49,60,31,746 [50,00,00,000 x (50,00,00,000 / 50,40,00,000)]

Revenue for points = ₹ 39,68,254 [50,00,00,000x (40,00,000 / 50,40,00,000)]

Journal Entry in the year 20X1

		₹	₹
Bank A/c	Dr.	50,00,00,000	
To Sales A/c			49,60,31,746
To Liability under Customer Loyalty programme			39,68,254
(On sale of Goods)			
Liability under Customer Loyalty programme	Dr.	32,53,968	
To Sales A/c			32,53,968
(On redemption of [(100 lakhs -18 lakhs) x 80% points]			

Revenue for points to be recognized

Undiscounted points estimated to be recognized next year 18,00,000 x 80%

= 14,40,000 points

Total expected points to be redeemed within 2 years

= 1,00,00,000 x 80% - 80,00,000

Points redeemed in the previous year = (1,00,00,000 – 18,00,000) x 80%

= 65,60,000

Revenue to be recognised with respect to discounted point

= 39,68,254 x (65,60,000/80,00,000) = 32,53,968

(c) Revenue to be deferred with respect to undiscounted point in 20X1-20X2

= 39,68,254 – 32,53,968= 7,14,286

(d) In 20X2-20X3, KK Ltd. would recognize revenue for discounting of 60% of expected outstanding points as follows:

Outstanding points = 18,00,000 x 80% x 60% = 8,64,000 points

Total points discounted till date = 65,60,000 + 8,64,000 = 74,24,000 points

Revenue to be recognized in the year 20X2-20X3 = [{39,68,254 x (74,24,000 / 80,00,000)} – 32,53,968] = ₹ 4,28,572.

Liability under Customer Loyalty programme	Dr.	4,28,572	
To Sales A/c			4,28,572
(On redemption of further 8,64,000 points)			

The Liability under Customer Loyalty programme at the end of the year 20X2-20X3 will be ₹ 7,14,286 – 4,28,572 = 2,85,714.

(e) In the year 20X3-20X4, the merchant will recognized the balance revenue of ₹ 1,84,873 irrespective of the points redeemed as this is the last year for redeeming the points. Journal entry will be as follows:

Liability under Customer Loyalty programme	Dr.	2,85,714	
To Sales A/c			2,85,714
(On redemption of further 5,76,000 points)			

Q34 · Customer options: material rights, loyalty points and renewal options

ICAI Practice Questions · Ch 9 Q9 · Numerical · Notes 53 options (p 3)

9. A Ltd. owns 20 resorts across India. Every customer who stays in any of the resorts owned by A Ltd. is entitled to get points on the basis of total amount paid by him. Under this scheme, 1 point is granted for every ₹ 100 spent for stay in the resort. As per the past experience of A Ltd., the likelihood of exercise of the points is 100% and the standalone price of each such point is ₹ 5. Customer X spends ₹ 10,000 in one of the resorts of A Ltd. What is the accounting treatment for the points granted by A Ltd.?

Solution — ICAI

9. Paragraph B40 of Ind AS 115, inter alia, states that, "if in a contract, an entity grants a customer the option to acquire additional goods or services, that option gives rise to a separate performance obligation only if the option provides a material right to the customer that it would not receive without entering into that contract".

Further, paragraph B41 states that if a customer has the option to acquire an additional good or service at a price that would reflect the stand-alone selling price for that good or service, that option does not provide the customer with a material right even if the option can be exercised only by entering into a previous contract. In those cases, the entity has made a marketing offer that it shall account for in accordance with this Standard only when the customer exercises the option to purchase the additional goods or services.

In the given case, the customer does get a material right by way of a discount of ₹ 500 for every 100 points that he would not receive without the previous stay in that resort. Thus, the customer in effect pays the entity in advance for future goods and the entity recognises revenue when the goods are transferred.

According to paragraph B42, paragraph 74 requires an entity to allocate the transaction price to performance obligations on a relative stand-alone selling price basis. If the standalone selling price for a customer's option to acquire additional goods or services is not directly observable, an entity shall estimate it on the basis of percentage discount the customer may obtain upon exercising the option and the likelihood of the option getting exercised.

In accordance with above, an entity shall account for award credit as a separate performance obligation of the sales transactions in which they are initially granted. The value of the consideration the entity expects to be entitled in respect of the initial sale shall be allocated between the award credits and the other components of the sale.

In the current case, the standalone selling price of the 100 points is ₹ 500. A Ltd. should allocate the fair value of the consideration (i.e. ₹ 10,000) between the points and the other components of the sale as ₹ 476 (500/10,500 x 10,000) and ₹ 9,524 (10,000/10,500 x 10,000) respectively in proportion of their standalone selling price. Since A Ltd. supplies the awards itself (i.e. it acts as a principal), it should recognise ₹ 476 as revenue when points are redeemed.

Same type — not repeated here. *What changes in each:*

→ ***RTP Nov 2022 · Q13*** *— Same question as this SM item (ICAI reused it word for word or nearly so) — same answer.*

Q35 · Customer options: material rights, loyalty points and renewal options

PYQ Nov 2022 · Q2(c) · 4 marks · Numerical · **Notes §3 options (p 3)**

An entity enters into a contract for the sale of Product A for ₹ 10,000. As part of the contract, the entity gives the customer a 40% discount voucher for any future purchases upto ₹ 8,000 in the next 30 days. The entity intends to offer a 10% discount on all sales during the next 30 days as a part of seasonal promotion. The 10% discount cannot be used in addition to the 40% discount voucher.

The entity believes that there is 75% likelihood that a customer will redeem the voucher and, on an average, a customer will purchase ₹ 5,000 of additional products.

You are required to determine how many performance obligations does the entity have with their stand-alone selling price and allocated transaction price? (4 Marks)

Solution — ICAI

Since all customers will receive a 10% discount on purchases during the next 30 days, the only additional discount that provides the customer with a material right is the incremental discount of 30% on the products purchased. The entity accounts for the promise to provide the incremental discount as a separate performance obligation in the contract for the sale of Product A.

The entity believes there is 75% likelihood that a customer will redeem the voucher and on an average a customer will purchase ₹ 5,000 of additional products. Consequently, the entity's estimated stand-alone selling price of the discount voucher is ₹ 1,125 (₹ 5,000 average purchase price of additional products x 30% incremental discount x 75% likelihood of exercising the option). The stand-alone selling prices of Product A and the discount voucher and the resulting allocation of ₹ 10,000 transaction price are as follows:

Performance obligations	Stand-alone selling price
Product A	₹ 10,000
Discount voucher	₹ 1,125
Total	₹ 11,125

Performance obligations		Allocated transaction price (to nearest ₹)
Product A	[(₹ 10,000 ÷ ₹ 11,125) × ₹ 10,000]	₹ 8,989
Discount voucher	[(₹ 1,125 ÷ ₹ 11,125) × ₹ 10,000]	₹ 1,011
Total		₹ 10,000

The entity allocates ₹ 8,989 to Product A and recognises revenue for Product A when control is transferred. The entity allocates ₹ 1,011 to the discount voucher and recognises revenue for the voucher when the customer redeems it for goods or services or when it expires.

Study-material link: variant of SM Illustration 23 (SM: Product A ₹1,000, voucher up to ₹1,000, 80% likelihood, ₹500 average purchase).

Q36 · Customer options: material rights, loyalty points and renewal options

PYQ May 2024 · Q5(a) · 5 marks · Numerical · **Notes §3 options (p 3)**

Q Limited offers a new product X for sale to its customers at a price of ₹ 1,500. As a part of the Scheme, Q Limited gives the customers a discount voucher which entitles them a 30% discount on any future purchases up to ₹ 1,500 in the next 30 days. Q Limited intends to offer a 5% discount on all sales during the next 30 days as a part of the seasonal promotion. The 5% discount cannot be used in addition to the 30% discount voucher. Q Limited believes that there is 80% likelihood that a customer will redeem the voucher and on an average, a customer will purchase ₹ 1,000 of additional products.

Find out is there any performance obligation on the part of Q Limited and if so calculate the stand alone and allocated transaction price. (5 Marks)

Solution — ICAI

Since all customers will receive a 5% discount on purchases during the next 30 days, the only additional discount that provides the customer with a material right is the incremental discount of 25% on the products purchased. The entity accounts for the promise to provide the incremental discount as a separate performance obligation in the contract for the sale of Product X.

The entity believes there is 80% likelihood that a customer will redeem the voucher and, on an average, a customer will purchase ₹ 1,000 worth of additional products. Consequently, the entity's estimated stand-alone selling price of the discount voucher is ₹ 200 (₹ 1,000 average purchase price of additional products x 25% incremental discount x 80% likelihood of exercising the option). The stand-alone selling prices of Product X and the discount voucher and the resulting allocation of the ₹ 1,500 transaction price are as follows:

Performance obligations	Stand-alone selling price ₹
Product X	1,500
Discount voucher	200
Total	1,700

Performance obligations	₹	Allocated transaction price ₹
Product X	(1,500 ÷ 1,700 × 1,500)	1,324
Discount voucher	(200 ÷ 1,700 × 1,500)	176
Total		1,500

The entity allocates ₹ 1,324 to Product X and recognizes revenue for Product X when control transfers.

The entity allocates ₹ 176 to the discount voucher and recognizes revenue for the voucher when the customer redeems it for goods or services or when it expires.

Study-material link: variant of SM Illustration 23.

Q37 · Customer options: material rights, loyalty points and renewal options

PYQ Nov 2024 · Q5(a) · 5 marks · Numerical · **Notes §3 options (p 3)**

Big Deal Ltd. is a marketing company having its departmental stores in 'A' class city of India. The company sells diversified products. For the purpose of increasing sales and attract customers, the company during the financial year 2023-2024, has adopted the following policy:

(i) For every purchase of ₹ 400 the customer is awarded with 6 points.

(ii) Each point is redeemable on any future purchases of company's same departmental store situated in any of 'A' class city within 3 years i.e. up to 31st March, 2026

(iii) Value of each award point is ₹ 0.60

During the financial year 2023-2024, the Big Deal Ltd:

(i) Assessed that the sales of the company during the year 2023-2024 is ₹ 150 lakhs.

(ii) Awarded 2,25,000 points to various customers during the year.

(iii) Estimated that out of the awarded points, 54,000 points will remain unredeemed as at 31st March, 2024 which shall be eligible for redemption till 31st March, 2026 and;

(iv) Expects only 75% points will be redeemed in the future.

As an accountant of the company, you are required to suggest accounting treatment (Consolidated Journal Entries) in the following case:

How should the sales and redemption transactions be recognized and recorded as independent transactions in the FY 2023-2024 as per Ind AS 115? (5 Marks)

Solution — ICAI

Points earned on ₹ 1,50,00,000 @ 6 points on every ₹ 400

= [(1,50,00,000/400) x 6] = 2,25,000 points.

Out of 2,25,000 points, it is estimated that 54,000 points will remain unredeemed in the current year. Further, it is expected that 75% of the unredeemed points will be redeemed in the future.

Accordingly, value of points will be computed as follows:

Value of points redeemed in the current year

= (2,25,000 - 54,000) points x ₹ 0.6 each point = ₹ 1,02,600

Value of points estimated to be redeemed in future

= 54,000 points x 75% x ₹ 0.6 each point = ₹ 24,300

Total value of loyalty points = ₹ 1,02,600 + ₹ 24,300 = ₹ 1,26,900

Revenue recognized for sale of goods

= ₹ 1,48,74,165 [1,50,00,000 x (1,50,00,000 / 1,51,26,900)]

Revenue for points = ₹ 1,25,835 [1,26,900 x (1,50,00,000 / 1,51,26,900)]

Journal Entry for the year 2023-2024

		₹	₹
Bank A/c	Dr.	1,50,00,000	
To Sales A/c			1,48,74,165
To Liability under Customer Loyalty programme			1,25,835
(On sale of Goods)			
Liability under Customer Loyalty programme	Dr.	1,01,739	
To Sales A/c			1,01,739
(On redemption of (2,25,000 – 54,000) points)			

Revenue for points to be recognized

Undiscounted points estimated to be recognized next year

= 54,000 x 75% = 40,500 points

Total points to be redeemed within 3 years

= [(2,25,000 – 54,000) + 40,500] = 2,11,500 points

Revenue to be recognised with respect to discounted points

= ₹ 1,25,835 x (1,71,000/2,11,500) = ₹ 1,01,739

Note:

The above answer is based on the consideration that 75% likelihood of redemption of award points in future. Alternatively, the 75% likelihood of redemption of award points in future might not be considered. In such a case, the answer would be as follows:

Points earned on ₹ 1,50,00,000 @ 6 points on every ₹ 400.

= [(1,50,00,000/400) x 6] = 2,25,000 points.

Out of 2,25,000 points, it is estimated that 54,000 points will remain unredeemed in the current year.

Accordingly, value of points redeemed in the current year

= 2,25,000 points x ₹ 0.6 each point = ₹ 1,35,000

Revenue recognized for sale of goods

= ₹ 1,48,66,204 [1,50,00,000 x (1,50,00,000 / 1,51,35,000)]

Revenue for points = ₹ 1,33,796 [1,35,000 x (1,50,00,000 / 1,51,35,000)]

Journal Entry for the year 2023-2024

		₹	₹
Bank A/c	Dr.	1,50,00,000	
To Sales A/c			1,48,66,204
To Liability under Customer Loyalty programme			1,33,796
(On sale of Goods)			
Liability under Customer Loyalty programme	Dr.	1,08,175	
To Sales A/c			1,08,175
(On redemption of (2,25,000 – 54,000) points)			

Revenue for points to be recognized

Undiscounted points estimated to be recognized next year

= 54,000 x 75% = 40,500 points

Total points to be redeemed within 3 years

= [(2,25,000 – 54,000) + 40,500] = 2,11,500 points

Revenue to be recognised with respect to discounted points

= ₹ 1,33,796 x (1,71,000 / 2,11,500) = ₹ 1,08,175

Study-material link: variant of SM PQ 5 (KK Ltd departmental store award points; sale and redemption as independent transactions). Also related to SM PQ 9.

Same type — not repeated here. *What changes in each:*

→ ***MTP Jan 2026 S-1 · Q5(a)*** *— Same Big Deal Ltd. facts; ICAI's MTP answer differs slightly in the last step (discounted-points revenue ₹ 1,01,739 vs ₹ 1,08,175 in the paper answer).*

Q38 · Consignment arrangements

SM Ch 9 · Illustration 25 · Theory · Notes §3 (p 3)

Illustration 25

Manufacturer M enters into a 60-day consignment contract to ship 1,000 dresses to Retailer A's stores. Retailer A is obligated to pay Manufacturer M ₹ 20 per dress when the dress is sold to an end customer.

During the consignment period, Manufacturer M has the contractual right to require Retailer A to either return the dresses or transfer them to another retailer. Manufacturer M is also required to accept the return of the inventory. State when the control is transferred.

Solution — ICAI

Solution

Manufacturer M determines that control has not been transferred to Retailer A on delivery, for the following reasons:

(a) Retailer A does not have an unconditional obligation to pay for the dresses until they have been sold to an end customer;

(b) Manufacturer M is able to require that the dresses be transferred to another retailer at any time before Retailer A sells them to an end customer; and

(c) Manufacturer M is able to require the return of the dresses or transfer them to another retailer.

Manufacturer M determines that control of the dresses transfers when they are sold to an end customer i.e. when Retailer A has an unconditional obligation to pay Manufacturer M and can no longer return or otherwise transfer the dresses.

Manufacturer M recognizes revenue as the dresses are sold to the end customer.

Q39 · Principal versus agent

SM Ch 9 · Illustration 26 · Theory · **Notes §3 (p 3)**

Illustration 26

An entity negotiates with major airlines to purchase tickets at reduced rates compared with the price of tickets sold directly by the airlines to the public. The entity agrees to buy a specific number of tickets and will pay for those tickets even if it is not able to resell them. The reduced rate paid by the entity for each ticket purchased is negotiated and agreed in advance. The entity determines the prices at which the airline tickets will be sold to its customers. The entity sells the tickets and collects the consideration from customers when the tickets are sold; therefore, there is no credit risk.

The entity also assists the customers in resolving complaints with the service provided by airlines. However, each airline is responsible for fulfilling obligations associated with the ticket, including remedies to a customer for dissatisfaction with the service.

Determine whether the entity is a principal or an agent.

Solution — ICAI

Solution

To determine whether the entity's performance obligation is to provide the specified goods or services itself (i.e. the entity is a principal) or to arrange for another party to provide those goods or services (i.e. the entity is an agent), the entity considers the nature of its promise. The entity determines that its promise is to provide the customer with a ticket, which provides the right to fly on the specified flight or another flight if the specified flight is changed or cancelled. The entity considers the following indicators for assessment as principal or agent under the contract with the customers:

(a) the entity is primarily responsible for fulfilling the contract, which provides the right to fly. However, the entity is not responsible for providing the flight itself, which will be provided by the airline.

(b) the entity has inventory risk for the tickets because they are purchased before, they are sold to the entity's customers and the entity is exposed to any loss as a result of not being able to sell the tickets for more than the entity's cost.

(c) the entity has discretion in setting the sales prices for tickets to its customers.

The entity concludes that its promise is to provide a ticket (i.e. a right to fly) to the customer. On the basis of the indicators, the entity concludes that it controls the ticket before it is transferred to the customer. Thus, the entity concludes that it is a principal in the transaction and recognizes revenue in the gross amount of consideration to which it is entitled in exchange for the tickets transferred.

Q40 · Principal versus agent

SM Ch 9 · Illustration 27 · Theory · Notes §3 (p 3)

Illustration 27

Company D Ltd. provides advertising services to customers. D Ltd. enters into a sub-contract with a multinational online video sharing company, F Ltd. Under the sub-contract, F Ltd. places all of D Ltd.'s customers' adverts.

D Ltd. notes the following:

- *D Ltd. works directly with customers to understand their advertising needs before placing adverts.*
- *D Ltd. is responsible for ensuring that the advert meets the customer's needs after the advert is placed.*
- *D Ltd. directs F Ltd. over which advert to place and when to place it.*
- *D Ltd. does not bear inventory risk because there is no minimum purchase requirement with F Ltd.*
- *D Ltd. does not have discretion in setting the price because fees are charged based on F Ltd.'s scheduled rates.*

D is Principal or an agent?

Solution — ICAI

Solution

D Ltd. is primarily responsible for fulfilling the promise to provide advertising services. Although F Ltd. delivers the placement service, D Ltd. works directly with customers to ensure that the services are performed to their requirements. Even though D Ltd. does not bear inventory risk and does not have discretion in setting the price, it controls the advertising services before they are provided to the customer. Therefore, D Ltd. is the principal in this case.

Q41 · Non-refundable upfront fees

SM Ch 9 · Illustration 28 · Theory · Notes §3 (p 3)

Illustration 28

A customer buy a new data connection from the telecom entity. It pays one-time registration and activation fees at the time of purchase of new connection. The customer will be charged based on the usage of the data services of the connection on monthly basis.

Are the performance obligations under the contract distinct?

Solution — ICAI

Solution

By selling a new connection, the entity promises to supply data services to customer. Customer will not be able to benefit from just buying a data card and data services from third party. The activity of registering and activating connection is not a service to customer and therefore does not represent satisfaction of performance obligation.

Entity's obligation is to provide data service and hence activation is not a separate performance obligation.

© Adjustments in this topic — what to do

How many performance obligations?

Notes §3 (p 2) · practise: Q15, Q16, Q19, Q20, Q22, Q25, Q26

When: Bundles of goods and services.

1. Capable of being distinct (benefit alone or with readily available resources)?
2. Separately identifiable? Not if integrated, significantly customised, or highly interdependent.
3. Count implied promises (advertised free service). Series of the same service = one PO.
4. Activation / set-up activities are not POs.

ICAI figures: Illus 15: 4 POs; with significant customisation (Illus 16): 3. Illus 18: anti-virus + critical updates = 1.

Material rights, loyalty points, renewal options

Notes §3 options (p 3) · practise: Q31, Q32, Q33, Q34, Q37, Q36

When: Vouchers, points, discounted renewals.

1. Option = separate PO only if it is a material right (more than the discount everyone gets).
2. SSP = incremental discount × expected purchase × probability of use (points: points × value × expected redemption).
3. Allocate the price on relative SSP; defer the option part.
4. Release as used: allocated amount × redeemed ÷ total expected; re-estimate each period.

ICAI figures: Illus 23: 890 / 110. PQ 9: 476 deferred. Illus 22: 6,857 revenue + 643 liability per member.

Principal or agent; consignment

Notes §3 (p 3) · practise: Q38, Q39, Q40

When: Third party involved in delivery.

1. Control before transfer → principal → gross revenue. Otherwise agent → net fee.
2. Consignment → revenue when the consignee sells or must pay.

ICAI figures: Illus 26: committed to buy tickets → principal. Illus 27: controls the ad service → principal though no inventory risk.

Ⓓ Step 3 · Determine the transaction price

Q42 · Variable consideration and how to estimate it

SM Ch 9 · Illustration 29 : Estimating variable consideration · Theory · Notes §4 (p 4)

Illustration 29 : Estimating variable consideration

XYZ Limited enters into a contract with a customer to build sophisticated machinery. The promise to transfer the asset is a performance obligation that is satisfied over time. The promised consideration is ₹ 2.5 crore, but that amount will be reduced or increased depending on the timing of completion of the asset. Specifically, for each day after 31st March, 20X1 that the asset is incomplete, the promised consideration is reduced by ₹ 1 lakh. For each day before 31st March, 20X1 that the asset is complete, the promised consideration increases by ₹ 1 lakh.

In addition, upon completion of the asset, a third party will inspect the asset and assign a rating based on metrics that are defined in the contract. If the asset receives a specified rating, the entity will be entitled to an incentive bonus of ₹ 15 lakh.

Determine the transaction price.

Solution — ICAI

Solution

In determining the transaction price, the entity prepares a separate estimate for each element of variable consideration to which the entity will be entitled using the estimation methods described in paragraph 53 of Ind AS 115:

(a) the entity decides to use the expected value method to estimate the variable consideration associated with the daily penalty or incentive (i.e. ₹ 2.5 crore, plus or minus ₹ 1 lakh per day). This is because it is the method that the entity expects to better predict the amount of consideration to which it will be entitled.

(b) the entity decides to use the most likely amount to estimate the variable consideration associated with the incentive bonus. This is because there are only two possible outcomes (₹ 15 lakh or Nil) and it is the method that the entity expects to better predict the amount of consideration to which it will be entitled.

Q43 · Variable consideration and how to estimate it

SM Ch 9 · Illustration 30 : Estimating variable consideration · Numerical · **Notes §4 (p 4)**

Illustration 30 : Estimating variable consideration

AST Limited enters into a contract with a customer to build a manufacturing facility. The entity determines that the contract contains one performance obligation satisfied over time.

Construction is scheduled to be completed by the end of the 36th month for an agreed-upon price of ₹ 25 crore.

The entity has the opportunity to earn a performance bonus for early completion as follows:

- *15 percent bonus of the contract price if completed by the 30th month (25% likelihood)*
- *10 percent bonus if completed by the 32nd month (40% likelihood)*
- *5 percent bonus if completed by the 34th month (15% likelihood)*

In addition to the potential performance bonus for early completion, AST Limited is entitled to a quality bonus of ₹ 2 crore if a health and safety inspector assigns the facility a gold star rating as defined by the agency in the terms of the contract. AST Limited concludes that it is 60% likely that it will receive the quality bonus.

Determine the transaction price.

Solution — ICAI

Solution

In determining the transaction price, AST Limited separately estimates variable consideration for each element of variability i.e. the early completion bonus and the quality bonus.

AST Limited decides to use the expected value method to estimate the variable consideration associated with the early completion bonus because there is a range of possible outcomes, and the entity has experience with a large number of similar contracts that provide a reasonable basis to predict future outcomes. Therefore, the entity expects this method to best predict the amount of variable consideration associated with the early completion bonus. AST's best estimate of the early completion bonus is ₹ 2.13 crore, calculated as shown in the following table:

Bonus %	Amount of bonus (₹ in crore)	Probability	Probability-weighted amount (₹ in crore)
15%	3.75	25%	0.9375
10%	2.50	40%	1.00
5%	1.25	15%	0.1875
0%	-	20%	-
			2.125

AST Limited decides to use the most likely amount to estimate the variable consideration associated with the potential quality bonus because there are only two possible outcomes (₹ 2 crore or Nil) and this method would best predict the amount of consideration associated with the quality bonus. AST Limited believes the most likely amount of the quality bonus is ₹ 2 crore.

Accordingly, the transaction price would be

₹ 25 crore + ₹ 2.125 crore + ₹ 2 crore = ₹ 29.125 crore.

Q44 · Variable consideration and how to estimate it

SM Ch 9 · Test Your Knowledge Q5 · Numerical · Notes §4 (p 4)

5. Entity I sells a piece of machinery to the customer for ₹ 2 million, payable in 90 days. Entity I is aware at contract inception that the customer might not pay the full contract price. Entity I estimates that the customer will pay atleast ₹ 1.75 million, which is sufficient to cover entity I's cost of sales (₹ 1.5 million) and which entity I is willing to accept because it wants to grow its presence in this market. Entity I has granted similar price concessions in comparable contracts. Entity I concludes that it is highly probable that it will collect ₹ 1.75 million, and such amount is not constrained under the variable consideration guidance.

   What is the transaction price in this arrangement?

Solution — ICAI

5. Entity I is likely to provide a price concession and accept an amount less than ₹ 2 million in exchange for the machinery. The consideration is therefore variable. The transaction price in this arrangement is ₹ 1.75 million, as this is the amount which entity I expects to receive after providing the concession and it is not constrained under the variable consideration guidance. Entity I can also conclude that the collectability threshold is met for ₹ 1.75 million and therefore contract exists.

Q45 · Variable consideration and how to estimate it

SM Ch 9 · Test Your Knowledge Q6 · Numerical · Notes §4 (p 4)

6. On 1st January 20X8, entity J enters into a one-year contract with a customer to deliver water treatment chemicals. The contract stipulates that the price per container will be adjusted retroactively once the customer reaches certain sales volume, defined, as follows:

Price per container	Cumulative sales volume
₹ 100	1 - 1,000,000 containers
₹ 90	1,000,001 - 3,000,000 containers
₹ 85	3,000,001 containers and above

Volume is determined based on sales during the calendar year. There are no minimum purchase requirements. Entity J estimates that the total sales volume for the year will be 2.8 million containers, based on its experience with similar contracts and forecasted sales to the customer.

Entity J sells 700,000 containers to the customer during the first quarter ended 31st March 20X8 for a contract price of ₹ 100 per container.

How should entity J determine the transaction price?

Solution — ICAI

6. The transaction price is ₹ 90 per container based on entity J's estimate of total sales volume for the year, since the estimated cumulative sales volume of 2.8 million containers would result in a price per container of ₹ 90. Entity J concludes that based on a transaction price of ₹ 90 per container, it is highly probable that a significant reversal in the amount of cumulative revenue recognized will not occur when the uncertainty is resolved. Revenue is therefore recognized at a selling price of ₹ 90 per container as each container is sold. Entity J will recognize a liability for cash received in excess of the transaction price for the first 1 million containers sold at ₹ 100 per container (that is, ₹ 10 per container) until the cumulative sales volume is reached for the next pricing tier and the price is retroactively reduced.

For the quarter ended 31st March, 20X8, entity J recognizes revenue of ₹ 63 million (700,000 containers x ₹ 90) and a liability of ₹ 7 million [700,000 containers x (₹ 100 - ₹ 90)].

Entity J will update its estimate of the total sales volume at each reporting date until the uncertainty is resolved.

Same type — not repeated here. *What changes in each:*

- → ***MTP May 2026 S-II · Q5(a)*** *— Same question as this SM item (ICAI reused it word for word or nearly so) — same answer.*
- → ***MTP May 2023 S-II · Q2(d)*** *— Same question as this SM item (ICAI reused it word for word or nearly so) — same answer.*

Q46 · Variable consideration and how to estimate it

ICAI Practice Questions · Ch 9 Q1 · Numerical · **Notes §4 (p 4)**

1. A manufacturer enters into a contract to sell goods to a retailer for ₹ 1,000. The manufacturer also offers price protection, whereby it will reimburse the retailer for any difference between the sale price and the lowest price offered to any customer during the following six months. This clause is consistent with other price protection clauses offered in the past, and the manufacturer believes that it has experience which is predictive for this contract.

   Management expects that it will offer a price decrease of 5% during the price protection period. Management concludes that it is highly probable that a significant reversal of cumulative revenue will not occur if estimates change.

   How should the manufacturer determine the transaction price?

Solution — ICAI

1. The transaction price is ₹ 950, because the expected reimbursement is ₹ 50. The expected payment to the retailer is reflected in the transaction price at contract inception, as that is the amount of consideration to which the manufacturer expects to be entitled after the price protection. The manufacturer will recognize a liability for the difference between the invoice price and the transaction price, as this represents the cash that it expects to refund to the retailer. The manufacturer will update its estimate of expected reimbursement at each reporting date until the uncertainty is resolved.

Q47 · Variable consideration and how to estimate it

ICAI Practice Questions · Ch 9 Q2 · Numerical · **Notes §4 (p 4)**

2. Electronics Manufacturer M sells 1,000 televisions to Retailer R for ₹ 50,00,000 (₹ 5,000 per television). M provides price protection to R by agreeing to reimburse R for the difference between this price and the lowest price that it offers for that television during the following six months. Based on M's extensive experience with similar arrangements, it estimates the following outcomes.

Price reduction in next six months (₹)	Probability
0	70%
₹ 500	20%
₹ 1,000	10%

Determine the transaction price.

Solution — ICAI

2. After considering all relevant facts and circumstances, M determines that the expected value method provides the best prediction of the amount of consideration to which it will be entitled. As a result, it estimates the transaction price to be ₹ 4,800 per television – i.e. (₹ 5,000 x 70%) + (₹ 4,500 x 20%) + (₹ 4,000 x 10%).

Q48 · Variable consideration and how to estimate it

ICAI Practice Questions · Ch 9 Q3 · Numerical · **Notes §4 (p 4)**

3. Construction Company C enters into a contract with Customer E to build an asset. Depending on when the asset is completed, C will receive either ₹ 1,10,000 or ₹ 1,30,000.

Outcome	Consideration (₹)	Probability
Project completes on time	1,30,000	90%
Project is delayed	1,10,000	10%

Determine the transaction price.

Solution — ICAI

3. Because there are only two possible outcomes under the contract, C determines that using the most likely amount provides the best prediction of the amount of consideration to which it will be entitled. C estimates the transaction price to be ₹ 1,30,000, which is the single most likely amount.

Q49 · Variable consideration and how to estimate it

ICAI Practice Questions · Ch 9 Q10 · Numerical · **Notes §4 (p 4)**

10. On 1st April, 20X1, Entity X enters into a contract with Entity Y to sell mobile chargers for ₹ 100 per charger. As per the terms of the contract, if Entity Y purchases more than 1,000 chargers till March 20X2, the price per charger will be retrospectively reduced to ₹ 90 per unit. Till September 20X1, Entity X sold 95 chargers to Entity Y. Entity X estimates that Entity Y's purchases by March 20X2 will not exceed the required threshold of 1,000 chargers.

    In October 20X1, Entity Y acquires another Entity C and from October 20X1 to December 20X1, Entity X sells an additional 600 chargers to Entity Y. Due to these developments, Entity X estimates that purchases of Entity Y will exceed the 1,000 chargers threshold for the period and therefore, it will be required to retrospectively reduce the price per charger to ₹ 90.

    Analyse the above scenario in light of Ind AS 115 and state how the revenue should be recognised in such a situation.

Solution — ICAI

10. Paragraph 56 of Ind AS 115 states that an entity shall include in the transaction price some or all of an amount of variable consideration estimated in accordance with paragraph 53 only to the extent that it is highly probable that a significant reversal in the amount of cumulative revenue recognised will not occur when the uncertainty associated with the variable consideration is subsequently resolved.

Further, paragraph 57 of Ind AS 115 state that in assessing whether it is highly probable that a significant reversal in the amount of cumulative revenue recognised will not occur once the uncertainty related to the variable consideration is subsequently resolved, an entity shall consider both the likelihood and the magnitude of the revenue reversal. Factors that could increase the likelihood or the magnitude of a revenue reversal include, but are not limited to, any of the following:

(a) the amount of consideration is highly susceptible to factors outside the entity's influence. Those factors may include volatility in a market, the judgement or actions of third parties, weather conditions and a high risk of obsolescence of the promised good or service.

(b) the uncertainty about the amount of consideration is not expected to be resolved for a long period of time.

(c) the entity's experience (or other evidence) with similar types of contracts is limited, or that experience (or other evidence) has limited predictive value.

(d) the entity has a practice of either offering a broad range of price concessions or changing the payment terms and conditions of similar contracts in similar circumstances.

(e) the contract has a large number and broad range of possible consideration amounts.

Entity X estimates that the consideration in the above contract is variable. Therefore, in accordance with paragraphs 56 and 57 of Ind AS 115, Entity X is required to consider the constraints in estimating variable consideration. Entity X determines that it has significant experience with this product and with the purchasing pattern of Entity Y. Thus, if Entity X concludes that it is highly probable that a significant reversal in the cumulative amount of revenue recognised (i.e. ₹ 100 per unit) will not occur when the uncertainty is resolved (i.e. when the total amount of purchases is known), then the Entity X will recognise revenue of ₹ 9,500 (95 chargers x ₹ 100 per charger) for the half year ended 30th September, 20X1.

Further, paragraphs 87 and 88 of Ind AS 115 that after contract inception, the transaction price can change for various reasons, including the resolution of uncertain events or other changes in circumstances that change the amount of consideration to which an entity expects to be entitled in exchange for the promised goods or services.

An entity shall allocate to the performance obligations in the contract any subsequent changes in the transaction price on the same basis as at contract inception. Consequently, an entity shall not reallocate the transaction price to reflect changes in stand-alone selling prices after contract inception. Amounts allocated to a satisfied performance obligation shall be recognised as revenue, or as a reduction of revenue, in the period in which the transaction price changes."

In accordance with the above, in the month of October 20X1, due to change in circumstances on account of Entity Y acquiring Entity C and consequential increase in sale of chargers to Entity Y, Entity X estimates that Entity Y's purchases will exceed the 1,000 chargers threshold till March 20X2 for the period and therefore, it will be required to retrospectively reduce the price per charger to ₹ 90.

Consequently, the Entity X will recognise revenue of ₹ 53,050 for the quarter ended December 20X1 which is calculated as follows:

Particulars	Amount in ₹
Sale of 600 chargers (600 chargers x ₹ 90 per charger)	54,000
Less: Change in transaction price (95 chargers x ₹ 10 price reduction) for the reduction of revenue relating to units sold till September 20X1.	(950)
Revenue recognised for the quarter ended December 20X1	53,050

Same type — not repeated here. *What changes in each:*

→ ***RTP Nov 2023 · Q17*** *— Same question as this SM item (ICAI reused it word for word or nearly so) — same answer.*

QS0 · Variable consideration and how to estimate it

RTP May 2022 · Q19 · Theory · Notes §4 (p 4)

XYZ Ltd. sells goods to its customer with a promise to give discount of 5% on list price of the goods provided that the payments are received from customer within 15 days. XYZ Ltd. sold goods of ₹5 lakhs to ABC Ltd. between 17th March, 20X1 and 31st March, 20X1. ABC Ltd. paid the dues by 15th April, 20X1 with respect to sales made between 17th March, 20X1 and 31st March, 20X1. Financial statements were approved for issue by Board of Directors on 31st May, 20X1. State whether discount will be adjusted from the sales at the end of the reporting period.

Solution — ICAI

As per Ind AS 115, if the consideration promised in a contract includes a variable amount, an entity shall estimate the amount of consideration to which the entity will be entitled in exchange for transferring the promised goods or services to a customer.

In the instant case, the condition that sales have been made exists at the end of the reporting period and the receipt of payment within 15 days' time after the end of the reporting period and before the approval of the financial statements confirms that the discount is to be provided on those sales. Therefore, it is an adjusting event.

Accordingly, XYZ Ltd. should adjust the sales made to ABC Ltd. With respect to discount of 5% on the list price of the goods.

QS1 · Constraint on variable consideration and reassessment

SM Ch 9 · Illustration 31 : Volume discount incentive · Numerical · Notes §4 (p 4)

Illustration 31 : Volume discount incentive

HT Limited enters into a contract with a customer on 1st April, 20X1 to sell Product X for ₹ 1,000 per unit. If the customer purchases more than 100 units of Product A in a financial year, the contract specifies that the price per unit is retrospectively reduced to ₹ 900 per unit. Consequently, the consideration in the contract is variable.

For the first quarter ended 30th June, 20X1, the entity sells 10 units of Product A to the customer. The entity estimates that the customer's purchases will not exceed the 100 unit threshold required for the volume discount in the financial year. HT Limited determines that it has significant experience with this product and with the purchasing pattern of the customer. Thus, HT Limited concludes that it is highly probable that a significant reversal in the cumulative amount of revenue recognized (i.e. ₹ 1,000 per unit) will not occur when the uncertainty is resolved (i.e. when the total amount of purchases is known).

Further, in May, 20X1, the customer acquires another company and in the second quarter ended 30th September, 20X1 the entity sells an additional 50 units of Product A to the customer. In the light of the new fact, the entity estimates that the customer's purchases will exceed the 100-unit threshold for the financial year and therefore it will be required to retrospectively reduce the price per unit to ₹ 900.

Determine the amount of revenue to be recognize by HT Ltd. for the quarter ended 30th June, 20X1 and 30th September, 20X1.

Solution — ICAI

Solution

The entity recognizes revenue of ₹ 10,000 (10 units × ₹ 1,000 per unit) for the quarter ended 30th June, 20X1.

HT Limited recognizes revenue of ₹ 44,000 for the quarter ended 30th September, 20X1. That amount is calculated from ₹ 45,000 for the sale of 50 units (50 units x ₹ 900 per unit) less the change in transaction price of ₹ 1,000 (10 units x ₹ 100 price reduction) for the reduction of revenue relating to units sold for the quarter ended 30th June, 20X1.

QS2 · Constraint on variable consideration and reassessment

SM Ch 9 · Illustration 32 : Measurement of variable consideration · Numerical · Notes 54 (p 4)

Illustration 32 : Measurement of variable consideration

An entity has a fixed fee contract for ₹ 1 million to develop a product that meets specified performance criteria. Estimated cost to complete the contract is ₹ 9,50,000. The entity will transfer control of the product over five years, and the entity uses the cost-to-cost input method to measure progress on the contract. An incentive award is available if the product meets the following weight criteria:

Weight (kg)	Award % of fixed fee	Incentive fee
951 or greater	0%	—
701–950	10%	₹ 100,000
700 or less	25%	₹ 250,000

The entity has extensive experience creating products that meet the specific performance criteria. Based on its experience, the entity has identified five engineering alternatives that will achieve the 10 percent incentive and two that will achieve the 25 percent incentive. In this case, the entity determined that it has 95 percent confidence that it will achieve the 10 percent incentive and 20 percent confidence that it will achieve the 25 percent incentive.

Based on this analysis, the entity believes 10 percent to be the most likely amount when estimating the transaction price. Therefore, the entity includes only the 10 percent award in the transaction price when calculating revenue because the entity has concluded it is probable that a significant reversal in the amount of cumulative revenue recognized will not occur when the uncertainty associated with the variable consideration is subsequently resolved due to its 95 percent confidence in achieving the 10 percent award.

The entity reassesses its production status quarterly to determine whether it is on the track to meet the criteria for the incentive award. At the end of the year four, it becomes apparent that this contract will fully achieve the weight-based criterion. Therefore, the entity revises its estimate of variable consideration to include the entire 25 percent incentive fee in the year four because, at this point, it is probable that a significant reversal in the amount of cumulative revenue recognized will not occur when including the entire variable consideration in the transaction price.

Evaluate the impact of changes in variable consideration when cost incurred is as follows:

Year	₹
1	50,000
2	1,75,000

3	4,00,000
4	2,75,000
5	50,000

Solution — ICAI

Solution

Note: For simplification purposes, the table calculates revenue for the year independently based on costs incurred during the year divided by total expected costs, with the assumption that total expected costs do not change.

Fixed consideration	A	1,000,000				
Estimated costs to complete*	B	950,000				
		Year 1	Year 2	Year 3	Year 4	Year 5
Total estimated variable amount	C	100,000	100,000	100,000	250,000	250,000
Fixed revenue	D=A x H/B	52,632	184,211	421,053	289,474	52,632
Variable revenue	E=C x H/B	5,263	18,421	42,105	72,368	13,158
Cumulative revenue adjustment	F (see below)	—	—	—	98,683	—
Total revenue	G=D+E+F	57,895	202,632	463,158	460,527	65,790
Costs	H	50,000	175,000	400,000	275,000	50,000
Operating profit	I=G–H	7,895	27,632	63,158	185,527	15,790
Margin (rounded off)	J=I/G	14%	14%	14%	40%	24%

* For simplicity, it is assumed there is no change to the estimated costs to complete throughout the contract period.

* In practice, under the cost-to-cost measure of progress, total revenue for each period is determined by multiplying the total transaction price (fixed and variable) by the ratio of cumulative cost incurred to total estimated costs to complete, less revenue recognized to date.

Calculation of cumulative catch-up adjustment:			
Updated variable consideration	L		250,000
Percent complete in Year 4: (rounded off)	M=N/O		94.736%
Cumulative costs through Year 4	N	900,000	
Estimated costs to complete	O	950,000	
Cumulative variable revenue through Year 4:	P		138,157
Cumulative catch-up adjustment	F= (L x M)–P		98,683

QS3 · Constraint on variable consideration and reassessment

SM Ch 9 · Illustration 33 : Management fees subject to the constraint · Theory · Notes §4 (p 4)

Illustration 33 : Management fees subject to the constraint

On 1st April, 20X1, an entity enters into a contract with a client to provide asset management services for five years. The entity receives a two per cent quarterly management fee based on the client's assets under management at the end of each quarter. At 31st March, 20X2, the client's assets under management are ₹ 100 crore. In addition, the entity receives a performance-based incentive fee of 20 per cent of the fund's return in excess of the return of an observable market index over the five-year period. Consequently, both the management fee and the performance fee in the contract are variable considerations.

Analyse the revenue to be recognized on 31st March, 20X2.

Solution — ICAI

Solution

The entity accounts for the services as a single performance obligation because it is providing a series of distinct services that are substantially the same and have the same pattern of transfer (the services transfer to the customer over time and use the same method to measure progress — that is, a time-based measure of progress).

The entity observes that the promised consideration is dependent on the market and thus is highly susceptible to factors outside the entity's influence. In addition, the incentive fee has a large number and a broad range of possible consideration amounts. The entity also observes that although it has experience with similar contracts, that experience is of little predictive value in determining the future performance of the market. Therefore, at contract inception, the entity cannot conclude that it is highly probable that a significant reversal in the cumulative amount of revenue recognized would not occur if the entity included its estimate of the management fee or the incentive fee in the transaction price.

At each reporting date, the entity updates its estimate of the transaction price. Consequently, at the end of each quarter, the entity concludes that it can include in the transaction price the actual amount of the quarterly management fee because the uncertainty is resolved. However, the entity concludes that it cannot include its estimate of the incentive fee in the transaction price at those dates. This is because there has not been a change in its assessment from contract inception — the variability of the fee based on the market index indicates that the entity cannot conclude that it is highly probable that a significant reversal in the cumulative amount of revenue recognized would not occur if the entity included its estimate of the incentive fee in the transaction price.

At 31st March, 20X2, the client's assets under management are ₹ 100 crore. Therefore, the resulting quarterly management fee and the transaction price is ₹ 2 crore.

At the end of each quarter, the entity allocates the quarterly management fee to the distinct services provided during the quarter. This is because the fee relates specifically to the entity's efforts to transfer the services for that quarter, which are distinct from the services provided in other quarters.

Consequently, the entity recognizes ₹ 2 crore as revenue for the quarter ended 31st March, 20X2.

QS4 · Refund liabilities and sale with a right of return

SM Ch 9 · Illustration 34 : Right of return · Numerical · Notes §4 right of return (p 4)

Illustration 34 : Right of return

An entity enters into contracts with 1,000 customers. Each contract includes the sale of one product for ₹ 50 (1,000 total products × ₹ 50 = ₹ 50,000 total consideration). Cash is received when control of a product transfers. The entity's customary business practice is to allow a customer to return any unused product within 30 days and receive a full refund. The entity's cost of each product is ₹ 30.

The entity applies the requirements in Ind AS 115 to the portfolio of 1,000 contracts because it reasonably expects that, in accordance with paragraph 4, the effects on the financial statements from applying these requirements to the portfolio would not differ materially from applying the requirements to the individual contracts within the portfolio. Since the contract allows a customer to return the products, the consideration received from the customer is variable. To estimate the variable consideration to which the entity will be entitled, the entity decides to use the expected value method (see paragraph 53(a) of Ind AS 115) because it is the method that the entity expects to better predict the amount of consideration to which it will be entitled. Using the expected value method, the entity estimates that 970 products will not be returned.

The entity estimates that the costs of recovering the products will be immaterial and expects that the returned products can be resold at a profit.

Determine the amount of revenue, refund liability and the asset to be recognized by the entity for the said contracts.

Solution — ICAI

Solution

The entity considers the requirements in paragraphs 56 – 58 of Ind AS 115 on constraining estimates of variable consideration to determine whether the estimated amount of variable consideration of ₹ 48,500 (₹ 50 × 970 products not expected to be returned) can be included in the transaction price. The entity considers the factors in paragraph 57 of Ind AS 115 and determines that although the returns are outside the entity's influence, it has significant experience in estimating returns for this product and customer class. In addition, the uncertainty will be resolved within a short time frame (ie the 30-day return period). Thus, the entity concludes that it is highly probable that a significant reversal in the cumulative amount of revenue recognized (i.e. ₹ 48,500) will not occur as the uncertainty is resolved (i.e. over the return period).

The entity estimates that the costs of recovering the products will be immaterial and expects that the returned products can be resold at a profit.

Upon transfer of control of the 1,000 products, the entity does not recognize revenue for the 30 products that it expects to be returned. Consequently, in accordance with paragraphs 55 and B21 of Ind AS 115, the entity recognizes the following:

(a) revenue of ₹ 48,500 (₹ 50 × 970 products not expected to be returned)

(b) a refund liability of ₹ 1,500 (₹ 50 refund × 30 products expected to be returned), and

(c) an asset of ₹ 900 (₹ 30 × 30 products for its right to recover products from customers on settling the refund liability).

QSS · Refund liabilities and sale with a right of return

MTP Nov 2026 S-II · Q5(a) · Numerical · **Notes §4 right of return (p 4)**

Makers Ltd. is engaged in the business of manufacturing a number of products including moulds, dies and machinery. They have a wide customer base in automobile, infrastructure, construction and other sectors both within India and abroad.

Typically, a contract is entered into for sale of each product and consideration is received on the event of delivery of goods to the customer place. The cost of each mould is ₹ 400 and the selling price is ₹ 450. The terms of the contract entitle the customer to return any unused moulds within 30 days and receive a full refund. The Company estimates that the costs of recovering the mould will be immaterial and expects that the returned moulds can be resold at a profit. The company has sold a total of 10,000 moulds during the month ended 31 March, 20X4. From past experience, Makers Ltd expects that 3% of the moulds will be returned during the current year.

Analyse the terms of the revenue contracts with customers for sale of moulds as per applicable Ind AS. Determine the amount of revenue, refund liability and the asset to be recognized by Makers Ltd. for the said contracts explaining the reasons for your answers. Also provide the necessary journal entries. (7 Marks)

Solution — ICAI

The entity applies the requirements in Ind AS 115 to the portfolio of 10,000 moulds because it reasonably expects that the effects on the financial statements to the portfolio would not differ materially from applying the requirements to the individual contracts within the portfolio. Since the contract allows a customer to return the products, the consideration received from the customer is variable.

The entity considers on constraining estimates of variable consideration to determine whether the estimated amount of variable consideration of ₹ 43,65,000 (₹ 450 x 9,700 moulds not expected to be returned) can be included in the transaction price. The entity determines that although the returns are outside the entity's influence, it has significant experience in estimating returns for this product and customer class. In addition, the uncertainty will be resolved within a short time frame (ie the 30-day return period). Thus, the entity concludes that it is highly probable that a significant reversal in the cumulative amount of revenue recognised (i.e. ₹ 43,65,000) will not occur as the uncertainty is resolved (i.e. over the return period).

The entity estimates that the costs of recovering the moulds will be immaterial and expects that the returned moulds can be resold at a profit.

Upon transfer of control of the 10,000 moulds, the entity does not recognise revenue for the 300 moulds that it expects to be returned. Consequently, in accordance with paragraphs 55 and B21 of Ind AS 115, the entity recognises the following:

(a) Revenue of ₹ 43,65,000 (₹ 450 × 9700 moulds not expected to be returned);

(b) A refund liability of ₹ 1,35,000 (₹ 450 refund × 300 moulds expected to be returned); and

(c) A return asset of ₹ 1,20,000 (₹ 400 × 300 moulds for its right to recover products from customers on settling the refund liability).

Journal Entries

Particulars	₹ (Dr.)	₹ (Cr.)
Trade Receivables (Customer) Dr.	45,00,000	
To Revenue		1,35,000
To Refund liability		43,65,000
(Being revenue recognised for the assured value and liability created for variable consideration)		
Return asset Dr.	1,20,000	
To Cost of goods sold		1,20,000
(Being right to recover products from customers on settling the refund liability is accounted for)		

Study-material link: variant of SM Illustration 34 (right of return; same reasoning and paragraph wording, different facts: 10,000 moulds at ₹450/₹400 and 3% returns, against SM's 1,000 products at ₹50/₹30).

Q56 · Refund liabilities and sale with a right of return

PYQ May 2022 · Q2(c) · 8 marks · Numerical · **Notes §4 right of return (p 4)**

Card Ltd. is engaged in the business of manufacturing of car locks and nut bolts.

Car Locks: Typically, a contract is entered into for sale of car locks and consideration is received in the event of delivery of goods to the customer place. The cost of each car lock is ₹ 1,500 and the selling price is ₹ 1,800. The terms of the contract entitles the customer to return any unused car locks within 30 days and receive a full refund. The Company estimates that the costs of recovering the car lock will be immaterial and expects that the returned car locks can be resold at a profit. The Company has sold a total of 20,000 car locks during the month ended 31st March, 2022. From past experience, Card Ltd. expects that 4% of the car locks will be returned in the financial year 2022 - 2023.

Nut Bolts: On 1st April, 2021, Card Ltd. enters into a one year contract with a customer to deliver nut bolts. The contract stipulates that the price per piece will be adjusted retrospectively once the customer reaches certain sales volume, defined, as follows:

Price per piece	Cumulative sales volume
₹ 200	1 – 50,000
₹ 190	50,001 – 1,00,000
₹ 180	1,00,001 & above

Volume is determined based on sales during the financial year. There are no minimum purchase requirements. Card Ltd. estimates that the total sales volume for the year will be 90,000 based on its experience with similar contracts and forecasted sales to the customer.

Card Ltd. sells 24,000 pieces to the customer during the first quarter of the financial year 2021-2022 for a contract price of ₹ 200 per piece.

You are required to:

(i) Analyze the terms of the revenue contracts with customers for sale of car locks as per Ind AS 115. Determine the amount of revenue, refund liability and the asset to be recognized by Card Ltd. for the said contracts of car locks.

(ii) Determine the transaction price, revenue and liability, if any, for nut bolts as per Ind AS 115 at the end of first quarter of the financial year 2021-2022. (8 Marks)

Solution — ICAI

Analysis:

(i) (a) Nature of consideration received:

Card Ltd. applies the requirements in Ind AS 115 to the portfolio of 20,000 car locks because it reasonably expects that the effects on the financial statements from applying the requirements to the portfolio would not differ materially from applying the requirements to the individual contracts within the portfolio. Since the contract allows a customer to return the products, the consideration received from the customer is variable.

(b) Probability of significant reversal of cumulative revenue:

Card Ltd. considers on constraining estimates of variable consideration to determine whether the estimated amount of variable consideration of ₹ 3,45,60,000 (₹ 1,800 x 19,200 car locks not expected to be returned) can be included in the transaction price. Card Ltd. determines that although the returns are outside the entity's influence, it has significant experience in estimating returns for this product and customer class. In addition, the uncertainty will be resolved within a short time frame ie the 30-day return period. Thus, Card Ltd. concludes that it is highly probable that a significant reversal in the cumulative amount of revenue recognised (i.e. ₹ 3,45,60,000) will not occur as the uncertainty will be resolved (i.e. over the return period).

Card Ltd. estimates that the costs of recovering the products will be immaterial and expects that the returned products can be resold at a profit.

Upon transfer of control of the 20,000 car locks, Card Ltd. does not recognise revenue for 800 car locks that it expects to be returned. Consequently, it recognises the following:

(a) revenue of ₹ 3,45,60,000 (₹ 1,800 x 19,200 products not expected to be returned);

(b) a refund liability of ₹ 14,40,000 (₹ 1,800 refund x 800 products expected to be returned); and

(c) an asset of ₹ 12,00,000 (₹ 1,500 x 800 products for its right to recover products from customers on settling the refund liability).

(ii) (a) Transaction Price: The transaction price will be based on Card Ltd.'s estimate of total sales volume for the year. Since Card Ltd. estimates cumulative sales volume of 90,000 nut bolts during the year, transaction price per nut bolt will be ₹ 190. Card Ltd. will update its estimate of the total sales volume at each reporting date until the uncertainty is resolved.

(b) Determination of Revenue: Card Ltd. concludes that based on a transaction price of ₹ 190 per nut bolt, it is highly probable that a significant reversal in the amount of cumulative revenue recognised will not occur when the uncertainty is resolved. Revenue is therefore recognised at a selling price of ₹ 190 per nut bolt as each nut bolt is sold. Accordingly, for the first quarter of the financial year 2021-2022, Card Ltd. recognizes revenue of ₹ 45,60,000 (24,000 nut bolts x ₹ 190).

(c) Determination of Liability: Card Ltd. will recognise a liability for cash received in excess of the transaction price for the first 50,000 nut bolts sold at ₹ 200 per nut bolt (that is, ₹ 10 per nut bolt) until the cumulative sales volume is reached for the next pricing tier and the price is retroactively reduced. Accordingly, for the first quarter of the financial year 2021-2022, Card Ltd. recognizes liability of ₹ 2,40,000 (24,000 nut bolts x (₹ 200 – ₹ 190).

Q57 · Warranties: assurance-type vs service-type

SM Ch 9 · Illustration 35 : Warranty · Numerical · **Notes §4 warranties (p 4)**

Illustration 35 : Warranty

An entity manufactures and sells computers that include an assurance-type warranty for the first 90 days. The entity offers an optional 'extended coverage' plan under which it will repair or replace any defective part for three years from the expiration of the assurance-type warranty. Since the optional 'extended coverage' plan is sold separately, the entity determines that the three years of extended coverage represent a separate performance obligation (i.e. a service-type warranty). The total transaction price for the sale of a computer and the extended warranty is ₹ 36,000. The entity determines that the stand-alone selling prices of the computer and the extended warranty are ₹ 32,000 and ₹ 4,000, respectively. The inventory value of the computer is ₹ 14,400. Furthermore, the entity estimates that, based on its experience, it will incur ₹ 2,000 in costs to repair defects that arise within the 90-day coverage period for the assurance-type warranty.

Pass required journal entries.

Solution — ICAI

Solution

The entity will record the following journal entries:

		₹	₹
Cash / Trade receivables	Dr.	36,000	
Warranty expense	Dr.	2,000	
To Accrued warranty costs (assurance-type warranty)			2,000
To Contract liability (service-type warranty)			4,000
To Revenue			32,000
(To record revenue and contract liabilities related to warranties)			

Cost of goods sold	Dr.	14,400	
To Inventory			14,400
(To derecognize inventory and recognize cost of goods sold)			

The entity derecognizes the accrued warranty liability associated with the assurance-type warranty as actual warranty costs are incurred during the first 90 days after the customer receives the computer. The entity recognizes the contract liability associated with the service-type warranty as revenue during the contract warranty period and recognizes the costs associated with providing the service-type warranty as they are incurred. The entity had to determine whether the repair costs incurred are applied against the warranty reserve already established for claims that occur during the first 90 days or recognized as an expense as incurred.

Q58 · Warranties: assurance-type vs service-type

SM Ch 9 · Illustration 36 : Warranty · Numerical · **Notes 54 warranties (p 4)**

Illustration 36 : Warranty

Entity sells 100 ultra-life batteries for ₹ 2,000 each and provides the customer with a five-year guarantee that the batteries will withstand the elements and continue to perform to specifications. The entity, which normally provides a one-year guarantee to customer purchasing ultra-life batteries, determines that from the years 2 to 5 represent a separate performance obligation. The entity determines that ₹ 1,70,000 of the ₹ 2,00,000 transaction price should be allocated to the batteries and ₹ 30,000 to the service warranty (based on estimated stand-alone selling prices and a relative selling price allocation). The entity's normal one-year warranty cost is ₹ 100 per battery.

Pass required journal entries.

Solution — ICAI

Solution

The entity will record the following journal entries:

Upon delivery of the batteries, the entity records the following entry:

Cash/Receivables	Dr.	2,00,000	
To Revenue			1,70,000
To Contract liability (service warranty)			30,000
Warranty expense	Dr.	10,000	
To Accrued warranty costs (assurance warranty)			10,000

The contract liability is recognized as revenue over the service warranty period (years 2 - 5). The costs of providing the service warranty are recognized as incurred. The assurance warranty obligation is used / derecognized as defective units are replaced / repaired during the initial year of the warranty. Upon expiration of the assurance warranty period, any remaining assurance warranty obligation is reversed.

QS9 · Significant financing component

SM Ch 9 · Illustration 37 : Financing component: significant or insignificant? · Theory · Notes §4 financing (p 5)

Illustration 37 : Financing component: significant or insignificant?

A commercial airplane component supplier enters into a contract with a customer for a promised consideration of ₹70,00,000. Based on an evaluation of the facts and circumstances, the supplier concluded that ₹ 1,40,000 represented an insignificant financing component because of an advance payment received in excess of a year before the transfer of control of the product.

State whether company needs to make any adjustment in determining the transaction price.

What if the advance payment was larger and received further in advance, such that the entity concluded that ₹14,00,000 represented the financing component based on an analysis of the facts and circumstances.

Solution — ICAI

Solution

The entity may conclude that ₹ 1,40,000, or 2 percent of the contract price, is not significant, and the entity may not need to adjust the consideration promised in determining the transaction price.

However, when the advance payment was larger and received further in advance, such that the entity may conclude that ₹ 14,00,000 represents the financing component based on an analysis of the facts and circumstances. In such a case, the entity may conclude that ₹ 14,00,000, or 20 percent of the contract price, is significant, and the entity should adjust the consideration promised in determining the transaction price.

Note: In this illustration, the entity's conclusion that 2 percent of the transaction price was not significant and 20 percent was significant is a judgment based on the entity's facts and circumstances. An entity may reach a different conclusion based on its facts and circumstances.

Q60 · Significant financing component

SM Ch 9 · Illustration 38 : Accounting for significant financing component · Numerical · Notes §4 financing (p 5)

Illustration 38 : Accounting for significant financing component

NKT Limited sells a product to a customer for ₹ 1,21,000 that is payable 24 months after delivery. The customer obtains control of the product at contract inception. The contract permits the customer to return the product within 90 days. The product is new, and the entity has no relevant historical evidence of product returns or other available market evidence.

The cash selling price of the product is ₹ 1,00,000 which represents the amount that the customer would pay upon delivery for the same product sold under otherwise identical terms and conditions as at contract inception. The entity's cost of the product is ₹ 80,000. The contract includes an implicit interest rate of 10 per cent (i.e. the interest rate that over 24 months discounts the promised consideration of ₹ 1,21,000 to the cash selling price of ₹ 1,00,000). Analyse the above transaction with respect to its financing component.

Solution — ICAI

Solution

The contract includes a significant financing component. This is evident from the difference between the amount of promised consideration of ₹ 1,21,000 and the cash selling price of ₹ 1,00,000 at the date that the goods are transferred to the customer.

The contract includes an implicit interest rate of 10 per cent (i.e. the interest rate that over 24 months discounts the promised consideration of ₹ 1,21,000 to the cash selling price of ₹ 1,00,000). The entity evaluates the rate and concludes that it is commensurate with the rate that would be reflected in a separate financing transaction between the entity and its customer at contract inception.

Until the entity receives the cash payment from the customer, interest revenue would be recognized in accordance with Ind AS 109. In determining the effective interest rate in accordance with Ind AS 109, the entity would consider the remaining contractual term.

Comparison with AS 9

Point of accounting	Treatment under Ind AS 115	Treatment under AS 9
Cash selling price ₹ 1,00,000 Promised selling price of ₹ 1,21,000	Transaction price will be bifurcated as ₹ 1,00,000 and ₹ 21,000 ₹ 1,00,000 will be recognised as revenue and ₹ 21,000 shall be treated as interest income being a price difference due to financing arrangement involved in the transaction	Transaction price of ₹ 1,21,000 shall be treated as revenue once the risk and rewards are transferred to the customer. Here, there is no requirement to dissect the transaction price to look for multiple element arrangement like financing component.
Revenue recognized	₹ 1,00,000	₹ 1,21,000
Other income (interest)	₹ 21,000 over 2 years as per Ind AS 109	No interest income is recognized.

Q61 · Significant financing component

SM Ch 9 · Illustration 39 : Determining the discount rate · Numerical · **Notes §4 financing (p 5)**

Illustration 39 : Determining the discount rate

VT Limited enters into a contract with a customer to sell equipment. Control of the equipment transfers to the customer when the contract is signed. The price stated in the contract is ₹ 1 crore plus a 10% contractual rate of interest, payable in 60 monthly instalments of ₹ 2,12,470.

Determine the discounting rate and the transaction price when -

Case A — Contractual discount rate reflects the rate in a separate financing transaction.

Case B — Contractual discount rate does not reflect the rate in a separate financing transaction ie 14%.

Solution — ICAI

Solution

Case A — Contractual discount rate reflects the rate in a separate financing transaction

In evaluating the discount rate in the contract that contains a significant financing component, VT Limited observes that the 10% contractual rate of interest reflects the rate that would be used in a separate financing transaction between the entity and its customer at contract inception (i.e. the contractual rate of interest of 10% reflects the credit characteristics of the customer).

The market terms of the financing mean that the cash selling price of the equipment is ₹ 1 crore. This amount is recognized as revenue and as a loan receivable when control of the equipment transfers to the customer. The entity accounts for the receivable in accordance with Ind AS 109.

Case B — Contractual discount rate does not reflect the rate in a separate financing transaction

In evaluating the discount rate in the contract that contains a significant financing component, the entity observes that the 10% contractual rate of interest is significantly lower than the 14% interest rate that would be used in a separate financing transaction between the entity and its customer at contract inception (i.e. the contractual rate of interest of 10% does not reflect the credit characteristics of the customer). This suggests that the cash selling price is less than ₹ 1 crore.

VT Limited determines the transaction price by adjusting the promised amount of consideration to reflect the contractual payments using the 14% interest rate that reflects the credit characteristics of the customer. Consequently, the entity determines that the transaction price is ₹ 9,131,346 (60 monthly payments of ₹ 212,470 discounted at 14%). The entity recognizes revenue and a loan receivable for that amount. The entity accounts for the loan receivable in accordance with Ind AS 109.

Q62 · Significant financing component

SM Ch 9 · Illustration 40 : Advance payment and assessment of discount rate · Numerical · **Notes §4 financing (p 5)**

Illustration 40 : Advance payment and assessment of discount rate

ST Limited enters into a contract with a customer to sell an asset. Control of the asset will transfer to the customer in two years (i.e. the performance obligation will be satisfied at a point in time). The contract includes two alternative payment options:

1) Payment of ₹ 5,000 in two years when the customer obtains control of the asset or

2) Payment of ₹ 4,000 when the contract is signed. The customer elects to pay ₹ 4,000 when the contract is signed.

ST Limited concludes that the contract contains a significant financing component because of the length of time between when the customer pays for the asset and when the entity transfers the asset to the customer, as well as the prevailing interest rates in the market.

The interest rate implicit in the transaction is 11.8 per cent, which is the interest rate necessary to make the two alternative payment options economically equivalent. However, the entity determines that, the rate that should be used in adjusting the promised consideration is 6%, which is the entity's incremental borrowing rate.

Pass journal entries showing how the entity would account for the significant financing component.

Solution — ICAI

Solution

Journal Entries showing accounting for the significant financing component:

(a) Recognize a contract liability for the ₹ 4,000 payment received at contract inception:

Cash	Dr.	₹ 4,000	
To Contract liability			₹ 4,000

(b) During the two years from contract inception until the transfer of the asset, the entity adjusts the promised amount of consideration and accretes the contract liability by recognizing interest on ₹ 4,000 at 6% for two years:

Interest expense	Dr.	₹ 494*	
To Contract liability			₹ 494
* ₹ 494 = ₹ 4,000 contract liability × (6% interest per year for two years).			

(c) Recognize revenue for the transfer of the asset:

Contract liability	Dr.	₹ 4,494	
To Revenue			₹ 4,494

Same type — not repeated here. *What changes in each:*

→ ***MTP Sep 2025 S-II · Q5(a)*** *— Same question as this SM item (ICAI reused it word for word or nearly so) — same answer.*

Q63 · Significant financing component

SM Ch 9 · Illustration 41 : Withheld payments on a long-term contract · Theory · **Notes §4 financing (p 5)**

Illustration 41 : Withheld payments on a long-term contract

ABC Limited enters into a contract for the construction of a power plant that includes scheduled milestone payments for the performance by ABC Limited throughout the contract term of three years. The performance obligation will be satisfied over time and the milestone payments are scheduled to coincide with the expected performance by ABC Limited. The contract provides that a specified percentage of each milestone payment is to be withheld as retention money by the customer throughout the arrangement and paid to the entity only when the building is complete.

Analyse whether the contract contains any financing component.

Solution — ICAI

Solution

ABC Limited concludes that the contract does not include a significant financing component since the milestone payments coincide with its performance and the contract requires amounts to be retained for reasons other than the provision of finance. The withholding of a specified percentage of each milestone payment is intended to protect the customer from the contractor failing to adequately complete its obligations under the contract.

Q64 · Significant financing component

SM Ch 9 · Illustration 42 : Advance payment · Theory · **Notes §4 financing (p 5)**

Illustration 42 : Advance payment

XYZ Limited, a personal computer (PC) manufacturer, enters into a contract with a customer to provide global PC support and repair coverage for three years along with its PC. The customer purchases this support service at the time of buying the product. Consideration for the service is an additional ₹ 3,000. Customers electing to buy this service must pay for it upfront (i.e. a monthly payment option is not available).

Analyse whether there is any significant financing component in the contract or not.

Solution — ICAI

Solution

To determine whether there is a significant financing component in the contract, the entity considers the nature of the service being offered and the purpose of the payment terms. The entity charges a single upfront amount, not with the primary purpose of obtaining financing from the customer but, instead, to maximise profitability, taking into consideration the risks associated with providing the service. Specifically, if customers could pay monthly, they would be less likely to renew and the population of customers that continue to use the support service in the later years may become smaller and less diverse over time (i.e. customers that choose to renew historically are those that make greater use of the service, thereby increasing the entity's costs). In addition, customers tend to use services more if they pay monthly rather than making an upfront payment. Finally, the entity would incur higher administration costs such as the costs related to administering renewals and collection of monthly payments.

In assessing whether or not the contract contains a significant financing component, XYZ Limited determines that the payment terms were structured primarily for reasons other than the provision of finance to the entity. XYZ Limited charges a single upfront amount for the services because other payment terms (such as a monthly payment plan) would affect the nature of the risks it assumes to provide the service and may make it uneconomical to provide the service. As a result of its analysis, XYZ Limited concludes that there is not a significant financing component.

Q65 · Significant financing component

SM Ch 9 · Illustration 43 : Advance payment · Theory · **Notes §4 financing (p 5)**

Illustration 43 : Advance payment

A computer hardware vendor enters into a three-year arrangement with a customer to provide support services. For customers with low credit ratings, the vendor requires the customer to pay for the entire arrangement in advance of the provision of service. Other customers pay overtime.

Analyse whether there is any significant financing component in the contract or not.

Solution — ICAI

Solution

Due to this customer's credit rating, the customer pays in advance for the three-year term. Because there is no difference between the amount of promised consideration and the cash selling price (that is, the customer does not receive a discount for paying in advance), the vendor requires payment in advance only to protect against customer non-payment, and no other factors exist to suggest the arrangement contains a financing, the vendor concludes this contract does not provide the customer or the entity with a significant benefit of financing.

Q66 · Significant financing component

SM Ch 9 · Illustration 44 : Sales based royalty · Theory · **Notes §4 financing (p 5)**

Illustration 44 : Sales based royalty

A software vendor enters into a contract with a customer to provide a license solely in exchange for a sales-based royalty.

Analyse whether there is any significant financing component in the contract or not.

Solution — ICAI

Solution

Although the payment will be made in arrears, because the total consideration varies based on the occurrence or non-occurrence of a future event that is not within the control of the customer or the entity, the software vendor concludes the contract does not provide the customer or the entity with a significant benefit of financing.

Q67 · Significant financing component

SM Ch 9 · Illustration 45 : Payment in arrears · Theory · Notes §4 financing (p 5)

Illustration 45 : Payment in arrears

An EPC contractor enters into a two-year contract to develop customized machine for a customer. The contractor concludes that the goods and services in this contract constitute a single performance obligation.

Based on the terms of the contract, the contractor determines that it transfers control over time, and recognizes revenue based on an input method best reflecting the transfer of control to the customer. The customer agrees to provide the contractor monthly progress payments, with the final 25 percent payment (holdback payment) due upon contract completion. As a result of the holdback payment, there is a gap between when control transfers and when consideration is received, creating a financing component.

Analyse whether there is any significant financing component in the contract or not.

Solution — ICAI

Solution

There is no difference between the amount of promised consideration and the cash selling price (that is, the customer did not pay a premium for paying a portion of the consideration in arrears). The payment terms included a holdback payment only to ensure successful completion of the project, and no other factors exist to suggest the arrangement contains a financing. Hence, the contractor concludes this contract does not provide the customer or the contractor with a significant benefit of financing.

Q68 · Significant financing component

SM Ch 9 · Illustration 46 : Payment in arrears · Theory · Notes §4 financing (p 5)

Illustration 46 : Payment in arrears

Company Z is a developer and manufacturer of defence systems that is primarily a Tier-II supplier of parts and integrated systems to original equipment manufacturers (OEMs) in the commercial markets. Company Z enters into a contract with Company X for the development and delivery of 5,000 highly technical, specialized missiles for use in one of Company X's platforms.

As a part of the contract, Company X has agreed to pay Company Z for their cost plus an award fee up to ₹ 100 crore. The consideration will be paid by the customer related to costs incurred near the time Company Z incurs such costs. However, the ₹ 100 crore award fee is awarded upon successful completion of the development and test fire of a missile to occur in 16 months from the time the contract is executed.

The contract specifies Company Z will earn up to ₹ 100 crore based on Company X's assessment of Company Z's ability to develop and manufacture a missile that achieves multiple factors, including final weight, velocity, and accuracy.

Partial award fees may be awarded based on a pre-determined scale based on their success.

Assume Company Z has assessed the contract under Ind AS 115 and determined the award fee represents variable consideration. Based on their assessment, Company Z has estimated a total of ₹ 80 crore in the transaction price related to the variable consideration pursuant to guidance within Ind AS 115. Further, the entity has concluded it should recognize revenue over time for a single performance obligation using a cost-to-cost input method.

Analyse whether there is any significant financing component in the contract or not.

Solution — ICAI

Solution

Company Z will transfer control over time beginning shortly after the contract is executed but will not receive the cash consideration related to the award fee component from Company X for more than one year in the future. Hence, Company Z should assess whether the award fee represents a significant financing component.

The intention of the parties in negotiating the award fee due upon completion of the test fire, and based on the results of that test fire, was to provide incentive to Company Z to produce high functioning missiles that achieved successful scoring from Company X. Therefore, it was determined the contract does not contain a significant financing component, and Company Z should not adjust the transaction price.

Q69 · Significant financing component

SM Ch 9 · Illustration 47 : Applying practical expedient · Theory · Notes §4 financing (p 5)

Illustration 47 : Applying practical expedient

Company H enters into a two-year contract to develop customized software for Company C. Company H concludes that the goods and services in this contract constitute a single performance obligation.

Based on the terms of the contract, Company H determines that it transfers control over time, and recognizes revenue based on an input method best reflecting the transfer of control to Company C.

Company C agrees to provide Company H monthly progress payments. Based on the expectation of the timing of costs to be incurred, Company H concludes that progress payments are being made such that the timing between the transfer of control and payment is never expected to exceed one year.

Analyse whether there is any significant financing component in the contract or not.

Solution — ICAI

Solution

Company H concludes it will not need to further assess whether a significant financing component is present and does not adjust the promised consideration in determining the transaction price, as they are applying the practical expedient under Ind AS 115.

As per Ind AS 115.65, an entity shall present the effects of financing (interest revenue or interest expense) separately from revenue from contracts with customers in the statement of profit and loss. Interest revenue or interest expense is recognized only to the extent that a contract asset (or receivable) or a contract liability is recognized in accounting for a contract with a customer.

Q70 · Significant financing component

PYQ Nov 2022 · Q2(a) · 6 marks · Numerical · Notes §4 financing (p 5)

On 1st April, 2021, Mohan Ltd. has sold goods to Hari Ltd. at a consideration of ₹ 7,50,000. The receipt of this is receivable in three equal instalments of ₹ 2,50,000 each over a two-year period (receipts on 1st April, 2021; 31st March 2022 and 31st March 2023).

The company is offering a discount of 5% (i.e. ₹ 37,500), if payment is made in full at the time of sale. The sale agreement reflects an implicit interest rate of 5.358% p.a.

The total consideration to be received from such sale is at ₹ 7,50,000 and hence, the management has recognized the revenue from sale of goods for ₹ 7,50,000.

You are required to analyse whether the above accounting treatment made by the accountant is in compliance of Ind AS. If not, advise the correct treatment alongwith journal entries and extracts of Statement of Profit & Loss and Balance Sheet. (6 Marks)

Solution — ICAI

The revenue from sale of goods shall be recognised at the fair value of the consideration received or receivable. The fair value of the consideration is determined by discounting all future receipts using an imputed rate of interest where the receipt is deferred beyond normal credit terms. The difference between the fair value and the nominal amount of the consideration is recognised as interest revenue. Hence, the accounting treatment of recognizing revenue of ₹ 7,50,000 by the accountant is not correct.

The fair value of consideration (cash price equivalent) of the sale of goods to be recognised on the date of sale should be calculated as follows:

Period	Consideration (Installment) ₹	Present value factor	Present value of consideration ₹
Time of sale	2,50,000	-	2,50,000
End of 1st year	2,50,000	0.949	2,37,250
End of 2nd year	2,50,000	0.901	2,25,250
	7,50,000		7,12,500

Mohan Ltd. will recognise the revenue from sale of goods and finance income as follows:

Particulars		₹	₹
Initial recognition of sale of goods			
Cash / Bank A/c	Dr.	2,50,000	
Trade Receivable A/c	Dr.	4,62,500	
To Sale A/c			7,12,500
Recognition of interest expense and receipt of second installment			
Cash / Bank A/c	Dr.	2,50,000	
To Interest Income A/c (4,62,500 x 5.358%)			24,781
To Trade Receivable A/c			2,25,219
Recognition of interest expense and payment of final installment			
Cash / Bank A/c	Dr.	2,50,000	
To Interest Income A/c (Balancing figure)			12,719
To Trade Receivable A/c (4,62,500 – 2,25,319)			2,37,281

Statement of Profit and Loss (Extracts) for the year ended 31st March, 2022 and 31st March, 2023

	As at 31st March, 2022 ₹	As at 31st March, 2023 ₹
Income		
Sale of Goods	7,12,500	-
Other Income (Finance income)	24,781	12,719

Balance Sheet (extracts) as at 31st March, 2022 and 31st March, 2023

	As at 31st March, 2022 ₹	As at 31st March, 2023 ₹
Assets		
Current Assets		
Financial Assets		
Trade Receivables	2,37,281	XXX

Study-material link: variant of SM Illustrations 38/39 (significant financing component). Not an SM item verbatim.

Same type — not repeated here. *What changes in each:*

- → ***MTP Sep 2025 S-II · Q6(c)*** *— Mercury / Mars: ₹ 10 lakh in three instalments of 3,33,333 (1 Apr 20X1, 31 Mar 20X2, 31 Mar 20X3), 5% cash discount → sale at PV 9,50,000; finance income 33,053 (year 1) and 16,947 (year 2).*
- → ***MTP May 2026 S-II · Q6(a)*** *— Same Mercury / Mars facts with the P&L and balance-sheet extracts (trade receivables 3,16,387 at 31 Mar 20X2).*

Q71 · Significant financing component

PYQ Jan 2026 · Q5(a) · 5 marks · Numerical · **Notes §4 financing (p 5)**

Grant Limited enters into a contract with a customer to sell a machinery. The machinery is transferred to the customer when the contract is signed. The price as per the contract is ₹ 10.00 lakhs plus contractual rate of interest at 8% per annum, payable in 5 annual equal instalments of ₹ 2,50,438 each. No down payment is envisaged for the sale.

Grant Limited avails loan @ 10% per annum from its banker for similar back-to-back transactions. Statutory Auditors of the Company had advised Grant Limited to recognize the transaction price of the machinery after discounting instalment payments @ 10% per annum and observes that the 8% contractual rate of interest is significantly lower than the 10% interest rate at which company avails loan from its bankers to fund such transactions.

(i) Determine the transaction price of the machinery if the company accepts the suggestion of the Statutory Auditors of the Company.

(ii) Should Grant Limited accept the offer of the customer where the customer wants to cancel the contract for payment in instalments and offers a cash price of ₹ 9.65 lakhs.

(Present value of inflow of equated amount stream of annual instalments for 5 years discounted at 10% rate of interest is 3.79 times of the yearly equated instalment amount) (Your response should be as per applicable Ind AS). (5 Marks)

Solution — ICAI

(i) Determination of transaction price of the machinery

Although the contract price is stated as ₹ 10,00,000, the payment is deferred over 5 years with no down payment and carries contractual interest rate of 8%. Hence, the contract contains a significant financing component.

However, the contractual interest rate of 8% is significantly lower than the market rate of 10% at which Grant Limited borrows for similar transactions. As per para 61 of Ind AS 115, the transaction price must be adjusted for the time value of money using the market rate of interest that is 10%.

Accordingly, the transaction price would be = ₹ 2,50,438 x 3.79

= ₹ 9,49,160.

This amount will be recognised as revenue at contract inception and the difference of the sale proceeds of ₹ 10,00,000 and the transaction price of ₹ 9,49,160 i.e. ₹ 50,800 will be recognised as interest income over the five-year period.

(ii) Analysis of the customer's offer of cash price of ₹ 9,65,000 instead of payment machinery in five annual instalments.

Although the present value of the instalment payments is ₹ 9,49,160, the customer has offered a higher cash price of ₹ 9,65,000. Acceptance of the cash price is commercially beneficial as it not only exceeds the discounted transaction price but also avoids the complexities of a significant financing component, reduces credit and collection risks and strengthens cash flows and liquidity.

Therefore, Grant Limited should accept the customer's offer of the cash price of ₹ 9,65,000 which is higher than the discounted transaction price of ₹ 9,49,160. It is consistent with Ind AS 115 and is also financially and commercially advantageous.

Study-material link: variant of SM Illustration 39 (VT Limited, Case B: contractual rate below the separate-financing rate). Related to SM Illustration 38.

Q72 · Non-cash consideration and customer-provided goods

SM Ch 9 · Illustration 48 : Entitlement to non-cash consideration · Theory · Notes §4 (p 5)

Illustration 48 : Entitlement to non-cash consideration

An entity enters into a contract with a customer to provide a weekly service for one year. The contract is signed on 1st April, 20X1 and work begins immediately. The entity concludes that the service is a single performance obligation. This is because the entity is providing a series of distinct services that are substantially the same and have the same pattern of transfer (the services transfer to the customer over time and use the same method to measure progress — that is, a time-based measure of progress).

In exchange for the service, the customer promises its 100 equity shares per week of service (a total of 5,200 shares for the contract). The terms in the contract require that the shares must be paid upon the successful completion of each week of service.

How should the entity decide the transaction price?

Solution — ICAI

Solution

The entity measures its progress towards complete satisfaction of the performance obligation as each week of service is complete. To determine the transaction price (and the amount of revenue to be recognized), the entity has to measure the fair value of 100 shares that are received upon completion of each weekly service. The entity shall not reflect any subsequent changes in the fair value of the shares received (or receivable) in revenue.

Q73 · Non-cash consideration and customer-provided goods

SM Ch 9 · Illustration 49 : Fair value of non-cash consideration varies for reasons other than · Numerical · Notes §4 (p 5)

Illustration 49 : Fair value of non-cash consideration varies for reasons other than the form of the consideration

RT Limited enters into a contract to build an office building for AT Limited over an 18-month period. AT Limited agrees to pay the construction entity ₹ 350 crore for the project. RT Limited will receive a bonus of 10 lakh equity shares of AT Limited if it completes construction of the office building within one year. Assume a fair value of ₹ 100 per share at contract inception.

Determine the transaction price.

Solution — ICAI

Solution

The ultimate value of any shares the entity might receive could change for two reasons:

1) the entity earns or does not earn the shares and

2) the fair value per share may change during the contract term.

When determining the transaction price, the entity would reflect changes in the number of shares to be earned. However, the entity would not reflect changes in the fair value per share. Said another way, the share price of ₹ 100 is used to value the potential bonus throughout the life of the contract.

As a result, if the entity earns the bonus, its revenue would be ₹ 350 crore plus 10 lakh equity shares at ₹ 100 per share for total consideration of ₹ 360 crore.

Q74 · Non-cash consideration and customer-provided goods

SM Ch 9 · Illustration 50 : Non-cash consideration – Free advertising · Numerical · Notes §4 (p 5)

Illustration 50 : Non-cash consideration - Free advertising

Production Company Y sells a television show to Television Company X. The consideration under the arrangement is a fixed amount of ₹ 1,000 and 100 advertising slots. Y determines that the stand-alone selling price of the show would be ₹ 1,500. Based on market rates, Y determines that the fair value of the advertising slots is ₹ 600.

Determine the transaction price.

Solution — ICAI

Solution

Y determines that the transaction price is ₹ 1,600, comprising of ₹ 1,000 fixed amount plus the fair value of the advertising slots ie ₹ 600.

If the fair value of the advertising slots could not be reasonably estimated, then the transaction price would be ₹ 1,500 i.e. Y would use the stand-alone selling price of the goods or services promised for the non-cash consideration.

Q75 · Non-cash consideration and customer-provided goods

SM Ch 9 · Illustration 51 : Customer-provided goods or services · Numerical · Notes §4 (p 5)

Illustration 51 : Customer-provided goods or services

MS Limited is a manufacturer of cars. It has a supplier of steering systems – SK Limited. MS Limited places an order of 10,000 steering systems on SK Limited. It also agrees to pay ₹ 25,000 per steering system and contributes tooling to be used in SK's production process.

The tooling has a fair value of ₹ 2 crore at contract inception. SK Limited determines that each steering system represents a single performance obligation and that control of the steering system transfers to MS Limited upon delivery.

SK Limited may use the tooling for other projects and determines that it obtains control of the tooling.

Determine the transaction price?

Solution — ICAI

Solution

As a result, SK Limited includes the fair value of the tooling in the transaction price at contract inception, which it determines to be ₹ 27 crore (₹ 25 crore for the steering systems and ₹ 2 crore for the tooling).

Q76 · Non-cash consideration and customer-provided goods

SM Ch 9 · Test Your Knowledge Q2 · Numerical · **Notes §4 (p 5)**

2. A Ltd. a telecommunication company, entered into an agreement with B Ltd. which is engaged in generation and supply of power. The agreement provided that A Ltd. will provide 1,00,000 minutes of talk time to employees of B Ltd. in exchange for getting power equivalent to 20,000 units. A Ltd. normally charges ₹ 0.50 per minute and B Ltd. charges ₹ 2.5 per unit. How should revenue be measured in this case?

Solution — ICAI

2. Paragraph 5(d) of Ind AS 115 excludes non-monetary exchanges between entities in the same line of business to facilitate sales to customers or potential customers. For example, this Standard would not apply to a contract between two oil companies that agree to an exchange of oil to fulfil demand from their customers in different specified locations on a timely basis.

However, the current scenario will be covered under Ind AS 115 since the same is exchange of dissimilar goods or services.

As per paragraph 47 of Ind AS 115, "an entity shall consider the terms of the contract and its customary business practices to determine the transaction price. The transaction price is the amount of consideration to which an entity expects to be entitled in exchange for transferring promised goods or services to a customer, excluding amounts collected on behalf of third parties (for example, some sales taxes). The consideration promised in a contract with a customer may include fixed amounts, variable amounts, or both".

Paragraph 66 of Ind AS 115 provides that to determine the transaction price for contracts in which a customer promises consideration in a form other than cash, an entity shall measure the non-cash consideration (or promise of noncash consideration) at fair value.

On the basis of the above, revenue recognized by A Ltd. will be the consideration in the form of power units that it expects to be entitled for talktime sold, i.e. ₹ 50,000 (20,000 units x ₹ 2.5). The revenue recognized by B Ltd. will be the consideration in the form of talk time that it expects to be entitled for the power units sold, i.e., ₹ 50,000 (1,00,000 minutes x ₹ 0.50).

Same type — not repeated here. *What changes in each:*

→ ***MTP Nov 2023 S-I · Q4(b)*** *— Same question as this SM item (ICAI reused it word for word or nearly so) — same answer.*

Q77 · Non-cash consideration and customer-provided goods

RTP May 2022 · Q1 · Theory · Notes §4 (p 5)

Defense Innovators Limited is a public sector undertaking and is engaged in the construction of warships and submarines. XYZ Private Limited approached Defense Innovators Limited for construction of "specially designed" ships for it, which will be used by XYZ Private Limited for transportation of specific goods. The offer was accepted by the Defense Innovators Limited and both the companies entered into an agreement for the construction and delivery of 3 specially designed ships on 'Fixed Price' basis with variable component in respect to certain items.

Base and depot (B & D) spares for all three ships shall be procured by Defense Innovators Limited and will be paid on the cost of the item with certain percentage.

The contract states that "certain equipment" out of variable cost items, will be supplied by XYZ Private Limited at 'free of cost' for installation on board of ship. It is, therefore, to be noted as under:

(i) Some equipment are procured by Defense Innovators Limited in the presence of the XYZ Private Limited's representative for technical scrutiny as well as negotiating the prices. The vendors of these equipment are paid by Defense Innovators Limited. The cost of the equipment along with the cost of installation and profit thereon is claimed and reimbursed by XYZ Private Limited to Defense Innovators Limited.

(ii) There are certain other equipment for which orders are directly placed and also paid by the XYZ Private Limited. These equipment are known as 'Buyer Furnished Equipment (BFE)' and are delivered to the company 'free of cost' for installing in the ship. The labour cost of Installation of these are already included in the price component of the contract. BFEs are returned to the buyer after completion of the ship.

The period required for construction of one ship was approximately four years.

Whether the cost of Buyer Furnished Equipment's (BFE's) supplied by XYZ Private Limited to Defense Innovators Limited for-installing the same in the ships can be considered as 'inventory' by Defense Innovators Limited and then on delivery of ship will be recognised as revenue in its books of account? Elaborate.

Solution — ICAI

Before any item can be recognised as an inventory, it should meet the definition of 'asset' as given in the Conceptual Framework for Financial Reporting under Ind AS, issued by the Institute of Chartered Accountants of India as follows:

"An asset is a present economic resource controlled by the entity as a result of past events and economic resource is a right that has the potential to produce economic benefits".

The orders in respect of Buyer Furnished Equipment's (BFEs) are directly placed by the buyer and payment in respect of them is made by the buyer. These are then supplied to the company for installing in the ship and the buyer pays installation charges which are included in the contract price. Thus, the company has neither incurred any cost on BFEs nor any amount is recoverable on account of such equipment except installation charges. Accordingly, such equipment are not 'assets' that may be considered as a part of its contract work-in progress.

In fact, after installation in the ship, BFEs are returned to the buyer after completion of the ship. Thus, these are only held by the company in the capacity of a bailee. Since, it cannot be considered as an 'asset', therefore, it can neither be considered as 'inventory' nor as 'work-in-progress'.

Further, it can also not be considered as a part of sale value or revenue of the company as no consideration would be receivable with respect to the cost of such equipment.

On the basis of the above, it can be concluded that:

(i) The BFEs cannot be considered as inventories / Work-in-progress for Defense Innovators Limited.

(ii) The BFE's cost cannot be considered as part of sales value / contract revenue to Defense Innovators Limited.

Same type — not repeated here. *What changes in each:*

→ ***MTP May 2023 S-I · Q1(a)*** *— Identical (Defense Innovators — buyer-furnished equipment).*

Q78 · Consideration payable to a customer

SM Ch 9 · Illustration 52 : Consideration payable to a customer · Numerical · **Notes §4 (p 5)**

Illustration 52 : Consideration payable to a customer

An entity that manufactures consumer goods enters into a one-year contract to sell goods to a customer that is a large global chain of retail stores. The customer commits to buy at least ₹ 15 crore of products during the year. The contract also requires the entity to make a non-refundable payment of ₹ 1.5 crore to the customer at the inception of the contract. The ₹ 1.5 crore payment will compensate the customer for the changes it needs to make to its shelving to accommodate the entity's products. The entity does not obtain control of any rights to the customer's shelves.

Determine the transaction price.

Solution — ICAI

Solution

The entity considers the requirements in paragraphs 70 – 72 of Ind AS 115 and concludes that the payment to the customer is not in exchange for a distinct goods or service that transfers to the entity. This is because the entity does not obtain control of any rights to the customer's shelves. Consequently, the entity determines that, in accordance with paragraph 70 of Ind AS 115, the ₹ 1.5 crore payment is a reduction of the transaction price.

The entity applies the requirements in paragraph 72 of Ind AS 115 and concludes that the consideration payable is accounted for as a reduction in the transaction price when the entity recognizes revenue for the transfer of the goods. Consequently, as the entity transfers goods to the customer, the entity reduces the transaction price for each goods by 10 per cent [(₹ 1.5 crore ÷ ₹ 15 crore) x 100]. Therefore, in the first month in which the entity transfers goods to the customer, the entity recognizes revenue of ₹ 1.125 crore (₹ 1.25 crore invoiced amount less ₹ 0.125 crore of consideration payable to the customer).

Q79 · Consideration payable to a customer

SM Ch 9 · Illustration 53 : Credits to a new customer · Numerical · **Notes §4 (p 5)**

Illustration 53 : Credits to a new customer

Customer C is in the middle of a two-year contract with Telco B Ltd., its current wireless service provider, and would be required to pay an early termination penalty if it terminated the contract today. If C cancels the existing contract with B Ltd. and signs a two-year contract with Telco D Ltd. for ₹ 800 per month, then D Ltd. promises at contract inception to give C a one-time credit of ₹ 2,000 (referred to as a 'port-in credit'). The amount of the port-in credit does not depend on the volume of service subsequently purchased by C during the two-year contract.

Determine the transaction price.

Solution — ICAI

Solution

D Ltd. determines that it should account for the port-in credit as consideration payable to a customer. This is because the credit will be applied against amounts owing to D Ltd. Since, D Ltd. does not receive any distinct goods or services in exchange for this credit, it will account for it as a reduction in the transaction price ₹ 17,200 [(₹ 800 x 24 month) – ₹ 2,000]. D Ltd. will recognize the reduction in the transaction price as the promised goods or services are transferred.

Q80 · Consideration payable to a customer

SM Ch 9 · Test Your Knowledge Q7 · Numerical · **Notes §4 (p 5)**

7. Entity K sells electric razors to retailers for C 50 per unit. A rebate coupon is included inside the electric razor package that can be redeemed by the end consumers for C 10 per unit.

   Entity K estimates that 20% to 25% of eligible rebates will be redeemed, based on its experience with similar programmes and rebate redemption rates available in the market for similar programmes. Entity K concludes that the transaction price should incorporate an assumption of 25% rebate redemption, as this is the amount for which it is highly probable that a significant reversal of cumulative revenue will not occur if estimates of the rebates change.

   How should entity K determine the transaction price?

Solution — ICAI

7. Entity K records sales to the retailer at a transaction price of ₹ 47.50 (₹ 50 less 25% of ₹ 10). The difference between the per unit cash selling price to the retailers and the transaction price is recorded as a liability for cash consideration expected to be paid to the end customer. Entity K will update its estimate of the rebate and the transaction price at each reporting date if estimates of redemption rates change.

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Q81 · Consideration payable to a customer

RTP Jan 2026 · Q14 · Numerical · **Notes §4 (p 5)**

A Ltd. enters into a contract with a customer for the exclusive supply of paint for a three-year period. A Ltd. makes a ₹50,000 upfront payment, which the customer will use to customize its paint sprayers for A Ltd.'s product. A Ltd. determines the upfront payment is not in respect of or for a distinct good or service.

A Ltd. estimates ₹10,00,000 in sales with the customer over the three-year period. Sales for Quarter 1 is ₹1,00,000 and for Quarter 2 is ₹1,25,000. However, A Ltd. updated its estimate of total sales over the contract to ₹15,00,000 during Quarter 2.

Required:

Determine the net revenue to be recognized in Quarter 1 and Quarter 2 by A Ltd.

Solution — ICAI

Treatment of upfront payment of ₹50,000

Upfront payment of ₹50,000 would be accounted for as a reduction of the transaction price. It would be deferred and recognised as a reduction of revenue (in proportion to estimated sales) over the contract term.

Accounting for Quarter 1 and Quarter 2 is as follows:

For the first quarter

- Quarter 1 sales = ₹1,00,000

- Entity estimates ₹10,00,000 sales over the three-year period

- Percentage of Quarter 1 sale to total estimated sale = (₹1,00,000 / ₹10,00,000) x 100 = 10%

- Share of upfront payment to be recognised in Quarter 1 = 10% x ₹50,000 = ₹5,000

Hence, in Quarter 1, A Ltd. recognizes revenue of ₹95,000 (₹1,00,000 actual sales – ₹5,000 consideration paid to the customer)

For the second quarter

- Quarter 2 sales = ₹1,25,000

- A Ltd. updates its estimate of total sales over the contract to ₹15,00,000

- Total sales to date till Quarter 2 = ₹1,00,000 + ₹1,25,000 = ₹2,25,000

- Percentage of sale till Quarter 2 to total estimated sale = (₹2,25,000 / ₹15,00,000) x 100 = 15%

- Share of upfront payment to be recognised in Quarter 2 = (15% x ₹50,000 upfront payment) – Upfront payment recognized in Quarter 1 = ₹7,500 – ₹5,000 = ₹2,500

Hence, A Ltd. would recognize revenue of ₹1,22,500 for Quarter 2 (₹1,25,000 actual sales – ₹2,500 upfront payment made to the customer).

Same type — not repeated here. *What changes in each:*

→ **MTP Nov 2026 S-I · Q5(b)** — *Identical (₹ 50,000 upfront payment to paint customer).*

→ **MTP May 2026 S-I · Q5(a) Either** — *Identical (₹ 50,000 upfront payment to paint customer).*

Ⓓ Adjustments in this topic — what to do

Variable consideration, rebates and the constraint

Notes §4 (p 4) · practise: Q43, Q51, Q45, Q47, Q48, Q56

When: Bonuses, penalties, volume discounts, price protection.

1. Expected value (many outcomes) or most likely amount (two outcomes), per element.
2. Include only what is highly probable not to reverse; re-assess each period.
3. Retrospective volume discount: revenue at the expected price; refund liability for the excess billed; catch up when the estimate changes.

ICAI figures: Illus 30: 29.125 cr. Illus 31: Q1 10,000, Q2 44,000. TYK 6: 63 m revenue, 7 m liability. May 2022: liability 2,40,000.

Right of return and warranties

Notes §4 (p 4) · practise: Q54, Q57, Q58, Q55

When: Customer may return goods; product guarantees.

1. Return: revenue on goods expected to be kept; refund liability; asset for goods to recover (cost less recovery costs).
2. Warranty: assurance-type → Ind AS 37 provision; service-type (extra service) → separate PO, contract liability, revenue over coverage.

ICAI figures: Illus 34: 48,500 / 1,500 / 900. Illus 35: liability 4,000. Illus 36: 1,70,000 revenue, 30,000 liability.

Significant financing component

Notes §4 financing (p 5) · practise: Q60, Q61, Q62, Q71, Q70

When: Payment much earlier or later than transfer (more than a year).

1. Not significant if: customer chooses timing on an advance; royalty-type variable amount; difference has another purpose (retention money); ≤ 1 year (expedient).
2. Discount at the rate of a separate financing with that customer (not a lower contract rate).
3. Arrears → revenue at PV + interest income; advance → contract liability + interest expense.

ICAI figures: Illus 39 B: 91,31,346. Illus 40: interest 494; revenue 4,494. Jan 2026: 9,49,160.

Non-cash consideration and payments to customers

Notes §4 (p 5) · practise: Q74, Q75, Q78, Q79, Q80, Q81

When: Shares, goods, tooling received; slotting fees, coupons, credits paid.

1. Non-cash at FV at inception (else SSP given); customer-provided tooling that you control → include.
2. Payment to customer → reduce revenue unless it buys a distinct good/service at FV.

ICAI figures: Illus 50: 1,600. Illus 51: 27 cr. Illus 52: 1.125 cr in month 1. TYK 7: 47.50. RTP Jan 2026: Q2 revenue 1,22,500.

Ⓔ Step 4 · Allocate the transaction price

Q82 · Step 4: allocate on relative stand-alone selling prices

SM Ch 9 · Illustration 54 : Allocation methodology · Numerical · **Notes §5 (p 5)**

Illustration 54 : Allocation methodology

An entity enters into a contract with a customer to sell Products A, B and C in exchange for ₹10,000. The entity will satisfy the performance obligations for each of the products at different points in time. The entity regularly sells Product A separately and therefore the stand-alone selling price is directly observable. The stand-alone selling prices of Products B and C are not directly observable.

Because the stand-alone selling prices for Products B and C are not directly observable, the entity must estimate them. To estimate the stand-alone selling prices, the entity uses the adjusted market assessment approach for Product B and the expected cost plus a margin approach for Product C. In making those estimates, the entity maximises the use of observable inputs.

The entity estimates the stand-alone selling prices as follows:

Product	Stand-alone selling price	Method
	₹	
Product A	5,000	Directly observable
Product B	2,500	Adjusted market assessment approach
Product C	7,500	Expected cost plus a margin approach
Total	15,000	

Determine the transaction price allocated to each product.

Solution — ICAI

Solution

The customer receives a discount for purchasing the bundle of goods because the sum of the stand-alone selling prices (₹ 15,000) exceeds the promised consideration (₹ 10,000). The entity considers that there is no observable evidence about the performance obligation to which the entire discount belongs. The discount is allocated proportionately across Products A, B and C. The discount, and therefore the transaction price, is allocated as follows:

Product	Allocated transaction price (to nearest ₹100)	
	₹	
Product A	3,300	(₹ 5,000 ÷ ₹ 15,000 × ₹ 10,000)
Product B	1,700	(₹ 2,500 ÷ ₹ 15,000 × ₹ 10,000)
Product C	5,000	(₹ 7,500 ÷ ₹ 15,000 × ₹ 10,000)
Total	10,000	

Q83 · Allocating a discount

SM Ch 9 · Illustration 55 : Allocating a discount · Numerical · **Notes §5 (p 5)**

Illustration 55 : Allocating a discount

An entity regularly sells Products X, Y and Z individually, thereby establishing the following stand-alone selling prices:

Product	Stand-alone selling price
	₹
Product X	50,000
Product Y	25,000
Product Z	45,000
Total	1,20,000

In addition, the entity regularly sells Products Y and Z together for ₹ 50,000.

Case A—Allocating a discount to one or more performance obligations

The entity enters into a contract with a customer to sell Products X, Y and Z in exchange for ₹ 100,000. The entity will satisfy the performance obligations for each of the products at different points in time; or Product Y and Z at same point of time. Determine the allocation of transaction price to Product Y and Z.

Case B—Residual approach is appropriate

The entity enters into a contract with a customer to sell Products X, Y and Z as described in Case A. The contract also includes a promise to transfer Product Alpha. Total consideration in the contract is ₹ 130,000. The stand-alone selling price for Product Alpha is highly variable because the entity sells Product Alpha to different customers for a broad range of amounts (₹ 15,000 – ₹ 45,000). Determine the stand-alone selling price of Products, X, Y, Z and Alpha using the residual approach.

Case C—Residual approach is inappropriate

The same facts as in Case B apply to Case C except the transaction price is ₹ 1,05,000 instead of ₹ 130,000.

Solution — ICAI

Solution

Case A—Allocating a discount to one or more performance obligations

The contract includes a discount of ₹ 20,000 on the overall transaction, which would be allocated proportionately to all three performance obligations when allocating the transaction price using the relative stand-alone selling price method.

However, because the entity regularly sells Products Y and Z together for ₹ 50,000 and Product X for ₹ 50,000, it has evidence that the entire discount of ₹ 20,000 should be allocated to the promises to transfer Products Y and Z in accordance with paragraph 82 of Ind AS 115.

If the entity transfers control of Products Y and Z at the same point in time, then the entity could, as a practical matter, account for the transfer of those products as a single performance obligation. That is, the entity could allocate ₹ 50,000 of the transaction price to the single performance obligation of Product X and recognize revenue of ₹ 50,000 when Products Y and Z simultaneously transfer to the customer.

If the contract requires the entity to transfer control of Products Y and Z at different points in time, then the allocated amount of ₹ 50,000 is individually allocated to the promises to transfer Product Y (stand-alone selling price of ₹ 25,000) and Product Z (stand-alone selling price of ₹ 45,000) as follows:

Product	Allocated transaction price	
	₹	
Product Y	17,857	(₹ 25,000 ÷ ₹ 70,000 total stand-alone selling price × ₹ 50,000)
Product Z	32,143	(₹ 45,000 ÷ ₹ 70,000 total stand-alone selling price × ₹ 50,000)
Total	50,000	

Case B—Residual approach is appropriate

Before estimating the stand-alone selling price of Product Alpha using the residual approach, the entity determines whether any discount should be allocated to the other performance obligations in the contract.

As in Case A, because the entity regularly sells Products Y and Z together for ₹ 50,000 and Product X for ₹ 50,000, it has observable evidence that ₹ 1,00,000 should be allocated to those three products and a ₹ 20,000 discount should be allocated to the promises to transfer Products Y and Z in accordance with paragraph 82 of Ind AS 115.

Using the residual approach, the entity estimates the stand-alone selling price of Product Alpha to be ₹ 30,000 as follows:

Product	Stand-alone selling price	Method
	₹	
Product X	50,000	Directly observable
Products Y and Z	50,000	Directly observable with discount
Product Alpha	30,000	Residual approach
Total	130,000	

The entity observes that the resulting ₹ 30,000 allocated to Product Alpha is within the range of its observable selling prices (₹ 15,000 – ₹ 45,000).

Case C—Residual approach is inappropriate

The same facts as in Case B apply to Case C except the transaction price is ₹ 1,05,000 instead of ₹ 1,30,000. Consequently, the application of the residual approach would result in a stand-alone selling price of ₹ 5,000 for Product Alpha (₹ 105,000 transaction price less ₹ 1,00,000 allocated to Products X, Y and Z).

The entity concludes that ₹ 5,000 would not faithfully depict the amount of consideration to which the entity expects to be entitled in exchange for satisfying its performance obligation to transfer Product Alpha, because ₹ 5,000 does not approximate the stand-alone selling price of Product Alpha, which ranges from ₹ 15,000 – ₹ 45,000.

Consequently, the entity reviews its observable data, including sales and margin reports, to estimate the stand-alone selling price of Product Alpha using another suitable method. The entity allocates the transaction price of ₹ 1,05,000 to Products X, Y, Z and Alpha using the relative stand-alone selling prices of those products in accordance with paragraphs 73–80 of Ind AS 115.

Q84 · Allocating a discount

ICAI Practice Questions · Ch 9 Q7 · Numerical · **Notes §5 (p 5)**

7. Prime Ltd. is a technology company and regularly sells Software S, Hardware H and Accessory A. The stand-alone selling prices for these items are stated below:

Software S – ₹ 50,000

Hardware H – ₹ 1,00,000 and

Accessory A – ₹ 20,000.

Since the demand for Hardware H and Accessory A is low, Prime Ltd. sells H and A together at ₹ 100,000. Prime Ltd. enters into a contract with Zeta Ltd. to sell all the three items for a consideration of ₹ 1,50,000.

What will be the accounting treatment for the discount in the financial statements of Prime Ltd., considering that the three items are three different performance obligations which are satisfied at different points in time? Further, what will be the accounting treatment if Prime Ltd. would have transferred the control of Hardware H and Accessory A at the same point in time.

Solution — ICAI

7. Paragraph 82 of Ind AS 115 states that an entity shall allocate a discount entirely to one or more, but not all, performance obligations in the contract if all of the following criteria are met:

(a) the entity regularly sells each distinct good or service (or each bundle of distinct goods or services) in the contract on a stand-alone basis;

(b) the entity also regularly sells on a stand-alone basis a bundle (or bundles) of some of those distinct goods or services at a discount to the stand-alone selling prices of the goods or services in each bundle; and

(c) the discount attributable to each bundle of goods or services described in paragraph 82(b) is substantially the same as the discount in the contract and an analysis of the goods or services in each bundle provides observable evidence of the performance obligation (or performance obligations) to which the entire discount in the contract belongs.

In the given case, the contract includes a discount of ₹ 20,000 on the overall transaction, which should have been allocated proportionately to all three performance obligations when allocating the transaction price using the relative stand-alone selling price method (in accordance with paragraph 81 of Ind AS 115). However, as Prime Ltd. meets all the criteria specified in paragraph 82 above, i.e., it regularly sells Hardware H and Accessory A together for ₹ 1,00,000 and Software S for ₹ 50,000, accordingly, it is evident that the entire discount should be allocated to the promises to transfer Hardware H and Accessory A.

In the given case, since the contract requires the entity to transfer control of Hardware H and Accessory A at different points in time, then the allocated amount of ₹ 1,00,000 should be individually allocated to the promises to transfer Hardware H (stand-alone selling price of ₹ 1,00,000) and Accessory A (stand-alone selling price of ₹20,000)

Product	Allocated transaction price (₹)
Hardware H	83,333 (1,00,000/ 120,000 x 100,000)
Accessory A	16,667 (20,000/120,000 x 100,000)
Total	1,00,000

However, if Prime Ltd. would have transferred the control of Hardware H and Accessory A at the same point in time, then the Prime Ltd. could, as a practical matter, account for the transfer of those products as a single performance obligation. That is, Prime Ltd. could allocate ₹ 1,00,000 of the transaction price to the single performance obligation and recognise revenue of ₹ 1,00,000 when Hardware H and Accessory A simultaneously transfer to Zeta Ltd.

Q85 · Allocating variable consideration

SM Ch 9 · Illustration 56 : Allocation of variable consideration · Numerical · **Notes §5 (p 5)**

Illustration 56 : Allocation of variable consideration

An entity enters into a contract with a customer for two intellectual property licences (Licences A and B), which the entity determines to represent two performance obligations each satisfied at a point in time. The stand-alone selling prices of Licences A and B are ₹ 16,00,000 and ₹ 20,00,000, respectively. The entity transfers Licence B at inception of the contract and transfers Licence A one month later.

Case A—Variable consideration allocated entirely to one performance obligation

The price stated in the contract for Licence A is a fixed amount of ₹ 16,00,000 and for Licence B the consideration is three per cent of the customer's future sales of products that use Licence B. For purposes of allocation, the entity estimates its sales-based royalties (ie the variable consideration) to be ₹ 20,00,000. Allocate the transaction price.

Case B — Variable consideration allocated on the basis of stand-alone selling prices

The price stated in the contract for Licence A is a fixed amount of ₹ 6,00,000 and for Licence B the consideration is five per cent of the customer's future sales of products that use Licence B. The entity's estimate of the sales-based royalties (ie the variable consideration) is ₹ 30,00,000. Here, Licence A is transferred 3 months later. The royalty due from the customer's first month of sale is ₹ 4,00,000.

Allocate the transaction price and determine the revenue to be recognized for each licence and the contract liability, if any.

Solution — ICAI

Solution

Case A—Variable consideration allocated entirely to one performance obligation

To allocate the transaction price, the entity considers the criteria in paragraph 85 and concludes that the variable consideration (ie the sales-based royalties) should be allocated entirely to Licence B. The entity concludes that the criteria are met for the following reasons:

(a) the variable payment relates specifically to an outcome from the performance obligation to transfer Licence B (ie the customer's subsequent sales of products that use Licence B).

(b) allocating the expected royalty amounts of ₹ 20,00,000 entirely to Licence B is consistent with the allocation objective in paragraph 73 of Ind AS 115. This is because the entity's estimate of the amount of sales-based royalties (₹ 20,00,000) approximates the stand-alone selling price of Licence B and the fixed amount of ₹ 16,00,000 approximates the stand-alone selling price of Licence A. The entity allocates ₹ 16,00,000 to Licence A. This is because, based on an assessment of the facts and circumstances relating to both licences, allocating to Licence B some of the fixed consideration in addition to all of the variable consideration would not meet the allocation objective in paragraph 73 of Ind AS 115.

The entity transfers Licence B at inception of the contract and transfers Licence A one month later. Upon the transfer of Licence B, the entity does not recognize revenue because the consideration allocated to Licence B is in the form of a sales-based royalty. Therefore, the entity recognizes revenue for the sales-based royalty when those subsequent sales occur.

When Licence A is transferred, the entity recognizes as revenue the ₹ 16,00,000 allocated to Licence A.

Case B—Variable consideration allocated on the basis of stand-alone selling prices

To allocate the transaction price, the entity applies the criteria in paragraph 85 of Ind AS 115 to determine whether to allocate the variable consideration (ie the sales-based royalties) entirely to Licence B.

In applying the criteria, the entity concludes that even though the variable payments relate specifically to an outcome from the performance obligation to transfer Licence B (ie the customer's subsequent sales of products that use Licence B), allocating the variable consideration entirely to Licence B would be inconsistent with the principle for allocating the transaction price. Allocating ₹ 6,00,000 to Licence A and ₹ 30,00,000 to Licence B does not reflect a reasonable allocation of the transaction price on the basis of the stand-alone selling prices of Licences A and B of ₹ 16,00,000 and ₹ 20,00,000, respectively. Consequently, the entity applies the general allocation requirements of Ind AS 115.

The entity allocates the transaction price of ₹ 6,00,000 to Licences A and B on the basis of relative stand-alone selling prices of ₹ 16,00,000 and ₹ 20,00,000, respectively. The entity also allocates the consideration related to the sales-based royalty on a relative stand-alone selling price basis. However, when an entity licenses intellectual property in which the consideration is in the form of a sales-based royalty, the entity cannot recognize revenue until the later of the following events: the subsequent sales occur or the performance obligation is satisfied (or partially satisfied).

Licence B is transferred to the customer at the inception of the contract and Licence A is transferred three months later. When Licence B is transferred, the entity recognizes as revenue ₹ 3,33,333 [(₹ 20,00,000 ÷ ₹ 36,00,000) × ₹ 6,00,000] allocated to Licence B. When Licence A is transferred, the entity recognizes as revenue ₹ 2,66,667 [(₹ 16,00,000 ÷ ₹ 36,00,000) × ₹ 6,00,000] allocated to Licence A.

In the first month, the royalty due from the customer's first month of sales is ₹ 4,00,000. Consequently, the entity recognizes as revenue ₹ 2,22,222 (₹ 20,00,000 ÷ ₹ 36,00,000 × ₹ 4,00,000) allocated to Licence B (which has been transferred to the customer and is therefore a satisfied performance obligation). The entity recognizes a contract liability for the ₹ 1,77,778 (₹ 16,00,000 ÷ ₹ 36,00,000 × ₹ 4,00,000) allocated to Licence A. This is because although the subsequent sale by the entity's customer has occurred, the performance obligation to which the royalty has been allocated has not been satisfied.

Same type — not repeated here. *What changes in each:*

→ ***MTP Sep 2025 S-1 · Q5(a)*** *— Same question as this SM item (ICAI reused it word for word or nearly so) — same answer.*

Q86 · Changes in the transaction price

SM Ch 9 · Illustration 57 : Allocating a change in transaction price · Numerical · **Notes §5 (p 5)**

Illustration 57 : Allocating a change in transaction price

On 1st April, 20X0, a consultant enters into an arrangement to provide due diligence, valuation, and software implementation services to a customer for ₹ 2 crore. The consultant can earn ₹ 20 lakh bonus if it completes the software implementation by 30th September, 20X0 or ₹ 10 lakh bonus if it completes the software implementation by 31st December, 20X0.

The due diligence, valuation, and software implementation services are distinct and therefore are accounted for as separate performance obligations. The consultant allocates the transaction price, disregarding the potential bonus, on a relative stand-alone selling price basis as follows:

- *Due diligence – ₹ 80 lakh*
- *Valuation – ₹ 20 lakh*
- *Software implementation – ₹ 1 crore*

At contract inception, the consultant believes it will complete the software implementation by 30th January, 20X1. After considering the factors in Ind AS 115, the consultant cannot conclude that a significant reversal in the cumulative amount of revenue recognized would not occur when the uncertainty is resolved since the consultant lacks experience in completing similar projects. As a result, the consultant does not include the amount of the early completion bonus in its estimated transaction price at contract inception.

On 1st July, 20X0, the consultant notes that the project has progressed better than expected and believes that implementation will be completed by 30th September, 20X0 based on a revised forecast. As a result, the consultant updates its estimated transaction price to reflect a bonus of ₹ 20 lakh.

After reviewing its progress as of 1st July, 20X0, the consultant determines that it is 100 percent complete in satisfying its performance obligations for due diligence and valuation and 60 percent complete in satisfying its performance obligation for software implementation.

Determine the transaction price.

Solution — ICAI

Solution

On 1st July, 20X0, the consultant allocates the bonus of ₹ 20 lakh to the software implementation performance obligation, for total consideration of ₹ 1.2 crore allocated to that performance obligation and adjusts the cumulative revenue to date for the software implementation services to ₹ 72 lakh (60 percent of ₹ 1.2 crore).

Q87 · Changes in the transaction price

SM Ch 9 · Illustration 58 : Discretionary credit · Theory · Notes §5 (p 5)

Illustration 58 : Discretionary credit

Telco G Ltd. grants a one-time credit of ₹ 50 to a customer in Month 14 of a two-year contract. The credit is discretionary and is granted as a commercial gesture, not in response to prior service issues (often referred to as a 'retention credit'). The contract includes a subsidised handset and a voice and data plan. G Ltd. does not regularly provide these credits and therefore customers do not expect them to be granted.

How this will be accounted for under Ind AS 115?

Solution — ICAI

Solution

G Ltd. concludes that this is a change in the transaction price and not a variable consideration. Since, the credit does not relate to a satisfied performance obligation, the change in transaction price resulting from the credit is accounted for as a contract modification and recognized over the remaining term of the contract. If, in this example, rather than providing a one-time credit, G Ltd. granted a discount of ₹ 5 per month for the remaining contract term, then also G Ltd. would conclude that it was a change in the transaction price. It would apply the contract modification guidance and recognize the credit over the remaining term of the contract.

Ⓔ Adjustments in this topic — what to do

Allocate the price — SSP, discounts, variable amounts

Notes §5 (p 5) · practise: Q82, Q83, Q84, Q85, Q86

When: More than one PO.

1. Relative SSP (observable; else adjusted market, cost + margin, residual if price highly variable).
2. Discount to a sub-bundle only if it is regularly sold at that discount.
3. Variable consideration to one PO if it relates only to it.
4. Later price changes: inception ratios; satisfied POs adjust revenue now.

ICAI figures: Illus 54: 3,300 / 1,700 / 5,000. Illus 57: 72 lakh to date on implementation.

Ⓕ Step 5 · Recognise revenue when control transfers

Q88 · Performance obligations satisfied over time

SM Ch 9 · Illustration 59 · Theory · Notes §6 (p 6)

Illustration 59

Minitek Ltd. is a payroll processing company. Minitek Ltd. enters into a contract to provide monthly payroll processing services to ABC limited for one year. Determine how entity will recognize the revenue?

Solution — ICAI

Solution

Payroll processing is a single performance obligation. On a monthly basis, as Minitek Ltd carries out the payroll processing –

- The customer, ie, ABC Limited simultaneously receives and consumes the benefits of the entity's performance in processing each payroll transaction.

- Further, once the services have been performed for a particular month, in case of termination of the agreement before maturity and contract is transferred to another entity, then such new entity will not need to re-perform the services for expired months.

Therefore, it satisfies the first criterion, ie, services completed on a monthly basis are consumed by the entity at the same time and hence, revenue shall be recognized over the period of time.

Q89 · Performance obligations satisfied over time

SM Ch 9 · Illustration 60 · Theory · Notes §6 (p 6)

Illustration 60

T&L Limited ('T&L') is a logistics company that provides inland and sea transportation services. A customer – Horizon Limited ('Horizon') enters into a contract with T&L for transportation of its goods from India to Sri Lanka through sea. The voyage is expected to take 20 days from Mumbai to Colombo. T&L is responsible for shipping the goods from Mumbai port to Colombo port.

Whether T&L's performance obligation is met over period of time?

Solution — ICAI

Solution

T&L has a single performance to ship the goods from one port to another. The following factors are critical for assessing how services performed by T&L are consumed by the customer –

- As the voyage is performed, the service undertaken by T&L is progressing, such that no other entity will need to re-perform the service till so far as the voyage has been performed, if T&L was to deliver only part-way.

- The customer is directly benefitting from the performance of the voyage as & when it progresses.

Therefore, such performance obligation is said to be met over a period of time.

Q90 · Performance obligations satisfied over time

SM Ch 9 · Illustration 61 · Theory · Notes §6 (p 6)

Illustration 61

AFS Ltd. is a risk advisory firm and enters into a contract with a company – WBC Ltd to provide audit services that results in AFS issuing an audit opinion to the Company. The professional opinion relates to facts and circumstances that are specific to the company. If the Company was to terminate the consulting contract for reasons other than the entity's failure to perform as promised, the contract requires the Company to compensate the risk advisory firm for its costs incurred plus a 15 per cent margin. The 15 per cent margin approximates the profit margin that the entity earns from similar contracts.

Whether risk advisory firm's performance obligation is met over period of time?

Solution — ICAI

Solution

AFS has a single performance to provide an opinion on the professional audit services proposed to be provided under the contract with the customer. Evaluating the criterion for recognizing revenue over a period of time or at a point in time, Ind AS 115 requires one of the following criteria to be met –

- Criterion (a) – whether the customer simultaneously receives and consumes the benefits from services provided by AFS: Company shall benefit only when the audit opinion is provided upon completion. Further, in case the contract was to be terminated, any other firm engaged to perform similar services will have to substantially re-perform.

  Hence, this criterion is not met.

- Criterion (b) – An asset created that customer controls: This is service contract and no asset created, over which customer acquires control.

- Criterion (c) – no alternate use to entity and right to seek payment:

  ❖ The services provided by AFS are specific to the company – WBC and do not have any alternate use to AFS

  ❖ Further, AFS has a right to enforce payment if the contract was early terminated, for reasons other than AFS's failure to perform. And the profit margin approximates what the entity otherwise earns.

Therefore, criterion (c) is met, and such performance obligation is said to be met over a period of time.

Q91 · Performance obligations satisfied over time

SM Ch 9 · Illustration 62 · Theory · Notes §6 (p 6)

Illustration 62

Space Ltd. enters into an arrangement with a government agency for construction of a space satellite. Although Space Ltd is in the business of building such satellites for various customers across the world, the specifications for each satellite may vary based on technology that is incorporated in the satellite. In the event of termination, Company has a right to enforce payment for work completed to date.

Evaluate if contract will qualify for satisfaction of performance obligation over a period of time.

Solution — ICAI

Solution

While evaluating the pattern of transfer of control to the customer, the Company shall evaluate conditions laid in para 35 of Ind AS 115 as follows:

- Criterion (a) – whether the customer simultaneously receives and consumes the benefits: Customer can benefit only when the satellite is fully constructed, and no benefits are consumed as its constructed. Hence, this criterion is not met.
- Criterion (b) – An asset created that customer controls: Per provided facts, the customer does not acquire control of the asset as its created.
- Criterion (c) – no alternate use to entity and right to seek payment:
  - ❖ The asset is being specifically created for the customer. The asset is customised to customer's requirements, such that any diversion for a different customer will require significant work. Therefore, the asset has practical limitation in being put to alternate use.
  - ❖ Further, Space Ltd. has a right to enforce payment if the contract was terminated early, for reasons other then Space Ltd.'s failure to perform.

Therefore, criterion (c) is met and such performance obligation is said to be met over a period of time.

Q92 · Performance obligations satisfied over time

SM Ch 9 · Illustration 63 · Theory · Notes §6 (p 6)

Illustration 63

ABC enters into a contract with a customer to build an item of equipment. The customer pays 10% advance and then 80% in instalments of 10% each over the period of construction with balance 10% payable at the end of construction period. The payments are non-refundable unless the company fails to perform as per the contract. Further, if the customer terminates the contract, then entity is entitled to retain payments made. The company will have no further right to compensation from the customer.

Evaluate if contract will qualify for satisfaction of performance obligation over a period of time.

Solution — ICAI

Solution

The Company shall evaluate conditions laid in para 35 of Ind AS 115 as follows:

- Criterion (a) – whether the customer simultaneously receives and consumes the benefits: Customer can benefit only when the asset is fully constructed and no benefits are consumed as its constructed. Hence, this criterion is not met.
- Criterion (b) – An asset created that customer controls: As per provided facts, the customer does not acquire control of the asset as it is created.
- Criterion (c) – no alternate use to entity and right to seek payment:
  - ❖ The customer has specific right over the asset and company does not have right to divert it for any alternate use. In other words, there is contractual restriction to use the asset for any alternate purpose.
  - ❖ In the event of early termination, Company has a right to retain any payments made by the customer. However, such payments need not necessarily compensate the selling price of the partially constructed asset, if the customer was to stop making payments.

  Therefore, Company does not have a legally enforceable right to payment for work completed to date and the criterion under para 35 is not satisfied. Thus, revenue cannot be recognized over a period of time.

Q93 · Performance obligations satisfied over time

RTP Sep 2025 · Q17 · Numerical · **Notes §6 (p 6)**

PQR Ltd. has entered into a fixed price contract on 1st February, 20X2 to provide annual maintenance services worth USD 10,000 which is rendered uniformly throughout the year over a period of two years (1st April, 20X2 – 31st March 20X4) to a foreign customer. As per the terms of the contract, it has received advance payment of USD 3,000 on 1st February, 20X2 and the balance is to be received on 31st March, 20X4.

The entity recognises revenue at the end of every year.

How should the entity account for the said transactions, where the consideration is received in advance?

Solution — ICAI

If the advance received from the customer is determined to be in the nature of prepayments or progress payments, these are treated as non-monetary items.

Accordingly, in the instant case, PQR Ltd. receives the advance payment of USD 3,000 on 1st February which it translates into its functional currency using the exchange rate on 1st February, 20X2. Applying paragraph 23(b) of Ind AS 21, the entity does not update the translated amount of the nonmonetary liability.

Applying Ind AS 115, Revenue from Contracts with Customers, it recognises revenue over a period of two years.

Since, the entity recognises revenue at the end of the year, revenue of USD 5,000 will be recognised at the end of the first year.

PQR Ltd. has determined that the consideration of USD 3,000 relates to the service it has rendered in the first year. At the end of year 1, the entity is entitled to an unconditional right to USD 2,000 of the remaining consideration.

Accordingly, at the end of the first year, on 31st March 20X3, it recognises revenue of USD 5,000 out of which USD 3,000 will be recognised by derecognising the contract liability and no exchange fluctuation will be involved. Balance of USD 2,000 revenue will be recognised by translating the exchange rate at the date of transaction and a receivable (monetary asset) will be recognised and translated at the exchange rate as at 31st March 20X3.

It will update the translated amount of the receivable until the receivable is settled on 31st March 20X4 and recognises the corresponding gain or loss in profit or loss.

At the end of the second year on 31st March 20X4, it recognises the balance revenue of USD 5,000 using the exchange rate at the date of the transaction.

Same type — not repeated here. *What changes in each:*

→ ***MTP Nov 2026 S-1 · Q3(b)*** *— Identical (USD advance for maintenance services).*

Q94 · Measuring progress: output and input methods

SM Ch 9 · Illustration 64 : Measuring progress on straight line basis · Theory · **Notes §6 (p 6)**

Illustration 64 : Measuring progress on straight line basis

An entity, an owner and manager of health clubs, enters into a contract with a customer for one year of access to any of its health clubs. The customer has unlimited use of the health clubs and promises to pay CU100 per month. The entity's promise to the customer is to provide a service of making the health clubs available for the customer to use as and when the customer wishes.

Evaluate if contract will qualify for satisfaction of performance obligation over a period of time. If yes, how should an entity measure its progress of service provided?

Solution — ICAI

Solution

The entity shall determine if revenue should be recognized over a period of time by evaluating the conditions laid in para 35 of Ind AS 115.

- Applying the first criterion of para 35 to establish if the customer simultaneously receives and consumes the benefits, as the entity provides service – The health club provides access to services uniformly through the year. The extent to which the customer uses the health clubs does not affect the amount of the remaining goods and services to which the customer is entitled. The customer therefore simultaneously receives and consumes the benefits of the entity's performance as it performs by making the health clubs available.
- Consequently, the entity's performance obligation is satisfied over time
- Once the pattern of satisfying performance obligation is defined, the Company then determines how progress should be measured. The services are uniformly provided to the customer through the year. Therefore, the best measure of progress is to recognize revenue on a straight line basis over the year.

Q95 · Measuring progress: output and input methods

SM Ch 9 · Illustration 65 : Uninstalled materials · Numerical · **Notes §6 (p 6)**

Illustration 65 : Uninstalled materials

On 1st January, 20X1, an entity contracts to renovate a building including the installation of new elevators. The entity estimates the following with respect to the contract:

Particulars	Amount (₹)
Transaction price	5,000,000
Expected costs:	
(a) Elevators	1,500,000
(b) Other costs	2,500,000
Total	4,000,000

The entity purchases the elevators, and they are delivered to the site six months before they will be installed. The entity uses an input method based on cost to measure progress towards completion of the contract. The entity has incurred actual other costs of 500,000 by 31st March, 20X1.

How will the Company recognize revenue for the year ended 31st March, 20X1, if performance obligation is met over a period of time?

Solution — ICAI

Solution

Costs to be incurred comprise two major components – elevators and cost of construction service.

(a) The elevators are part of the overall construction project and are not a distinct performance obligation

(b) The cost of elevators is substantial to the overall project and are incurred well in advance.

(c) Upon delivery at site, the customer acquires control of such elevators.

(d) And there is no modification made to the elevators, which the company only procures and delivers at site. Nevertheless, as part of materials used in overall construction project, the company is a principal in the transaction with the customer for such elevators also.

Therefore, applying the guidance on Input method –

- The measure of progress should be made based on the percentage of costs incurred relative to the total budgeted costs.
- The cost of elevators should be excluded when measuring such progress and revenue for such elevators should be recognized to the extent of costs incurred.

The revenue to be recognized is measured as follows:

Particulars	Amount (₹)
Transaction price	5,000,000
Costs incurred:	
(a) Cost of elevators	1,500,000
(b) Other costs	500,000
Measure of progress:	500,000 / 2,500,000 = 20%
Revenue to be recognized:	
(a) For costs incurred (other than elevators)	Total attributable revenue = 3,500,000 % of work completed = 20% Revenue to be recognized = 700,000
(b) Revenue for elevators	1,500,000 (equal to costs incurred)
Total revenue to be recognized	1,500,000 + 700,000 = 2,200,000

Therefore, for the year ended 31st March, 20X1, the Company shall recognize revenue of ₹ 2,200,000 on the project.

Q96 · Measuring progress: output and input methods

SM Ch 9 · Test Your Knowledge Q3 · Numerical · Notes §6 (p 6)

3. Company X enters into an agreement on 1st January, 20X1 with a customer for renovation of hospital and install new air-conditioners for total consideration of ₹ 50,00,000. The promised renovation service, including the installation of new air-conditioners is a single performance obligation satisfied over time. Total expected costs are ₹ 40,00,000 including ₹ 10,00,000 for the air conditioners.

   Company X determines that it acts as a principal in accordance with paragraphs B34-B38 of Ind AS 115 because it obtains control of the air conditioners before they are transferred to the customer. The customer obtains control of the air conditioners when they are delivered to the hospital premises.

Company X uses an input method based on costs incurred to measure its progress towards complete satisfaction of the performance obligation.

As at 31st March, 20X1, other costs incurred excluding the air conditioners are ₹ 6,00,000.

Whether Company X should include cost of the air conditioners in measure of its progress of performance obligation? How should revenue be recognized for the year ended March 20X1?

Solution — ICAI

3. Paragraph B19 of Ind AS 115 inter alia, states that, "an entity shall exclude from an input method the effects of any inputs that, in accordance with the objective of measuring progress in paragraph 39, do not depict the entity's performance in transferring control of goods or services to the customer".

In accordance with the above, Company X assesses whether the costs incurred to procure the air conditioners are proportionate to the entity's progress in satisfying the performance obligation. The costs incurred to procure the air conditioners (₹ 10,00,000) are significant relative to the total costs to completely satisfy the performance obligation (₹ 40,00,000). Also, Company X is not involved in manufacturing or designing the air conditioners.

Company X concludes that including the costs to procure the air conditioners in the measure of progress would overstate the extent of the entity's performance. Consequently, in accordance with paragraph B19 of Ind AS 115, the entity adjusts its measure of progress to exclude the costs to procure the air conditioners from the measure of costs incurred and from the transaction price. The entity recognizes revenue for the transfer of the air conditioners at an amount equal to the costs to procure the air conditioners (i.e., at a zero margin).

Company X assesses that as at March, 20X1, the performance is 20 per cent complete (i.e., ₹ 6,00,000 / ₹ 30,00,000). Consequently, Company X recognizes the following-

As at 31st March, 20X1

	Amount in ₹
Revenue	18,00,000
Cost of goods sold	16,00,000
Profit	2,00,000

Revenue recognized is calculated as (20 per cent × ₹ 40,00,000) + ₹ 10,00,000.

(₹ 40,00,000 = ₹ 50,00,000 transaction price – ₹ 10,00,000 costs of air conditioners.)

Cost of goods sold is ₹ 6,00,000 of costs incurred + ₹ 10,00,000 costs of air conditioners.

Same type — not repeated here. *What changes in each:*

→ ***RTP May 2023 · Q7*** *— Same question as this SM item (ICAI reused it word for word or nearly so) — same answer.*

→ ***RTP May 2023 · Q7*** *— Same renovation + air-conditioners question (revenue 18 lakh; profit 2 lakh).*

Q97 · Measuring progress: output and input methods

PYQ May 2023 · Q2(c) · 6 marks · Numerical · Notes §6 (p 6)

On 1st January, 2023, Z Limited enters into an agreement with a college for renovation of building including installation of new air conditioners at a transaction price of ₹ 40.00 lakhs. The expected cost of air conditioners is ₹ 12.00 lakhs. The other expected cost is ₹ 20.00 lakhs. Z Limited purchases the air conditioners and they are delivered to the site before 31st March, 2023. Z Limited uses an input method based on cost to measure progress towards completion of the contract.

Z Limited has incurred actual other costs (excluding the air conditioners) of ₹ 4.00 lakhs by 31st March, 2023.

Determine the revenue to be recognized as per applicable Ind AS for the year ended 31st March, 2023, if performance obligation is met over a period of time. (6 Marks)

Solution — ICAI

Costs to be incurred comprise two major components – air conditioners and cost of construction service.

(a) The air conditioners are part of the overall construction project and are not a distinct performance obligation.

(b) The cost of air conditioners is substantial to the overall project and are incurred well in advance.

(c) Upon delivery at site, customer acquires control of such air conditioners.

(d) And there is no modification done to the air conditioners, which the company only procures and delivers at site. Nevertheless, as part of materials used in overall construction project, the company is a principal in the transaction with the customer for such air conditioners also.

Therefore, applying the guidance on Input method –

- The measure of progress should be made based on the percentage of costs incurred relative to the total budgeted costs.

- The cost of air conditioners should be excluded when measuring such progress and revenue for such air conditioners should be recognized to the extent of costs incurred.

The revenue to be recognized is measured as follows:

Particulars	Amount (₹)
Transaction price	40,00,000
Costs incurred:	
(a) Cost of air conditioners	12,00,000
(b) Other costs	4,00,000
Measure of progress:	4,00,000 / 20,00,000 = 20%
Revenue to be recognised:	
(a) For costs incurred (other than air conditioners)	Total attributable revenue = 28,00,000; % of work completed = 20%; Revenue to be recognised = 5,60,000
(b) Revenue for air conditioners	12,00,000 (equal to costs incurred)
Total revenue to be recognised	12,00,000 + 5,60,000 = 17,60,000

Therefore, for the year ended 31st March, 2023, the Company shall recognize revenue of ₹ 17,60,000 on the project.

Study-material link: variant of SM Illustration 65 (uninstalled elevators; SM figures ₹50 lakh / ₹15 lakh / ₹25 lakh / ₹5 lakh).

Q98 · Performance obligations satisfied at a point in time

RTP May 2024 · Q12 · Theory · Notes §6 (p 6)

Astra Ltd. is a listed entity which operates in the defence and fibre optics sector. It supplies fibre optic cables and racks in the domestic country. This activity is only a trading activity for Astra Ltd. as it procures goods from pre-approved suppliers, and after inspection, sells the goods to IT companies. The sale contract requires Astra Ltd. to deliver these goods to the IT companies' locations (i.e., delivery on site). Payment terms are 30 days after the invoice date to Astra Ltd.

Ms. Suparna Dasgupta, a chartered accountant, has recently joined Astra Ltd. as the Head of the Finance Department.

The Chief Operating Officer (also the executive director) of Astra Ltd. is Ms. Padmaja Srinivasan, a mechanical engineer with an MBA from Harvard University, who rose through the ranks through her excellent skills in project management, marketing, and customer management. Her remuneration includes a bonus computed as a percentage of turnover achieved during the year, and an additional incentive for achieving an EBITDA in excess of 15% of turnover.

Astra Ltd. has sold fibre optic cables amounting to ₹2 crores (invoice dated 31st March 20X2) to Ethernet Bullet Ltd., a company providing high-speed internet connectivity services through fibre optic cables as well as dedicated leased lines. The service unit of Ethernet Bullet Ltd. is located next to the factory of Astra Ltd. Though the goods were not moved to Ethernet Bullet Ltd.'s service unit, Astra Ltd. recognized the sale for the year, based on the contention that the service unit is adjacent, and hence the transfer can happen within few minutes.

The annual results are due for board approval, for the year ending 31st March, and require the sign-off of Ms. Suparna Dasgupta.

Ms. Suparna Dasgupta has been given a 40% increment on joining Astra Ltd., which enables her to comfortably pay off her housing loan mortgage every month. Additionally, she is also given perquisites in the form of business class travel, an exclusive chauffeur-driven car and stock options of the company. Accordingly, she has stated that she cannot afford to lose this job as the salary and perquisites are among the best in the country.

Ms. Padmaja Srinivasan has communicated to Ms. Suparna Dasgupta that many more benefits will accrue if she agrees to present the numbers without any modifications. She has also said that the company would not hesitate to replace Ms. Suparna Dasgupta should she disagree with the contentions above.

Required:

Discuss the potential conflicts which are arising in the above scenario and the ethical principles that would guide Ms. Suparna Dasgupta in responding to the situation.

Solution — ICAI

Presentation of Revenue numbers:

Ind AS 115 'Revenue from Contracts with Customers' requires revenue to be recognized only on satisfaction of the performance obligations under the contract. It is crucial that the performance obligations be identified at the commencement of the contract, so that the trigger points for revenue recognition become identifiable.

Management would always have an incentive to present higher revenue numbers. In the given case, the fact that the COO is given an incentive for revenues and EBITDA indicates that revenue is a potential area for material misstatement, given the personal interest of the COO in the same.

The sale of fibre optic cable cannot be recognized on 31st March 20X2 as the goods are not yet transferred to the customer Ethernet Bullet Ltd.'s factory premises, which is one of the critical obligations of Astra Ltd. The contention of the COO that it takes merely a few minutes to shift the goods, and hence the sale can be recognized does not hold true. One can always cross-question as to why the movement of goods did not happen, if it was merely a few minutes job. It could be a possibility that the goods may not be packed, or there may still be some pending inspection of the goods before transferring the same etc. In view of this, the performance obligation under this contract has not been completed, and hence booking the revenue has resulted in an overstatement of revenue by ₹2 crores, and a consequent inflation of profits, assuming that Astra Ltd. is making profit on this sale transaction. Additionally, booking this sale has resulted in an understatement of inventory as at the reporting date of 31st March 20X2.

In view of the above, multiple conflicts of interest arise for Ms. Suparna Dasgupta:

(a) Pressure to present favourable revenue figures and chartered accountant's personal circumstances

The chartered accountant is under pressure to present favourable numbers, notably in favour of the COO, thereby increasing the incentives to the COO, and in turn benefiting with the continued job prospects. Thus, the ethical and professional standards required of the accountant are at odds with the pressures of her personal circumstances.

(b) Duty to stakeholders

The directors have a duty to act in the best interests of the company's stakeholders. While higher revenue numbers do indicate a good growth trajectory of the company, recognizing the revenue before fulfilling the performance obligations, or incorrectly booking grant income as revenue, results in misleading the stakeholders about the actual performance of the entity, thereby actually becoming detrimental to the stakeholders.

Ethical principles guiding the chartered accountant's response

By exhibiting bias in reporting higher revenue figures due to the risk of losing the job, objectivity stands compromised. Knowingly disclosing incorrect information compromises integrity, and erring in complying with Ind AS requirements, though continuing to report so in the financial statements, results in displaying absence of professional competence.

Appropriate action

In the given case, the chartered accountant faces an ethical dilemma, and must apply her moral and ethical judgment. As a professional, she is responsible for presenting the truth, and to avoid indulging in 'creative accounting practices' due to pressure.

The chartered accountant accordingly must put the interests of the company and professional ethics first and insist that the financial statements represent correct revenue numbers, in compliance with the relevant Ind AS. Being an advisor to the directors, she must prevent deliberate misrepresentation / fraudulent financial reporting, regardless of the personal consequences. The accountant should not allow any undue influence from the directors to override her professional judgment or integrity. This is in the long-term interests of the company,

Further, knowingly providing incorrect information is regarded as professional misconduct. To prevent such misconduct, the chartered accountant should not sign off on the financial statements containing incorrect financial information. By adhering to the ethical principles, the chartered accountant will maintain her professional integrity and contribute to the trust and reliability placed in the work expected from her.

However, if she signs the financial statements containing the inflated revenue numbers, Ms. Suparna Dasgupta would be guilty of professional misconduct under Clause I of Part II of Second Schedule to the Chartered Accountants Act, 1949. The Clause states that a member of the Institute, whether in practice or not, shall be guilty of professional misconduct, if he contravenes any of the provisions of this Act or the regulations made thereunder, or any guidelines issued by the Council. As per the Council guidelines, a member of the Institute who is an employee shall exercise due diligence and shall not be grossly negligent in the conduct of his duties.

Same type — not repeated here. *What changes in each:*

→ ***MTP Sep 2025 S-1 · Q6(a)*** *— Identical (Astra Ltd. — revenue on bill-and-hold-like early billing; ethics).*

Q99 · Performance obligations satisfied at a point in time

RTP Nov 2026 · Q11 · Theory · **Notes §6 (p 6)**

AlphaTech Ltd., a listed company, manufactures specialised industrial equipment and prepares its financial statements under Ind AS. For the year ended 31 March 20X5, its reported revenue before the following transaction was ₹492 crore, against management's guidance of ₹500 crore.

On 25 March 20X5, AlphaTech received an order of ₹30 crore from Beta Industries Ltd. The equipment was delivered on 28 March 20X5 and management recognised the entire ₹30 crore as revenue immediately.

CA Rohan Mehta, responsible for financial reporting, noted the following:

- Beta Industries had a 90-day contractual right to return the equipment if it did not meet its production requirements.

- The equipment was highly customised and could not readily be sold to another customer without substantial modification.

- Installation and acceptance testing were not completed as at 31 March 20X5.

- The sales team had separately assured Beta Industries that AlphaTech would take back the equipment and provide a full refund if it did not perform as expected although this assurance was not expressly included in the main contract.

- The consideration of ₹30 crore was not received; payment was due 120 days after final acceptance by the customer.

- The CFO stated that AlphaTech had historically recognised revenue on dispatch and asked Rohan to approve the ₹30 crore revenue to meet the company's revenue target.

On 15 April 20X5, Beta Industries informed AlphaTech that the equipment had failed acceptance testing and exercised its right to return it. The equipment was returned on 25 April 20X5.

The CFO instructed Rohan not to reconsider the financial year 20X4-20X5 revenue, stating that the return occurred in the next financial year.

Required:

(a) Whether the ₹30 crore revenue should be recognised in financial year 20X4-20X5?;

(b) How the subsequent failure of acceptance testing and return of the equipment should be considered? and

(c) What should CA Rohan do in the given circumstances?

(d) What would be the consequences of failure by CA. Rohan to discharge his professional responsibility?

Solution — ICAI

(a) Correct Accounting treatment under Ind AS 115 'Revenue from Contracts with Customers'

Under Ind AS 115, revenue is recognised when, or as, a performance obligation is satisfied by transferring control of the promised goods or service to the customer. Accordingly, physical delivery or dispatch alone does not necessarily establish that revenue should be recognised.

In the present case, the following factors are relevant:

1. Acceptance testing: Testing had not been completed by 31 March 20X5. If the acceptance condition is substantive and control cannot be considered to have transferred before successful acceptance, revenue should be deferred.

2. Right of return: Beta Industries had a contractual right to return the equipment. Accordingly, if control had otherwise transferred, AlphaTech would recognise revenue only to the extent to which it expects to be entitled, together with a refund liability and an asset for its right to recover the product, as applicable.

3. Other terms: The equipment was highly customised, payment was conditional upon final acceptance, and the sales team had assured the customer of a full refund. These facts are relevant in determining the substance of the arrangement and whether control had transferred.

Therefore, AlphaTech cannot recognise the entire ₹30 crore merely because the equipment was dispatched on 28 March 20X5. It must first establish whether control had transferred by 31 March 20X5 and apply the right-of-return requirements, as applicable.

(b) Subsequent failure of acceptance testing and return

The fact that Beta Industries failed the acceptance test shortly after year-end and returned the equipment is significant.

At 31 March 20X5:

1. acceptance testing was pending;

2. the customer already had a contractual right of return;

3. payment was conditional upon final acceptance; and

4. the equipment had not successfully passed acceptance testing.

Accordingly, the subsequent failure may provide additional evidence about conditions existing at the reporting date, rather than representing an entirely new condition arising in Financial Year 20X5-20X6.

Therefore, the return cannot simply be ignored on the ground that it physically occurred after year-end. It should be considered in determining whether the original revenue recognition in Financial Year 20X4-20X5 was appropriate.

(c) Responsibility of CA Rohan

Rohan should not approve the ₹30 crore revenue merely to enable AlphaTech to achieve its revenue target. Management's revenue target is not a criterion for revenue recognition.

He should:

1. apply Ind AS 115 based on the facts and substance of the transaction;

2. exercise professional integrity, objectivity and professional judgement;

3. explain to management why the proposed accounting treatment may not comply with Ind AS;

4. document his assessment and the relevant evidence; and

5. if management refuses to make an appropriate adjustment, escalate the matter to the Audit Committee or those charged with governance, as appropriate.

Rohan should not allow management pressure or revenue targets to override the requirements of Ind AS 115 and his professional responsibilities.

(d) Consequences of failure to discharge professional responsibility:

In case CA Rohan succumbs to the undue influence of the CFO and knowingly approves an accounting treatment that is not in accordance with Ind AS, he may be liable for professional misconduct under Clause 1 of Part II of the Second Schedule to the Chartered Accountants Act, 1949. The Clause 1 states that a member of the Institute, whether in practice or not, shall be deemed to be guilty of professional misconduct, for contravening the provisions of this Act or the regulations made thereunder or any guidelines issued by the Council. As per the Guidelines issued by the Council, a member of the Institute who is an employee shall exercise due diligence and shall not be grossly negligent in the conduct of his duties.

Accordingly, Rohan must exercise due care and professional judgment and should not allow management pressure or undue influence to override his professional responsibilities.

Q100 · Performance obligations satisfied at a point in time

PYQ Jan 2026 · Q6(a) Issue 1 · 5 marks · Theory · Notes §6 (p 6)

You, a Chartered Accountant, have recently been appointed as the new Chief Financial Officer (CFO) at Digitization Solutions Limited, a listed company in the hardware distribution sector. While reviewing the financial statements for the financial year 2024-2025, before submitting the same for audit, you identify the following issues:

Issue 1: Channel Stuffing and Premature Revenue Recognition

• Products worth ₹ 18 crores were shipped to distributors on 30th March, 2025, but there were no confirmed purchase orders.

• These transactions have been recorded as revenue for Quarter 4.

• Distributors were offered extended credit terms of 180 days and a "right of return" for unsold goods within 60 days.

Issue 2: Deferred Recognition of Marketing Expense

• A ₹ 4.5 crore marketing campaign conducted during Quarter 4 was capitalised as "deferred revenue expenditure" instead of being expensed, with the intent of inflating profits.

Issue 3: Understatement of Warranty Provisions

• Historically, the company incurs warranty claims equal to 4% of sales, but for financial year 2024-2025, management has only provisioned 1.5%, citing the need to "smooth earnings".

The management of the company is under pressure to meet quarterly earnings targets due to the risk of a credit rating downgrade and to meet the expectations of institutional investors.

Discuss and analyze the implications of accepting these treatments, with reference to the ICAI Code of Ethics. (5 Marks)

Solution — ICAI

(Ind AS 115 part, Issue 1, verbatim. Issue 2 is answered under Ind AS 38, Issue 3 under Ind AS 37, and the rest under the ICAI Code of Ethics. Those parts are summarised only.)

Issue 1: Channel Stuffing and Premature Revenue Recognition

In the given case, the entity has stuffed its goods with the distributors without confirm purchase orders. This implies that the control of the goods might have not transferred to the distributors. Further, since the entity has offered the distributors with extended credit terms of 180 days and a right of return for unsold goods within 60 days, the recognition of revenue shall be deferred or not be recognized for the products expected to be returned.

[Ethics part, as it touches Issue 1, verbatim:] "The integrity of CFO would be compromised in case he accounts for the transaction as sale and not as an asset in case of issue 1 and inflating of profits in case of issues 2 and 3. This effectively amounts to 'window dressing', which is not honest as it does not present the actual performance and position of Digital Solutions Ltd." (The answer goes on to cover objectivity, conflict of interest and professional misconduct under Clause 1 of Part II of the Second Schedule to the CA Act, 1949.)

Q101 · Repurchase agreements: forward, call and put options

SM Ch 9 · Illustration 66 · Theory · Notes §6 table (p 6)

Illustration 66

An entity enters into a contract with a customer for the sale of a tangible asset on 1st January, 20X1 for ₹ 1 million. The contract includes a call option that gives the entity the right to repurchase the asset for ₹ 1.1 million on or before 31st December, 20X1.

How would the entity account for this transaction?

Solution — ICAI

Solution

In the above case, where the entity has a right to call back the goods upto a certain date –

- The customer cannot be said to have acquired control, owing to the repurchase right with the seller entity
- Since the original selling price (₹ 1 million) is lower than the repurchase price (₹ 1.1 million), this is construed to be a financing arrangement and accounted as follows:
  - (a) Amount received shall be recognized as 'liability'
  - (b) Difference between sale price and repurchase price to be recognized as 'finance cost' and recognized over the repurchase term.

Q102 · Repurchase agreements: forward, call and put options

SM Ch 9 · Illustration 67 · Theory · Notes §6 table (p 6)

Illustration 67

An entity enters into a contract with a customer for the sale of a tangible asset on 1st January, 20X1 for ₹ 10,00,000. The contract includes a put option that gives the customer the right to sell the asset for ₹ 9,00,000 on or before 31st December, 20X1. The market price for such goods is expected to be ₹ 7,50,000

How would the entity account for this transaction?

Solution — ICAI

Solution

In the above case, where the entity has an obligation to buy back the goods upto a certain date–

- The entity shall evaluate if the customer has a significant economic incentive to return the goods. Since the repurchase price is significantly higher than market price, therefore, customer has a significant economic incentive to return the goods. There are no other factors which may affect this assessment.

- Therefore, company determines that 'control' of goods is not transferred to the customer till 31st December, 20X1, ie, till the put option expires.
- Against payment of ₹ 10,00,000; the customer only has a right to use the asset and put it back to the entity for ₹ 9,00,000. Therefore, this will be accounted as a lease transaction in which difference between original selling price (ie, ₹ 10,00,000) and repurchase price (ie, ₹ 9,00,000) shall be recognized as lease income over the period of lease.
- At the end of repurchase term, ie, 31st December, 20X1, if the customer does not exercise such right, then the control of goods would be passed to the customer at that time and revenue shall be recognized for sale of goods for repurchase price (ie, ₹ 9,00,000).

Q103 · Bill-and-hold arrangements

SM Ch 9 · Illustration 68 · Theory · Notes §6 table (p 6)

Illustration 68

An entity enters into a contract with a customer on 1st April, 20X1 for the sale of a machine and spare parts. The manufacturing lead time for the machine and spare parts is two years.

Upon completion of manufacturing, the entity demonstrates that the machine and spare parts meet the agreed-upon specifications in the contract. The promises to transfer the machine and spare parts are distinct and result in two performance obligations that each will be satisfied at a point in time. On 31st March, 20X3, the customer pays for the machine and spare parts, but only takes physical possession of the machine. Although the customer inspects and accepts the spare parts, the customer requests that the spare parts be stored at the entity's warehouse because of its close proximity to the customer's factory. The customer has legal title to the spare parts and the parts can be identified as belonging to the customer. Furthermore, the entity stores the spare parts in a separate section of its warehouse and the parts are ready for immediate shipment at the customer's request. The entity expects to hold the spare parts for two to four years and the entity does not have the ability to use the spare parts or direct them to another customer.

How will the Company recognize revenue for sale of machine and spare parts? Is there any other performance obligation attached to this sale of goods?

Solution — ICAI

Solution

In the facts provided above, the entity has made sale of two goods – machine and space parts, whose control is transferred at a point in time. Additionally, company agrees to hold the spare parts for the customer for a period of 2-4 years, which is a separate performance obligation. Therefore, total transaction price shall be divided amongst 3 performance obligations –

(i) Sale of machinery

(ii) Sale of spare parts

(iii) Custodial services for storing spare parts.

Recognition of revenue for each of the three performance obligations shall occur as follows:

- Sale of machinery: Machine has been sold to the customer and physical possession as well as legal title passed to the customer on 31st March, 20X3. Accordingly, revenue for sale of machinery shall be recognized on 31st March, 20X3.
- Sale of spare parts: The customer has made payment for the spare parts and legal title has been passed to specifically identified goods, but such spares continue to be physically held by the entity. In this regard, the company shall evaluate if revenue can be recognized on bill-and-hold basis if all below criteria are met:

(a) the reason for the bill-and-hold arrangement must be substantive (for example, the customer has requested the arrangement);	The customer has specifically requested for entity to store goods in their warehouse, owing to close proximity to customer's factory.
(b) the product must be identified separately as belonging to the customer;	The spare parts have been specifically identified and inspected by the customer.
(c) the product currently must be ready for physical transfer to the customer; and	The spares are identified and segregated, therefore, ready for delivery.
(d) the entity cannot have the ability to use the product or to direct it to another customer	Spares have been segregated and cannot be redirected to any other customer.

Therefore, all conditions of bill-and-hold are met and hence, company can recognize revenue for sale of spare parts on 31st March, 20X3.

- Custodial services: Such services shall be given for a period of 2 to 4 years from 31st March, 20X3. Where services are given uniformly and customer receives & consumes benefits simultaneously, revenue for such service shall be recognized on a straight-line basis over a period of time.

Same type — not repeated here. *What changes in each:*

→ ***MTP Jan 2026 S-II · Q5(a)*** *— Same question as this SM item (ICAI reused it word for word or nearly so) — same answer.*

→ ***MTP Nov 2023 S-I · Q5(a)*** *— Same question as this SM item (ICAI reused it word for word or nearly so) — same answer.*

Q104 · Bill-and-hold arrangements

PYQ May 2022 · Q2(b) · 6 marks · Theory · Notes §6 table (p 6)

ANANDAM Ltd. enters into a contract with a customer on 1st April, 2019 for sale of a machine and spare parts. The manufacturing lead time for the machine and spare parts is 3 years.

On completion of manufacturing, ANANDAM Ltd. demonstrates that the machine and spare parts meet the agreed-upon specifications in the contract. The promises to transfer the machine and spare parts are distinct and result in two performance obligations each of which will be satisfied at a point in time.

On 31st March, 2022, the customer pays for the machine and spare parts, but only takes the physical possession of the machine. Although the customer inspects and accepts the spare parts, the customer requests that the spare parts be stored at ANANDAM Ltd.'s warehouse because of its close proximity to the customer's factory.

The customer has legal title to the spare parts and the parts can be identified as belonging to the customer. ANANDAM Ltd. stores the spare parts in a separate section of its warehouse and the parts are ready for immediate shipment at the customer's request. ANANDAM Ltd. expects to hold the spare parts for one to three years and does not have the authority to use the spare parts or direct them to another customer.

Determine how the revenue will be recognized by ANANDAM Ltd. for the different performance obligations as per Ind AS 115? (6 Marks)

Solution — ICAI

INDENTIFIACTION OF OBLIGATIONS:

ANANDAM Ltd. has made sale of two goods – machine and space parts, whose control is transferred at a point in time. Additionally, company agrees to hold the spare parts for the customer for a period of 1-3 years, which is a separate performance obligation. Therefore, total transaction price shall be allocated amongst 3 performance obligations viz

(i) Sale of machinery

(ii) Sale of spare parts

(iii) Custodial services for storing spare parts.

RECOGNITION OF REVENUE:

Recognition of revenue for each of the three performance obligations shall occur as follows:

(i) Sale of machinery: Machine has been sold to the customer and physical possession as well as legal title passed to the customer on 31st March, 2022. Accordingly, revenue for sale of machinery shall be recognised on 31st March, 2022.

(ii) Sale of spare parts: The customer has made payment for the spare parts and legal title has been passed to specifically identified goods, but such spares continue to be physically held by the entity. In this regard, the company shall evaluate if revenue can be recognized on bill-and-hold basis if all below criteria are met:

Criterion	Facts
(a) The reason for the bill-and-hold arrangement must be substantive (for example, the customer has requested the arrangement);	The customer has specifically requested the entity to store goods in their warehouse, owing to proximity to customer's factory.
(b) The product must be identified separately as belonging to the customer;	The spare parts have been specifically identified and inspected by the customer.
(c) The product currently must be ready for physical transfer to the customer; and	The spares are identified and segregated, therefore, ready for delivery any time.
(d) The entity cannot have the ability to use the product or to direct it to another customer	Spares have been segregated and cannot be redirected to any other customer.

Therefore, all the above conditions of bill-and-hold are met and hence, company can recognize revenue for sale of spare parts on 31st March, 2022.

(iii) Custodial services: Such services shall be given for a period of 1 to 3 years from 31st March, 2022. Where services are given uniformly and customer receives & consumes benefits simultaneously, revenue for such service shall be recognized on a straight-line basis over a period of time.

Study-material link: variant of SM Illustration 68 (same facts; entity named ANANDAM Ltd., lead time 3 years instead of 2, holding period 1–3 years instead of 2–4). Repeated as PYQ May 2026 Q5(a).

Same type — not repeated here. *What changes in each:*

→ ***PYQ May 2026 · Q5(a) · 5 marks*** *— Same facts and wording (PQR Ltd., contract 1 Apr 2023, lead time 3 years); ICAI's May 2026 answer is not in the repo — use this answer (machine, spare parts, custodial service: three POs; bill-and-hold criteria; storage straight line).*

Q105 · Licences of intellectual property: right to access vs right to use

SM Ch 9 · Illustration 69 · Theory · **Notes §6 table (p 6)**

Illustration 69

An entity, a music record label, licenses to a customer a 1975 recording of a classical symphony by a noted orchestra. The customer, a consumer products company, has the right to use the recorded symphony in all commercials, including television, radio and online advertisements for two years in Country A. In exchange for providing the licence, the entity receives fixed consideration of ₹50,000 per month. The contract does not include any other goods or services to be provided by the entity. The contract is non-cancellable.

Determine how the revenue will be recognized?

Solution — ICAI

Solution

The entity assesses the goods and services promised to the customer to determine which goods and services are distinct in accordance with paragraph 27 of Ind AS 115. The entity concludes that its only performance obligation is to grant the licence. The entity does not have any contractual or implied obligations to change the licensed recording. The licensed recording has significant stand-alone functionality (i.e. the ability to be played) and, therefore, the ability of the customer to obtain the benefits of the recording is not substantially derived from the entity's ongoing activities. The entity therefore determines that the contract does not require, and the customer does not reasonably expect, the entity to undertake activities that significantly affect the licensed recording. Consequently, the entity concludes that the nature of its promise in transferring the licence is to provide the customer with a right to use the entity's intellectual property as it exists at the point in time that it is granted. Therefore, the promise to grant the licence is a performance obligation satisfied at a point in time. The entity recognizes all of the revenue at the point in time when the customer can direct the use of, and obtain substantially all of the remaining benefits from, the licensed intellectual property.

Q106 · Licences of intellectual property: right to access vs right to use

SM Ch 9 · Illustration 70 : Assessing the nature of a software licence with unspecified upgrades · Theory · **Notes §6 table (p 6)**

Illustration 70 : Assessing the nature of a software licence with unspecified upgrades

Software Company X licenses its software application to Customer Y. Under the agreement, X will provide updates or upgrades on a when-and-if-available basis; Y can choose whether to install them. Y expects that X will undertake no other activities that will change the functionality of the software.

Determine the nature of license.

Solution — ICAI

Solution

Based on the facts given in question it can be concluded that, although the updates and upgrades will change the functionality of the software, they are not activities considered in determining the nature of the entity's promise in granting the licence. The activities of X to provide updates or upgrades are not considered because they transfer a promised goods or service to Y – i.e. updates or upgrades are distinct from the licence. Therefore, the software licence provides a right to use the IP that is satisfied at a point in time.

Q107 · Licences of intellectual property: right to access vs right to use

SM Ch 9 · Illustration 71 : Assessing the nature of a film licence and the effect of marketing · Theory · Notes §6 table (p 6)

Illustration 71 : Assessing the nature of a film licence and the effect of marketing activities

Film Studio C grants a licence to Customer D to show a completed film. C plans to undertake significant marketing activities that it expects will affect box office receipts for the film. The marketing activities will not change the functionality of the film, but they could affect its value.

Determine the nature of license.

Solution — ICAI

Solution

C would probably conclude that the licence provides a right to use its IP and, therefore, is transferred at a point in time. There is no expectation that C will undertake activities to change the form or functionality of the film. Because the IP has significant stand-alone functionality, C's marketing activities do not significantly affect D's ability to obtain benefit from the film, nor do they affect the IP available to D.

Q108 · Licences of intellectual property: right to access vs right to use

SM Ch 9 · Illustration 72 : Assessing the nature of a team name and logo · Theory · Notes §6 table (p 6)

Illustration 72 : Assessing the nature of a team name and logo

Sports Team D enters into a three-year agreement to license its team name and logo to Apparel Maker M. The licence permits M to use the team name and logo on its products, including display products, and in its advertising or marketing materials.

(i) Determine the nature of license in the above case.

(ii) Modifying above facts that, Sports Team D has not played games in many years and the licensor is Brand Collector B, an entity that acquires IP (Intellectual Property) such as old team or brand names and logos from defunct entities or those in financial distress. B's business model is to license the IP or obtain settlements from entities that use the IP without permission, without undertaking any ongoing activities to promote or support the IP.

Would the answer be different in this situation?

Solution — ICAI

Solution

(i) The nature of D's promise in this contract is to provide M with the right to access the sports team's IP and, accordingly, revenue from the licence will be recognized over time. In reaching this conclusion, D considers all of the following facts:

- M reasonably expects D to continue to undertake activities that support and maintain the value of the team name and logo by continuing to play games and field a competitive team throughout the licence period. These activities significantly affect the IP's ability to provide benefit to M because the value of the team name and logo is substantially derived from, or dependent on, those ongoing activities.
- The activities directly expose M to positive or negative effects (i.e. whether D plays games and fields a competitive team will have a direct effect on how successful M is in selling its products featuring the team's name and logo).
- D's ongoing activities do not result in the transfer of a goods or a service to M as they occur (i.e. the team playing games does not transfer a goods or service to M).

(ii) Based on B's customary business practices, Apparel Maker M probably does not reasonably expect B to undertake any activities to change the form of the IP or to support or maintain the IP. Therefore, B would probably conclude that the nature of its promise is to provide M with a right to use its IP as it exists at the point in time at which the licence is granted.

Same type — not repeated here. *What changes in each:*

→ ***MTP May 2025 S-II · Q2(b)*** *— Same question as this SM item (ICAI reused it word for word or nearly so) — same answer.*

Q109 · Licences of intellectual property: right to access vs right to use

ICAI Practice Questions · Ch 9 Q4 · Theory · **Notes §6 table (p 6)**

4. Franchisor Y Ltd. licenses the right to operate a store in a specified location to Franchisee F. The store bears Y Ltd.'s trade name and F will have a right to sell Y Ltd.'s products for 10 years. F pays an up-front fixed fee. The franchise contract also requires Y Ltd. to maintain the brand through product improvements, marketing campaigns etc. Determine the nature of license.

Solution — ICAI

4. The licence provides F access to the IP as it exists at any point in time in the licence period. This is because:

- Y Ltd. is required to maintain the brand, which will significantly affect the IP by affecting F's ability to obtain benefit from the brand;
- any action by Y Ltd. may have a direct positive or negative effect on F; and
- these activities do not transfer a goods or service to F.

Therefore, Y Ltd. recognizes the up-front fee over the 10-year franchise period.

Q110 · Licences of intellectual property: right to access vs right to use

PYQ May 2025 · Q5(a) · 5 marks · Theory · Notes §6 table (p 6)

HaSo Ltd. deals in manufacture of computer hardware and development of software applications. Discuss the revenue recognition of HaSo Ltd. as per Ind AS 115 in the following cases:

(i) Mr. Grahak purchases a software application license from HaSo Ltd. for ₹ 2,00,000. Under the agreement, HaSo Ltd. will provide updates or upgrades on a when-and-if-available basis. Mr. Grahak can choose whether to install them or not. HaSo Ltd. will undertake no other activities that will change the functionality of the software application license.

(ii) HaSo Ltd. licenses the right to operate its exclusive store in Madurai to Franchisee Ltd. The store will bear HaSo Ltd. trade name and brand logo. Franchisee Ltd. will have the right to sell HaSo Ltd.'s products for next 5 years from the date of agreement. Franchisee Ltd. pays an all-inclusive up-front fixed fee on signing of the agreement. The franchise agreement requires HaSo Ltd. to maintain the brand through product improvements, marketing campaigns etc. (5 Marks)

Solution — ICAI

(i) Although the updates and upgrades will change the functionality of the software, they are not considered in determining the nature of the entity's promise in granting the license. The activities of HaSo Ltd. to provide updates or upgrades are not considered because they transfer a promised goods or service to Mr. Grahak i.e. updates or upgrades are distinct from the licence. Therefore, the software application license ₹ 2,00,000 provides a right to use the IP that is satisfied at a point in time.

Hence, ₹ 2,00,000 will be recognised immediately in the income statement by HaSo Ltd., on purchase of the software application license by Mr Grahak.

(ii) The licence provides Franchisee Ltd. access to the IP as it exists at any point in time in the licence period. This is because:

– HaSo Ltd. is required to maintain the brand, which will significantly affect the IP by affecting Franchisee Ltd.'s ability to obtain benefit from the brand;

– Any action by HaSo Ltd. may have a direct positive or negative effect on Franchisee Ltd.; and

– These activities do not transfer goods or service to Franchisee Ltd.

Therefore, HaSo Ltd. recognizes the up-front fee over the 5-year franchise period.

Ⓕ Adjustments in this topic — what to do

Over time or point in time; measure progress

Notes §6 (p 6) · practise: Q88, Q90, Q92, Q95, Q96, Q97

When: Services, construction, customised goods.

1. Over time if: customer consumes as you perform; or you build an asset the customer controls; or no alternative use + right to payment for work to date.
2. Progress by output or input; exclude inputs that do not show progress.
3. Uninstalled materials (not distinct, customer controls, significant, procured): revenue = cost, excluded from % complete.

ICAI figures: Illus 65: 22 lakh. TYK 3: 18 lakh. May 2023: 17.60 lakh. Illus 63: no right to payment → point in time.

Repurchase, bill-and-hold, licences

Notes §6 table (p 6) · practise: Q101, Q102, Q103, Q104, Q108, Q109, Q110

When: Buy-back clauses, goods held for the customer, IP licences.

1. Call / forward: lease (price < original) or financing (≥ original). Put: significant incentive → lease/financing; else sale with right of return.
2. Bill-and-hold: 4 criteria → revenue before delivery; custodial service = separate PO over time.
3. Licence: licensor's activities change the IP → right to access (over time); static IP → right to use (point in time). Sales royalties when sales occur.

ICAI figures: Illus 66: liability 10 lakh, interest 1 lakh. Illus 68 / May 2022: 3 POs. PQ 4 / May 2025: franchise fee over the term.

⑥ Contract costs

Q111 · Costs to fulfil a contract

SM Ch 9 · Illustration 73 · Theory · Notes §7 (p 7)

Illustration 73

Customer outsources its information technology data centre

Term = 5 years plus two 1-yr renewal options

Average customer relationship is 7 years

Entity spends ₹ 4,00,000 designing and building the technology platform needed to accommodate out-sourcing contract:

Design services	*₹ 50,000*
Hardware	*₹ 140,000*
Software	*₹ 100,000*
Migration and testing of data centre	*₹ 110,000*
TOTAL	***₹ 400,000***

Solution — ICAI

Solution

Design services	₹ 50,000	Assess under Ind AS 115. Any resulting asset would be amortised over 7 years (i.e. include renewals)
Hardware	₹ 140,000	Account for asset under Ind AS 16
Software	₹ 100,000	Account for asset under Ind AS 38
Migration and testing of data centre	₹ 110,000	Assess under Ind AS 115. Any resulting asset would be amortised over 7 years (i.e. include renewals)
TOTAL	**₹ 400,000**	

Q112 · Amortisation and impairment of contract cost assets

SM Ch 9 · Illustration 74 : Amortisation · Theory · Notes §7 (p 7)

Illustration 74 : Amortisation

An entity enters into a service contract with a customer and incurs incremental costs to obtain the contract and costs to fulfil the contract. These costs are capitalised as assets in accordance with Ind AS 115. The initial term of the contract is five years but it can be renewed for subsequent one-year periods up to a maximum of 10 years. The average contract term for similar contracts entered into by entity is seven years.

Determine appropriate method of amortisation?

Solution — ICAI

Solution

The most appropriate amortisation period is likely to be seven years (i.e. the initial term of five years plus two anticipated one year renewals) because that is the period over which the entity expects to provide services under the contract to which the capitalised costs relate.

⑥ Adjustments in this topic — what to do

Contract costs

Notes §7 (p 7) · practise: Q111, Q112

When: *Commissions, set-up and fulfilment costs.*

1. *Obtain: capitalise incremental costs expected to be recovered (expedient ≤ 1 year). Fulfil: capitalise if not under another Ind AS, directly related, create resources, recoverable.*
2. *Amortise over the expected period incl. renewals; impair if carrying amount > remaining consideration − costs.*

ICAI figures: *Illus 74: 5 + 2 renewals → 7 years. Illus 73: hardware Ind AS 16, software Ind AS 38, design and migration Ind AS 115.*

Service concession arrangements (Appendix D)

Q113 · Financial asset model vs intangible asset model

SM Ch 9 · Illustration 75 · Numerical · Notes §9 (p 7)

Illustration 75

A Ltd. is in the business of infrastructure and has two divisions; (I) Toll Roads and (II) Wind Power. The brief details of these business and underlying project details are as follows:

I. Bhilwara-Jabalpur Toll Project - The Company has commenced the construction of the project in the current year and has incurred total expenses aggregating to ₹ 50 crore as on 31st December, 20X1. Under IGAAP, the Company has 'recorded such expenses as Intangible Assets in the books of account. The brief details of the Concession Agreement are as follows:

- *Total Expenses estimated to be incurred on the project ₹ 100 crore;*
- *Fair Value of the construction services is ₹ 110 crore;*
- *Total Cash Flow guaranteed by the Government under the concession agreement is ₹ 200 crore;*
- *Finance revenue over the period of operation phase is ₹ 15 crore:*
- *Other income relates to the services provided during the operation phase.*

II. Kolhapur- Nagpur Expressway - The Company has also entered into another concession agreement with Government of Maharashtra in the current year. The construction cost for the said project will be ₹ 110 crore. The fair value of such construction cost is approximately ₹ 200 crore. The said concession agreement is Toll based project and the Company needs to collect the toll from the users of the expressway. Under IGAAP, A Ltd. has recorded the expenses incurred on the said project as an Intangible Asset.

Required

(i) What would be the classification of Bhilwara-Jabalpur Toll Project as per applicable Ind AS? Give brief reasoning.

(ii) What would be the classification of Kolhapur-Nagpur Expressway Toll Project as per applicable Ind AS? Give brief reasoning.

(iii) Also, suggest suitable accounting entries for the preparation of financial statements as per Ind AS for the above 2 projects.

Solution — ICAI

Solution

(i) Here the operator has a contractual right to receive cash from the grantor. The grantor has little, if any, discretion to avoid payment, usually because the agreement is enforceable by law. The operator has an unconditional right to receive cash if the grantor contractually guarantees to pay the operator. Hence, the operator recognizes a financial asset to the extent it has a contractual right to receive cash.

(ii) Here the operator has a contractual right to charge users of the public services. A right to charge users of the public service is not an unconditional right to receive cash because the amounts are contingent on the extent that the public uses the service. Therefore, the operator shall recognize an intangible asset to the extent it receives the right (a licence) to charge users of the public service.

(iii) Accounting treatment for preparation of financial statements

Bhilwara-Jabalpur Toll Project

Journal Entries

	Particulars		Dr. (₹ in crore)	Cr. (₹ in crore)
	During construction:			
1	Financial asset A/c	Dr.	110	
	To Construction revenue			110
	[To recognize revenue relating to construction services, to be settled in case]			
2	Cost of construction (profit or loss)	Dr.	100	
	To Bank A/c (As and when incurred)			100
	[To recognize costs relating to construction services]			
	During the operation phase:			
3	Financial asset	Dr.	15	
	To Finance revenue (As and when received or due to receive)			15
	[To recognize interest income under the financial asset model]			
4	Financial asset	Dr.	75	
	To Revenue [(200-110) – 15]			75
	[To recognize revenue relating to the operation phase]			
5	Bank A/c	Dr.	200	
	To Financial asset			200
	[To recognize cash received from the grantor]			

Kolhapur-Nagpur Expressway -Intangible asset

Journal Entries

	Particulars		Dr. (₹ in crore)	Cr. (₹ in crore)
	During construction:			
1	Cost of construction (profit or loss)	Dr.	110	
	To Bank A/c (As and when incurred)			110
	[To recognize costs relating to construction services]			

2	Intangible asset	Dr.	200	
	To Revenue			200
	[To recognize revenue relating to construction services provided for non-cash consideration]			
	During the operation phase:			
3	Amortisation expense	Dr.	200	
	To Intangible asset (accumulated amortisation)			200
	[To recognize amortisation expense relating to the operation phase over the period of operation]			
4	Bank A/c	Dr.	?	
	To Revenue			?
	[To recognize revenue relating to the operation phase]			

Note: Amount in entry 4 is kept blank as no information in this regard is given in the question.

Q114 · Financial asset model vs intangible asset model

PYQ Nov 2022 · Q2(b) · 10 marks · Numerical · Notes §9 (p 7)

A Ltd. is in the business of infrastructure and has two divisions. The brief details of its business and underlying project details are as follows:

Project 1: Ludhiana - Chandigarh Expressway Toll Project

The Company has commenced the construction of the project in the current year. The brief details of the Concession Agreement are given below:

• Total expenses incurred ₹ 100 crore as on 31st March, 2022.

• Under IGAAP, the company has recorded such expenses as intangible assets in the books of account. Total expenses estimated to be incurred on the project are ₹ 200 crore;

• Fair value of the construction service is ₹ 220 crore;

• Total cash flow guaranteed by the government under the concession agreement is ₹ 350 crore;

• Finance revenue over the period of operation phase is ₹ 30 crore;

• Other income relates to the services provided during the operation phase.

Project 2: Bengaluru - Chennai Expressway Toll Project

The Company has also entered into another Concession Agreement with Government of Karnataka in the current year. The said concession agreement is Toll Based Project and the Company needs to collect the toll from the users of the expressway. The construction cost for the said project will be ₹ 150 crore. The fair value of such construction cost is approximately ₹ 200 crore. Under IGAAP, the company has recorded the expenses incurred on the said project as an intangible asset.

You are required to answer the following:

(i) What would be the classification of Ludhiana - Chandigarh Expressway Toll Project as per applicable Ind AS? Give brief reasoning.

(ii) What would be the classification of Bengaluru – Chennai Expressway Toll Project as per applicable Ind AS? Give brief reasoning.

(iii) What should be the accounting entries for the preparation of financial statements as per relevant Ind AS for the above 2 projects? (10 Marks)

Solution — ICAI

(i) Project 1: Ludhiana - Chandigarh Expressway Toll Project

Here the operator has a contractual right to receive cash from the grantor. The grantor has little, if any, discretion to avoid payment, usually because the agreement is enforceable by law. The operator has an unconditional right to receive cash if the grantor contractually guarantees to pay the operator. Hence, the operator recognizes a financial asset to the extent it has a contractual right to receive cash.

(ii) Project 2: Bengaluru - Chennai Expressway Toll Project

Here the operator has a contractual right to charge users of the public services. A right to charge users of the public service is not an unconditional right to receive cash because the amounts are contingent on the extent that the public uses the service. Therefore, the operator shall recognise an intangible asset to the extent it receives a right (a license) to charge users of the public service.

(iii) Accounting Entries for preparation of financial statements

Ludhiana-Chandigarh Expressway Toll Project — Journal Entries

	Particulars	Dr. (₹ in crore)	Cr. (₹ in crore)
	During construction:		
1	Financial asset A/c Dr.	220	
	To Construction revenue		220
	(To recognise revenue relating to construction services, to be settled in cash)		
2	Cost of construction (profit or loss) Dr.	200	
	To Bank A/c (As and when incurred)		200
	(To recognise costs relating to construction services)		
	During the operation phase:		
3	Financial asset Dr.	30	
	To Finance revenue (As and when received or due to receive)		30
	(To recognise interest income under the financial asset model)		
4	Financial asset Dr.	100	
	To Revenue [(350-220) – 30]		100
	(To recognise revenue relating to the operation phase)		
5	Bank A/c Dr.	350	
	To Financial asset		350
	(To recognise cash received from the grantor)		

Bengaluru-Chennai Expressway Toll Project — Journal Entries

	Particulars	Dr. (₹ in crore)	Cr. (₹ in crore)
	During construction:		
1	Cost of construction (profit or loss) Dr.	150	
	To Bank A/c (As and when incurred)		150
	(To recognise costs relating to construction services)		
2	Intangible asset Dr.	200	
	To Revenue		200
	(To recognise revenue relating to construction services provided for non-cash consideration)		
	During the operation phase:		
3	Amortisation expense Dr.	200	
	To Intangible asset (accumulated amortisation)		200
	(To recognise amortisation expense relating to the operation phase over the period of operation)		
4	Bank A/c Dr.	?	
	To Revenue		?
	(To recognise revenue relating to the operation phase)		

Note: Amount in entry 4 is kept blank as no information in this regard is given in the question.

Study-material link: variant of SM Illustration 75 (same structure and wording; SM uses Bhilwara–Jabalpur and Kolhapur–Nagpur with ₹100/110/200/15 crore figures).

Adjustments in this topic — what to do

Service concession — financial asset or intangible

Notes §9 (p 7) · practise: Q113, Q114

When: *Toll roads, power purchase from government.*

1. *Right to cash from the grantor → financial asset (Ind AS 109); right to charge users → intangible (Ind AS 38).*
2. *Construction revenue recognised; infrastructure not PPE; borrowing costs expensed (FA) or capitalised in construction (IA); restoration → Ind AS 37.*

ICAI figures: *Illus 7S / Nov 2022: toll project → intangible asset model; power purchase with guaranteed payments → financial asset model.*

Ⓜ Master question — test yourself

Do this last. Close the notes, set a timer (14 marks ≈ 25 minutes), write the full answer with working notes, then check against the solution on the next page. For every adjustment you missed, go back to the topic list shown in brackets and redo its practice questions.

Q115 · MASTER · Significant financing component

MTP Nov 2022 S-I · Q3(a) · Numerical · **Notes §4 financing (p 5)**

> ***Adjustments tested:*** *Distinct performance obligations — machine, installation, servicing (Group C) · Significant financing component on deferred payment (Group D) · Allocate price on relative SSP (Group E) · Timing — point in time vs over time (Group F) · Presentation and revenue note (Group P)*

A Ltd. is a company which is in the business of manufacturing engineering machines and providing after sales services. The company entered into a contract with Mr. Anik to supply and install a machine, namely 'model pi' on 1st April 20X1 and to service this machine on 30th September 20X1 and 1st April 20X2. The cost of manufacturing the machine to A Ltd. was ₹ 1,60,000.

It is possible for a customer to purchase both the machine 'model pi' and the maintenance services separately. Mr. Anik is contractually obliged to pay A Ltd ₹ 4,00,000 on 1st April, 20X2.

The prevailing rate for one-year credit granted to trade customers in the industry is 5 percent per six-month period.

As per the experience, the servicing of the machine 'model pi' sold to Mr. Anik is expected to cost A Ltd. ₹ 30,000 to perform the first service and ₹ 50,000 to perform the second service. Assume actual costs equal expected costs. When A Ltd. provides machine services to customers in a separate transaction it earns a margin of 50% on cost. On 1st April, 20X1, the cash selling price of the machine 'model pi' sold to Mr. Anik is ₹ 2,51,927.

The promised supply of machine 'model pi' and maintenance service obligations are satisfactorily carried out in time by the company.

You are required to:

(i) Segregate the components of the transaction that A Ltd. shall apply to the revenue recognition criteria separately as per Ind AS 115;

(ii) Calculate the amount of revenue which A Ltd. must allocate to each component of the transaction;

(iii) Prepare journal entries to record the information set out above in the books of accounts of A Ltd. for the years ended 31st March 20X2 and 31st March 20X3; and

(iv) Draft an extract showing how revenue could be presented and disclosed in the financial statements of A Ltd. for the year ended 31st March 20X2 and 31st March 20X3. (14 Marks)

Master question — Solution — ICAI

(i) As per para 27 of Ind AS 115, a good or service that is promised to a customer is distinct if both of the following criteria are met:

(a) the customer can benefit from the good or service either on its own or together with other resources that are readily available to them. A readily available resource is a good or service that is sold separately (by the entity or another entity) or that the customer has already obtained from the entity or from other transactions or events; and

(b) the entity's promise to transfer the good or service to the customer is separately identifiable from other promises in the contract.

Factors that indicate that two or more promises to transfer goods or services to a customer are separately identifiable include, but are not limited to, the following:

(a) significant integration services are not provided (i.e. the entity is not using the goods or services as inputs to produce or deliver the combined output called for in the contract)

(b) the goods or services does not significantly modify or customize other promised goods or services in the contract.

(c) the goods or services are not highly inter-dependent or highly interrelated with other promised goods or services in the contract

Accordingly, on 1st April, 20X1, entity A entered into a single transaction with three identifiable separate components:

1. Sale of a good (i.e. engineering machine);

2. Rendering of services (i.e. engineering machine maintenance services on 30th September, 20X1 and 1st April, 20X2); and

3. Providing finance (i.e. sale of engineering machine and rendering of services on extended period credit).

(ii) Calculation and allocation of revenue to each component of the transaction

Date	Opening balance	Finance income	Goods	Services	Payment received	Closing balance
1st April, 20X1	–	–	2,51,927	–	–	2,51,927
30th September, 20X1	2,51,927	12,596 (Note 1)	–	45,000	–	3,09,523
31st March 20X2	3,09,523	15,477 (Note 2)	–	–	–	3,25,000
1st April, 20X2	3,25,000	–	–	75,000	(4,00,000)	

Notes:

1. Calculation of finance income as on 30th September, 20X1 = 5% x 2,51,927 = ₹ 12,596

2. Calculation of finance income as on 31st March, 20X2 = 5% x 3,09,523 = ₹ 15,477

(iii) Journal Entries

Date	Particulars	Dr. (₹)	Cr. (₹)
1st April, 20X1	Mr. Anik Dr.	2,51,927	
	To Revenue - sale of goods (Profit or loss A/c)		2,51,927
	(Being revenue recognised from the sale of the machine on credit)		
	Cost of goods sold (Profit or loss) Dr.	1,60,000	
	To Inventories		1,60,000
	(Being cost of goods sold recognised)		
30th September 20X1	Mr. Anik Dr.	12,596	
	To Finance Income (Profit or loss)		12,596
	(Being finance income recognised)		
	Mr. Anik Dr.	45,000	
	To Revenue - rendering of services (Profit or loss)		45,000
	(Being revenue from the rendering of maintenance services recognised)		
	Cost of services (Profit or loss) Dr.	30,000	
	To Cash/Bank or payables		30,000
	(Being the cost of performing maintenance services recognised)		
31st March 20X2	Mr. Anik Dr.	15,477	
	To Finance Income (Profit or loss)		15,477
	(Being finance income recognised)		
1st April, 20X2	Mr. Anik Dr.	75,000	
	To Revenue - rendering of services (Profit or loss)		75,000
	(Being revenue from the rendering of maintenance services recognised)		
	Cost of services (Profit or loss) Dr.	50,000	
	To Cash/Bank or payables		50,000
	(Being the cost of performing maintenance services recognised)		
	Cash/Bank Dr.	4,00,000	
	To Mr. Anik		4,00,000

Date	Particulars	Dr. (₹)	Cr. (₹)
	(Being the receipt of cash from the customer recognised)		

(iv) Extract of Notes to the financial statements for the year ended 31st March, 20X2 and 31st March, 20X3

Note on Revenue

	20X2-20X3 (₹)	20X1-20X2 (₹)
Sale of goods	–	2,51,927
Rendering of machine - maintenance services	75,000	45,000
Finance income	–	28,073
	75,000	3,25,000

Same type — not repeated here. *What changes in each:*

→ ***MTP May 2025 S-1 · Q5(a)*** *— Same A Ltd. / Mr Anik facts (10 marks) without the presentation and disclosure part.*